Opportunity Indicator Onboarding

March 2025

DRAFT

BAIN & COMPANY

AGENDA

The Opportunity Indicator is a 48-hr service performed by the Cost Diagnostic COE to help identify cost opportunities & provide commercial support to account teams

% of requests:	*80%*	*20%*
	Opportunity Indicator	**Ad-hoc Commercial Support**
What is it?	• **Outside-in service to identify cost opportunities** in a company based on how it performs against comparable peers on **key financial metrics**	• **Tailored research & commercial support for account teams**, as well as **internal 'growth initiatives'** to advance the team's ability to advance its support toolkit
When is it performed?	• When a Bain Account team needs a **quick answer first** but has **limited time and client data**	• Tailored support: When a Bain Account team needs additional commercial support for an upcoming sales play (beyond the scope of a traditional OI) • Growth initiatives: When the team has extra capacity within the ongoing OI cadence
What questions does it answer?	• In **which part(s) of the P&L** are we likely to find a cost opportunity? How **sizeable** is it? • What are the **likely "cost plays"** to consider?	• What **additional insights** can we provide the account team to help **equip them for a potential sales play**? • How can we **advance our ability** to deliver insights & uncover opportunities more efficiently?
Who performs it?	• **Cost Diagnostic COE**, with light support from client team	• **Cost Diagnostic COE**

The Opportunity Indicator output takes several forms; most requests are for a Standard OI, while some requests require more bespoke materials

Types of OI	Commentary	Sample OI
Standard OI	The standard Opportunity Indicator (OI) benchmarks a target company against comparable peers on several metrics (i.e., shareholder returns, top-line growth, cost, and net working capital). The goal of the OI is to understand the potential opportunity or gap that exists between the target company and its peers. ***Note:*** *For certain industries (e.g., Airlines, Oil & Gas, Retail, Technology), the Standard OI loop includes pages on industry-specific benchmarks. For more information, see Appendix.*	Autodesk Pegasus Cracker Barrel
Sector Scan	A sector scan OI benchmarks companies within a sector or subsector against comparable peers using the same metrics as a standard OI as well as any industry-specific metrics. The goal is to assess each company's position relative to peers and identify critical trends across the peer set.	MedTech Sector Scan
Net Working Capital Analysis	A Net Working Capital (NWC) analysis is an OI focused exclusively on the NWC portion of a Standard OI. The goal is to identify opportunities for improvement in cash flow management by benchmarking a company’s DIO, DSO, and DPO relative to peers.	Ford NWC
Cash Flow and Solvency Analysis	A cash flow and solvency analysis is an OI focused on a company’s ability to generate cash and pay off debts; this analysis typically delves into metrics such as FCF and Net Debt / EBITDA, and may involve peer benchmarking if relevant.	Sabre
Industry-Specific OIs (e.g., Banking, Insurance)	Focused on benchmarking core KPIs within certain industries where P&L does not conform to the standard structure (e.g., Banking, Insurance).	Banking [Banamex] Insurance [OneAmerica]

AGENDA

Introduction to OI

Process to build an OI

Set up and collaboration

Additional guidelines

Process to build an OI: High-level cadence for engagement with account teams

	Initiate OI	*Intake call*	*Completed OI shared*	*NPS Survey*
	~1-2 days	*Typically, 48 hours**	*Based on client discussion timeline*	
Account team	• **Reach out to Diagnostic CoE** – Provide client name and expected timeline for client discussion – Input on peer set for benchmarking and valuation	• **Join 15-minute intake call** (if requested or necessary) – Share client context – Align on scope of analysis and outputs – Share known nuances to sector or company financial reporting – Finalize peer set and valuation approach		• **Send NPS survey** – Ask key account team member to fill out NPS link – Ask to see any known and relevant client discussion materials – Prompt with any follow up tools, resources that might be helpful
CoE team	• **Confirm team capacity** • **Suggest (or ask) for peer set** • **Schedule intake call** (if requested or necessary)	• **Run Opportunity Indicator** – Standard analysis takes ~48 hours* – Customization can take up to 1 week	• **Send completed OI and any relevant follow up materials based on opportunity and client situation** – E.g., sector specific analyses, relevant materials & contacts to support sales play	

Note: *Subject to team capacity and pipeline

Process to build an OI: Overview of the step-by-step process

		Action	Description	Est. time allocation
Typically 48 hours – Day 1	1	**Stage 1:** Peer Selection	• Gather essential case and company context, including peers; if peers have not been provided by the account team, identify, audit, and share the proposed peer list	2 hours
	2	**Stage 2:** Data Collection & Output Creation	• Pull in financials for all companies of interest and make adjustments as necessary to ensure apples-to-apples comparison across the group • Run the automated slide generation tool to create the initial OI deck; update the tags, formatting, and footnotes to ensure the deck is ready for review	14-16 hours*
Day 2	3	**Stage 3:** Savings Identification	• Research key trends across the deck; understand critical similarities / differences between the target and its peers • Assess savings opportunities based on peer analysis derived from Excel Dashboard • Create a value-at-stake recommendation for each metric using benchmarks and Bain experience	3-4 hours
	4	**Stage 4:** Output completion	• Discuss emerging insights with the LT team; understand what net-new slides or additional research is required • Finalize story (tags, footnotes, savings recommendation, etc.); finish execution of the deck and ZD all slides • Share the deck with LT for final review; action feedback • Share findings with the account team	2-3 hours
	5	Continuous improvement	• Receive feedback to improve the OI process and product	

Note: *Timing expectations are case dependent; includes time to set up the Excel Dashboard, run the slide gen, and take a first pass at the slide loop

1 **Stage 1 – Peer Selection:** Introduction

STAGE 1

Overview

- Each OI contains companies that we **compare and benchmark our target** with, to provide a comprehensive analysis
- Selecting the right peer group for our analysis is **critical for accurate benchmarking**
- Aligning companies with similar business models, cost structures, and market conditions helps avoid misleading conclusions that could arise from comparing fundamentally different businesses; hence, effective peer selection is the **foundation of a meaningful analysis**

Inputs / Requirements

- **Peer selection inputs:** Peers are **selected either by the account team** (the partners/principals/managers requesting the OI) **or by the OI team** (when a peer set is not provided); analysis should NOT begin until the account team has agreed to the peer set to avoid yield loss
- **Peer selection requirements:**
  - Comparability: **A peer group must be well-defined to ensure apples-to-apples comparisons**. To identify a relevant peer set, we must first understand the **target's reporting structure** and key **financial and operational metrics**, including **revenue streams, cost allocations, profitability, and segment performance**. Non-financial factors like **headcount and geographic presence** may also be considered for a comprehensive view. These factors are then compared against prospective peers to ensure **accurate and meaningful comparisons**
  - Size of peer set: An analysis should be conducted with **~5-8 comparable peers that report publicly available data** (unless the account team is able to provide private financials). Selecting fewer than 5 peers might lead to **skewed insights**, while selecting too many could **dilute the relevance of the comparison**. Note that 20 peers is the maximum allowed in our dashboard.
  - Commercial focus: It is important to validate whether the **account team has a particular commercial focus in mind** (e.g., specific financial metrics, segment-level analysis). If the team is interested in a **segment-level analysis** or a **financial metric that is not widely reported**, expectations should be managed early. Segment-level analyses, for example, are often limited to EBIT / EBITDA (as opposed to the full cost bar) due to data availability constraints intends to focus on any specific financial metrics

1 Stage 1 – Peer Selection: Process Overview

STAGE 1

Note: This stage is only performed when the account team does not have a peer list in mind, and is generally completed by the OI team managers

Stage 1: Peer Selection

Peer Selection Process

	Action	Description	Est. time allocation	Value addition
1a	Identify peer list	Use ChatGPT to generate an initial list of comparable companies based on industry, business model, and financial characteristics; refine selection using CapIQ's Quick Competitor Screen, which leverages company-specific filters to identify relevant publicly listed peers	1 hour	
1b	Audit peer list	Validate peer comparability through financial reporting structures and business unit alignment using earnings reports and CapIQ's 'Segments' screen	1 hour	
1c	Share peer list with account team	Share the peer list with the account team, aligning on selection criteria and incorporating feedback to ensure relevance before proceeding; sometimes, an Excel spreadsheet is shared to highlight details on peer alignment and comparability with the target	10 minutes	

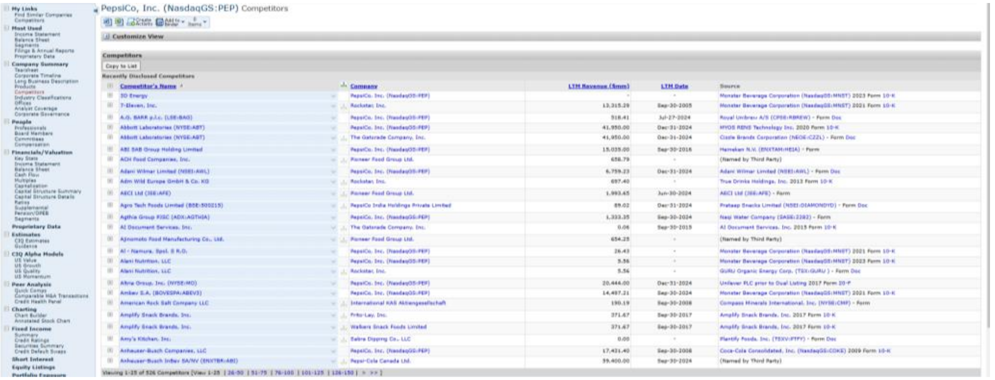
1 **Stage 1 – Peer Selection:** Process Breakdown (1/2)

STAGE 1

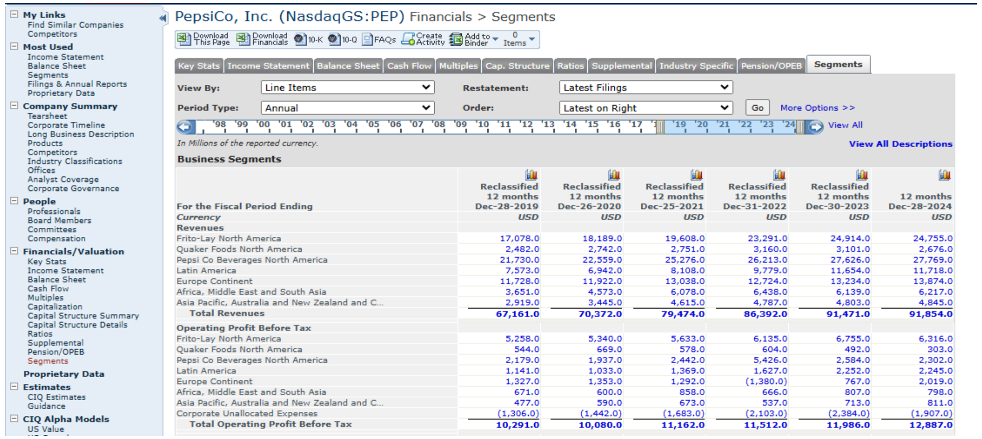
Process & Output

Step	Action	Description
STEP 1	1a Identify list of peers	• **ChatGPT** can be used to generate **an initial list of comparable companies** based on industry, business model, and financial characteristics, providing a starting point for peer selection • **CapIQ's Quick Competitor Screen** allows for **data-driven peer selection**, leveraging financial metrics, industry classifications, and filters to identify relevant peers with publicly available data • Look at **10-K,** DB Hoovers, Analyst Reports (Thomson Reuters), Seeking Alpha, and/or Google; **reading the upfront portion** of an Annual report / 10-K (public company's annual filing with the SEC) is **helpful to understand** each peer's product and business model
STEP 2	1b Audit Peer List	• Verify that peers have comparable **financial reporting structures to the target**; this can be done by visiting each peer's latest earnings report to validate which line items are listed in the income statement and by analyzing the contribution of each cost bucket to total expenses • For large and diversified companies, assess whether their **business units (BU) are comparable** by evaluating the **operational aspects of each company -** ensuring alignment in functions and market positioning. This can be done using CIQ's 'Segments' screen • In certain scenarios, it is necessary to **analyze specific BUs** instead of the entire company; in these situations, it is important to **confirm that companies release BU data with sufficient granularity** (i.e., with data on lower-level cost benchmarks) and that peer BUs are truly comparable

CIQ's Competitor Screen for PepsiCo shows a large list of peers



CIQ's Segment section for PepsiCo shows its operating BUs



For the Fiscal Period Ending	Reclassified 12 months Dec-28-2019	Reclassified 12 months Dec-26-2020	Reclassified 12 months Dec-25-2021	Reclassified 12 months Dec-31-2022	Reclassified 12 months Dec-30-2023	12 months Dec-28-2024
Currency	*USD*	*USD*	*USD*	*USD*	*USD*	*USD*
Revenues						
Frito-Lay North America	17,078.0	18,189.0	19,608.0	23,291.0	24,914.0	24,755.0
Quaker Foods North America	2,482.0	2,742.0	2,751.0	3,160.0	3,101.0	2,676.0
Pepsi Co Beverages North America	21,730.0	22,559.0	25,276.0	26,213.0	27,626.0	27,769.0
Latin America	7,573.0	6,942.0	8,108.0	9,779.0	11,654.0	11,718.0
Europe Continent	11,728.0	11,922.0	13,038.0	12,724.0	13,234.0	13,874.0
Africa, Middle East and South Asia	3,651.0	4,573.0	6,078.0	6,438.0	6,139.0	6,217.0
Asia Pacific, Australia and New Zealand and C...	2,919.0	3,445.0	4,615.0	4,787.0	4,803.0	4,845.0
Total Revenues	**67,161.0**	**70,372.0**	**79,474.0**	**86,392.0**	**91,471.0**	**91,854.0**
Operating Profit Before Tax						
Frito-Lay North America	5,258.0	5,340.0	5,633.0	6,135.0	6,755.0	6,316.0
Quaker Foods North America	544.0	669.0	578.0	604.0	492.0	303.0
Pepsi Co Beverages North America	2,179.0	1,937.0	2,442.0	5,426.0	2,584.0	2,302.0
Latin America	1,141.0	1,033.0	1,369.0	1,627.0	2,252.0	2,245.0
Europe Continent	1,327.0	1,353.0	1,292.0	(1,380.0)	767.0	2,019.0
Africa, Middle East and South Asia	671.0	600.0	858.0	666.0	807.0	798.0
Asia Pacific, Australia and New Zealand and C...	477.0	590.0	673.0	537.0	713.0	811.0
Corporate Unallocated Expenses	(1,306.0)	(1,442.0)	(1,683.0)	(2,103.0)	(2,384.0)	(1,907.0)
Total Operating Profit Before Tax	**10,291.0**	**10,080.0**	**11,162.0**	**11,512.0**	**11,986.0**	**12,887.0**

1 Stage 1 – Peer Selection: Process Breakdown (2/2)

STAGE 1

Process & Output

	Action	Description	A sample email sent to the account team finalizing the peer set for Valero's OI

STEP 3	1c
	Share peer list with Account Team
		• Share the peer list with the **account team**, explaining the **selection criteria and noting any limitations in comparability**
		• Sometimes, it is helpful to share an **Excel spreadsheet that details insights on how peers align to the selection criteria** (including any notes on comparability limitations)
		• The account team's feedback will help ensure the peer set is **accurate and relevant** before proceeding with the analysis
			Hi Kevin,
			
			Stephanie let me know that you had a contact at Valero and were interested in running an OI to bring them some areas of opportunity. I had the team pull together an A1 on the right peers to use and we came up with:
			• Marathon Petroleum
			• Phillips 66
			• PBF Energy
			• HF Sinclair
			• Delek
			• Exxon – Downstream BUs only
			• Chevron – Downstream BUs only
			• Shell – Downstream BUs only
			• BP – Downstream BUs only
			
			Attached & below goes into more detail – **does this look right to you** (and pulling in @Shelley, Lane and @Holt, Louise for your domain expertise if you have any suggestions)? Once we get the green light, we should be able turn it around pretty quickly since we have some capacity right now.
			
			Thanks,
			Noah
			
			• **Selection criteria:** We have filtered down the peers in this list based on (1) comparability of operations to Valero; (2) revenue scale; and (3) geographic focus
			• **On (1) - comparability of operations:** We have chosen peers that we believe are comparable to Valero across a number of its business sectors as well as pure refining peers
			  ○ **Most Comparable Peers:** Our A1 is that MPC, Phillips 66 and PBF Energy are most similar to Valero Energy since their core business is refining
			  ○ **Integrated Peers:** Exxon Mobil, Chevron, Shell, and BP are all more integrated in their operations; for the sake of comparability, we've proposed including only their downstream business segments
			    ▪ Implication: We may only be able to benchmark these companies at the earnings / EBITDA level
			  ○ **Smaller Peers:** At the bottom of the list, we've included a few companies that operate at a smaller scale in the US
			    ▪ We propose including HF Sinclair and Delek US Holdings, since they provide strong benchmarks of pure-play US refiners
			    ▪ However, we propose excluding the other 3 peers at the bottom of our list
			• **Retail Operations:** Like Valero, most peers do not report significant revenues from their retail operations - as they license their brand name and fuel supply agreements to independent operators; the peers we have included in our list generally follow this approach, with retail revenues constituting a very small portion of the total business

① Stage 1 – Peer Selection: Tips & Best Practices (1/2)

STAGE 1

- **Tips for auditing the peer set:**
  - Functional comparability: Once a potential peer has been identified, ensure they are comparable to the client in the following: **size (revenue), geography, cost profile, and product portfolio**
    - > CapitalIQ can be used to check the high-level cost structure for a peer to ensure it is loosely aligned with the client/other peers (i.e., if their GM is >15% higher/lower than most peers, this implies there may be something inherently different in their business model)
  - Reporting period comparability: When auditing the peer set, we also need to make sure that peers report data in the same periods that are of interest for the target
    - > If in between periods (i.e., after Q1), **validate when the target's most recent quarterly financials will be available** and ensure most peers are reporting over the same period
    - > If the target's most recent financials (or a majority of peer financials) aren't available, identify **when they're expected to be released** (via the company's earnings / IR calendar) and **confirm with the account team** if they have time to wait for the updated financials or if they don't mind using the previous year's

- **Tips for dealing with private peers:**
  - Do not automatically dismiss privately held peers; some private companies (particularly those in EMEA) may have data available on CapIQ or on their websites
  - You may also submit a request to the IS Helpdesk to see if data may be available from another source
  - Some private companies only disclose high-level financials (i.e., at the revenue and EBIT/DA level); in these instances, it is important to validate with the account team that this level of analysis is of interest to them

1 **Stage 1 – Peer Selection:** Tips & Best Practices (2/2)

STAGE 1

- **Tips for analyzing peers at the segment level:**
  - If CapIQ does not provide segment or business unit (BU) data, check the investor relations page, press releases, 10-Q filings, and financial disclosures to determine the level of segment-wise reporting
  - Ensure peers report similar metrics such as Gross Margin, Revenue, or EBIT/DA to maintain consistency in BU-level analysis; verify that cost structures and reporting categories are truly comparable across BU level peers
- **General best practices:**
  - If a peer has undergone recent mergers, acquisitions, or restructuring, evaluate whether its financials remain comparable and whether the reclassified/re-stated numbers are available
  - Companies may classify inventories, receivables, or payables differently - making direct comparisons inaccurate; if re-bucketing is not feasible due to significant variations, reconsider including those peers in the analysis
  - Cross-check key financial data using CapIQ, investor presentations, regulatory filings, earnings calls, and analyst reports to ensure accuracy and completeness
  - Consider regional variations/alterations due to COVID-19 pandemic and consider which year / what type of financials can be included

Specific Industry Guidelines

Industry Watch-Outs

Industry	Watch-outs
Retail / CP	• Ensure shipping, distribution, and freight costs are consistently defined across peers • Assess whether advertising spend can be isolated for benchmarking purposes • Clarify whether the retailer is pure-play or also manufactures its own products, as this affects factory optimization levers • Capture retail-specific KPIs such as **same-store sales growth** and **total system revenue** • Consider including operational KPIs like **selling square footage** • Adjust for one-time items such as **store closing costs** and **pre-opening expenses**
AMS / Defense	Confirm that **R&D expenses** are strictly **company-funded** and exclude any customer-funded R&D
Technology	• Determine whether **stock-based compensation** should be excluded based on the valuation or benchmarking objective • Include technology-specific metrics such as **S&M Magic Number**, Rule of 40, and **S&M productivity** • While capturing EBITDA, check for **amortization of acquired intangibles** • Record **adjusted D&A separately** to support Rule of 40 analysis • Assess whether **Product vs. Services Gross Margin** can be analyzed separately
ENR	• Verify whether **levies and excise taxes** are recorded within revenue or other operating expenses • Ensure **pass-through costs** are treated consistently across peers • Include operational KPIs such as **total installed capacity** and **throughput**
ENR-Oil and gas	• Check for the presence of **derivatives and hedging activities** • Incorporate relevant CIQ supplemental KPIs such as **cost per BOE**, **production volume mix**, and **historical MBOE growth** • Confirm whether **exploration costs** are included in operating expenses unless otherwise specified
Healthcare	• Confirm treatment of **in-process R&D (IPR&D)** and whether it is included • Ensure **royalty and collaboration revenues** are classified consistently across peers • Note that **amortization of intangibles** is typically acquisition-related and should be analyzed at the **EBITDA level** • Use **total costs** as the denominator for **net working capital (NWC)** analysis • Exclude **acquired R&D** where appropriate

Adjustments to look out for while building out the Adjustment Summary

Adjustments non-recurring keywords	
Write-offs / asset impairment / facility closure / obsolete inventory	**Adjust out**
Restructuring costs / severance	Adjust out
Litigation / settlements / legal accruals	Adjust out
Credit losses	Adjust out, unless related to operations (e.g., companies that extend credit cards / financing)
Stock-based compensation	Usually included, unless technology sector (or client excludes)
Acquisition-related costs / transaction fees / business combination	Adjust out
Net gain on asset disposal	Adjust out
Provision for bad debt / (losses)	Adjust out
Reduction in contingent liability	Adjust out
Casualty reserve	Adjust out
Amortization of acquired intangibles	Adjust out *ONLY IF ASSOCIATED WITH ACQUISITIONS*
Change in fair value of deferred earnout	Adjust out
COVID-19 costs	Adjust out
Derivatives / hedging (usually under Other OpEx)	Adjust out (watch out for utilities, oil/gas where it might be more common)
Russia / Ukraine costs	Adjust out
Foreign currency losses	KEEP
Gain on sale of PPE	Adjust out
D&A on cash flow sheet and income statement does not match	Difference in D&A should be adjusted out/in of relevant cost bucket if needed (usually COGS)
Purchase price allocation / pro forma adjustments	Adjust out
Pro forma financials	Usually we like to use

Adjustment summary- Data collection

Data Collection- General Guidelines	
Stage-1	Once peers are selected, create the Adjustment Summary Always double check the revenue, COGS, SG&A, EBIT, etc. of the "target" company against its Annual Report / 10-K, as these are the numbers the account team (partners) and the client (CEO, SVPs, etc.) are most likely to be familiar with. If there are major discrepancies, identify why and determine appropriate path forward (generally try to align with ARs / 10-Ks) Always use CapIQ data, without significant changes, in order to expedite the process and ensure apples to apples comparison, except: When the deviation between adjusted EBIT/EBITDA and CIQ EBIT/EBITDA are significant; Wherever available, use Non-GAAP financials (For US companies) and Adjusted/Underlined financials (for EU companies) If there are any major outliers in the peer set (SG&A, COGS, etc. looks way off from rest of peers), utilize the 10-Ks to try to figure out why this might be the case and ensure that we have apples-to-apples comparison
Stage-2	Ensure bucketing of COGS and SG&A is consistent across comps to ensure an apples-to-apples comparison. Key components that usually create discrepancies across comps (use 10-Ks to determine additional detail): Depreciation & Amortization could either be its own line item and/or could be included in COGS or SG&A. Ensure this is consistent across all peers (usually by adding to COGS when it is a separate line item) Rent might be included in COGS or SG&A (usually in retail companies or industries with considerable real estate) R&D is sometimes included within SG&A or as a separate line item. Ensure this is consistent across all peers. In general, for industries where there's high R&D, it is helpful to ensure it is separate from SG&A (e.g. pharmaceuticals, technology, etc.). In cases where R&D can be excluded from its respective cost bucket for all/most peers, we prefer benchmarking it separately
Stage-3	Pull CapIQ information on each of the companies into the CIQ Dashboard (see "Key excels used" section for greater detail) and begin to reconcile any key differences between the companies Data should be taken for the past four periods (e.g. FY17-FY20 & LTM FY21) Sometimes certain critical companies don't have data available. Still include them, but that means sometimes the benchmarks need to be taken off of an earlier year (e.g. 2019 instead of 2020), even if 2020 is still kept on the chart (savings would be calculated based on the target company's 2018 values) Make sure you are aware of each of the latest years of data for each of the companies (e.g. know that Unilever's last available data was 2017, not 2018)

Adjustment Summary- Cost Adjustments

Cost Specific- Guidelines	
R&D	Complication: Companies not reporting R&D as a separate line item and bucketing it under COGS or SG&A Way Forward/Solution: Typically R&D amount and bucketing is available in footnotes. In case just the amount is available then take a judgement call on bucketing basis where peers bucket this expense
Personnel/Staff costs (Primarily for Non-US companies)	Complication: Some EU companies, especially, report staff/personnel costs instead of typical SG&A and R&D expense items making benchmarking with US peers (usually reporting COGS and SG&A) difficult Way Forward/Solution: Typically allocate staff costs to COGS, SG&A and R&D using relevant employee split provided in annual/investor report. In cases where all/most peers report staff costs as a separate line item, bucketing under other cost heads is not required and staff costs are shown separately [Need to align on both the options with the account team as this is highly directional and might heavily skew performance of that peer]
Distribution and Rent (Mainly for CPG/Retail companies)	Complication: Shipping & Handling/Distribution/Rent might not be consistently reported by all peers under the same head (COGS, SG&A or separate line item) making apples-to-apples benchmarking difficult Way Forward/Solution: Use footnotes to reallocate relevant expenses to ensure comparability For those peers where reallocation is not possible we can take client's expense as % revenue as proxy to reallocate expenses [Need to align this assumption with account team]
Share-based compensation (Mainly for Tech comps)	Complication: Tech companies (Pinterest, FB, Twitter etc.) usually have significant costs in SBC that might distort the benchmarking exercise Way Forward/Solution: Capture SBC accruing to each major cost bucket (COGS, SG&A and R&D) separately and align with account team on how they want to view the cost buckets (with or w/o SBC)

2 Stage 2 – Data Collection & Output Creation: Introduction (1/5)

STAGE 2

Overview

- Once the peer list for an OI has been confirmed, the first step to kicking off an OI is building the Excel Dashboard output
- The Excel Dashboard is the central tool for the OI analysis, consolidating all financial data, adjustments, and outputs. The dashboard contains a few main tabs:
  - **Input Form** – This tab is used to input the names and CapIQ tickers for each peer as well as parameters that are used to scope the CapIQ analysis; this tab must be filled out to enable proper unlinking and seamless data pull from the CapIQ platform
  - **Reporting Structure** – Used to document the reporting structures of the target and peers, highlighting key differences for accurate benchmarking
  - **Income Statement Revised** – Used to pull in peer financials across multiple years and apply necessary adjustments for standardization
  - **Financials & KPIs –** Consolidates key financial data from the Income Statement Revised tab as well as additional metrics sourced from CapIQ
  - **Mekko Graph Outputs –** Captures the outputs for each slide in the OI deck
  - **TSR Analysis –** Consolidates indexed stock price data and TSR performance for all peers
  - **EV/EBIT(DA) Calculation** – Used to model the TSR and EV uplift provided by the value-at-stake recommended in the OI
  - **Slide Automation Excel Input** – Contains the same data as the Mekko Graph Outputs tab, but data is pre-sorted and structured for efficient use in generating automated slide outputs

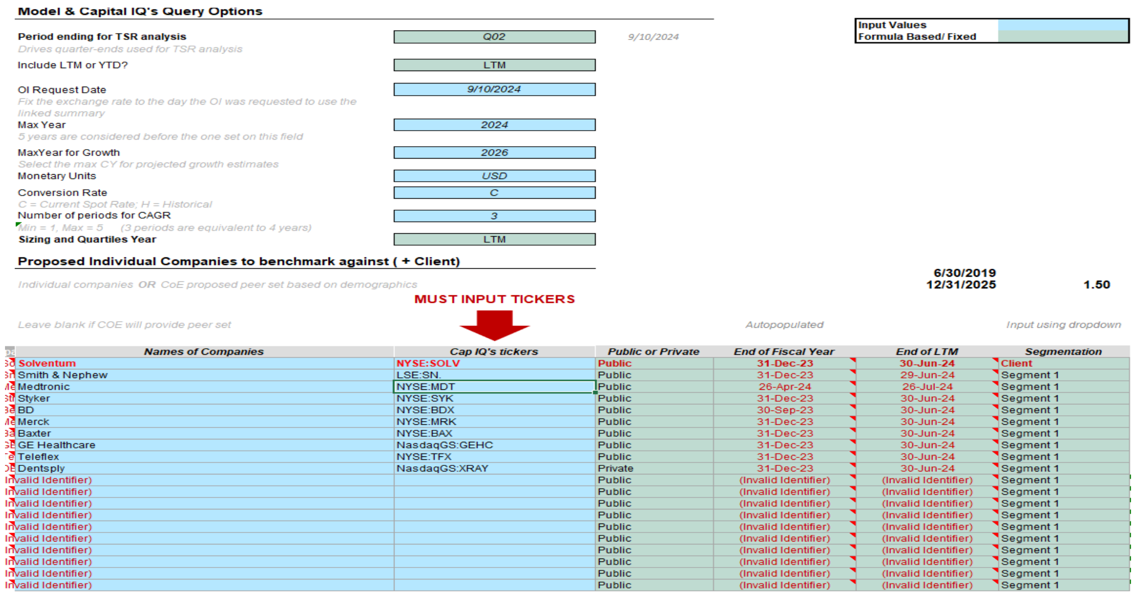
Overview of the main tabs in the Excel Dashboard:

Input Form	Reporting Structure	Income Statement Revised	Financials & KPIs	Mekko Graph Outputs	TSR Analysis	EV/EBIT(DA) Calculation	Slide Automation Excel Input

② Stage 2 – Data Collection & Output Creation: Introduction (2/5)

STAGE 2

Input Form Tab



Model & Capital IQ's Query Options

Period ending for TSR analysis *Drives quarter-ends used for TSR analysis*	Q02	9/10/2024	
Include LTM or YTD?	LTM		
OI Request Date *Fix the exchange rate to the day the OI was requested to use the linked summary*	9/10/2024		
Max Year *5 years are considered before the one set on this field*	2024		
MaxYear for Growth *Select the max CY for projected growth estimates*	2026		
Monetary Units	USD		
Conversion Rate *C = Current Spot Rate; H = Historical*	C		
Number of periods for CAGR *Min = 1, Max = 5 (3 periods are equivalent to 4 years)*	3		
Sizing and Quartiles Year	LTM		

Input Values	
Formula Based/ Fixed	

Proposed Individual Companies to benchmark against (+ Client)

Individual companies OR CoE proposed peer set based on demographics

6/30/2019
12/31/2025 1.50

MUST INPUT TICKERS

Leave blank if COE will provide peer set *Autopopulated* *Input using dropdown*

Names of Companies	Cap IQ's tickers	Public or Private	End of Fiscal Year	End of LTM	Segmentation
Solventum	NYSE:SOLV	Public	31-Dec-23	30-Jun-24	Client
Smith & Nephew	LSE:SN.	Public	31-Dec-23	29-Jun-24	Segment 1
Medtronic	NYSE:MDT	Public	26-Apr-24	26-Jul-24	Segment 1
Styker	NYSE:SYK	Public	31-Dec-23	30-Jun-24	Segment 1
BD	NYSE:BDX	Public	30-Sep-23	30-Jun-24	Segment 1
Merck	NYSE:MRK	Public	31-Dec-23	30-Jun-24	Segment 1
Baxter	NYSE:BAX	Public	31-Dec-23	30-Jun-24	Segment 1
GE Healthcare	NasdaqGS:GEHC	Public	31-Dec-23	30-Jun-24	Segment 1
Teleflex	NYSE:TFX	Public	31-Dec-23	30-Jun-24	Segment 1
Dentsply	NasdaqGS:XRAY	Private	31-Dec-23	30-Jun-24	Segment 1
Invalid Identifier)		Public	(Invalid Identifier)	(Invalid Identifier)	Segment 1
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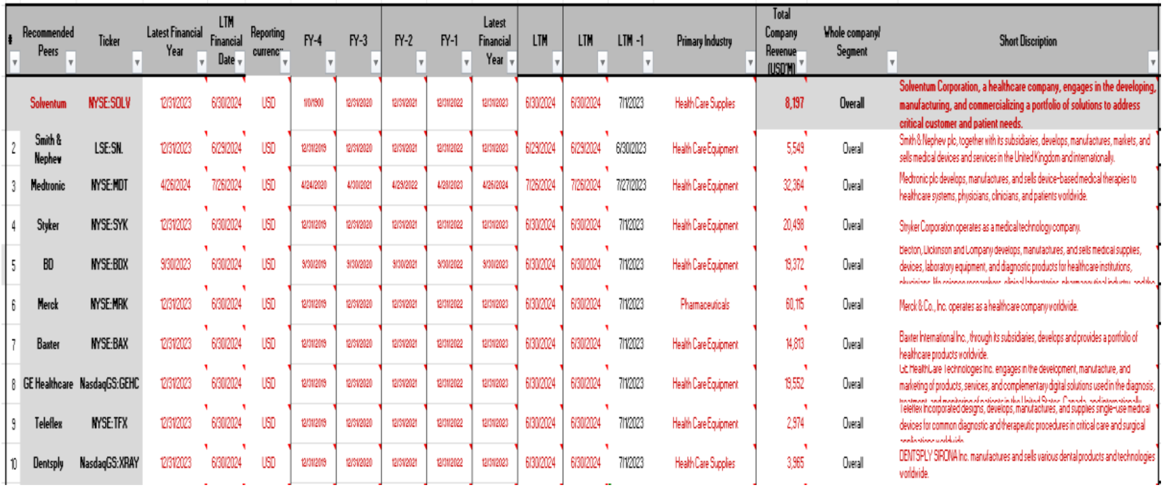
Invalid Identifier)		Public	(Invalid Identifier)	(Invalid Identifier)	Segment 1

Reporting Structure Tab



#	Recommended Peers	Ticker	Latest Financial Year	LTM Financial Date	Reporting currency	FY-4	FY-3	FY-2	FY-1	Latest Financial Year	LTM	LTM	LTM -1	Primary Industry	Total Company Revenue (USD'M)	Whole company/ Segment	Short Discription
	Solventum	NYSE:SOLV	12/31/2023	6/30/2024	USD	1/0/1900	12/31/2020	12/31/2021	12/31/2022	12/31/2023	6/30/2024	6/30/2024	7/1/2023	Health Care Supplies	8,197	Overall	Solventum Corporation, a healthcare company, engages in the developing, manufacturing, and commercializing a portfolio of solutions to address critical customer and patient needs.
2	Smith & Nephew	LSE:SN.	12/31/2023	6/29/2024	USD	12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	6/29/2024	6/29/2024	6/30/2023	Health Care Equipment	5,549	Overall	Smith & Nephew plc, together with its subsidiaries, develops, manufactures, markets, and sells medical devices and services in the United Kingdom and internationally.
3	Medtronic	NYSE:MDT	4/26/2024	7/26/2024	USD	4/24/2020	4/30/2021	4/29/2022	4/28/2023	4/26/2024	7/26/2024	7/26/2024	7/27/2023	Health Care Equipment	32,364	Overall	Medtronic plc develops, manufactures, and sells device-based medical therapies to healthcare systems, physicians, clinicians, and patients worldwide.
4	Styker	NYSE:SYK	12/31/2023	6/30/2024	USD	12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	6/30/2024	6/30/2024	7/1/2023	Health Care Equipment	20,498	Overall	Stryker Corporation operates as a medical technology company.
5	BD	NYSE:BDX	9/30/2023	6/30/2024	USD	9/30/2019	9/30/2020	9/30/2021	9/30/2022	9/30/2023	6/30/2024	6/30/2024	7/1/2023	Health Care Equipment	19,372	Overall	Becton, Dickinson and Company develops, manufactures, and sells medical supplies, devices, laboratory equipment, and diagnostic products for healthcare institutions,
6	Merck	NYSE:MRK	12/31/2023	6/30/2024	USD	12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	6/30/2024	6/30/2024	7/1/2023	Pharmaceuticals	60,115	Overall	Merck & Co., Inc. operates as a healthcare company worldwide.
7	Baxter	NYSE:BAX	12/31/2023	6/30/2024	USD	12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	6/30/2024	6/30/2024	7/1/2023	Health Care Equipment	14,813	Overall	Baxter International Inc., through its subsidiaries, develops and provides a portfolio of healthcare products worldwide.
8	GE Healthcare	NasdaqGS:GEHC	12/31/2023	6/30/2024	USD	12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	6/30/2024	6/30/2024	7/1/2023	Health Care Equipment	19,552	Overall	GE HealthCare Technologies Inc. engages in the development, manufacture, and marketing of products, services, and complementary digital solutions used in the diagnosis,
9	Teleflex	NYSE:TFX	12/31/2023	6/30/2024	USD	12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	6/30/2024	6/30/2024	7/1/2023	Health Care Equipment	2,974	Overall	Teleflex Incorporated designs, develops, manufactures, and supplies single-use medical devices for common diagnostic and therapeutic procedures in critical care and surgical
10	Dentsply	NasdaqGS:XRAY	12/31/2023	6/30/2024	USD	12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	6/30/2024	6/30/2024	7/1/2023	Health Care Supplies	3,965	Overall	DENTSPLY SIRONA Inc. manufactures and sells various dental products and technologies worldwide.

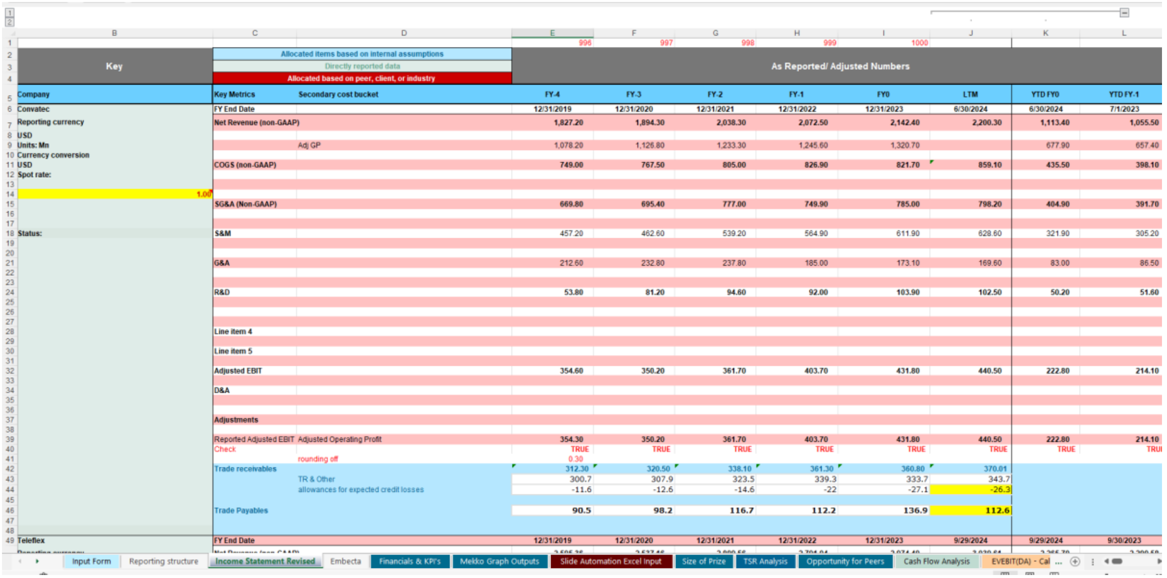
- The **Input Form** tab is used to input critical information regarding the target, its peer set, and the parameters of the intended analysis
- The full name of each company must be inputted under the 'Names of Companies' column, with the associated CapIQ ticker added from the company's CapIQ page
- It is important to adjust the time period of the analysis as well as the monetary units that should be used

- The **Reporting Structure** tab includes information on the reporting period for each peer as well as its industry, latest revenue, and a description of its operations
- No input is needed for this tab; however, the tab should be reviewed to account for differences in peers' reporting structure – which must be noted in the footnotes of the OI analysis

② **Stage 2 – Data Collection & Output Creation:** Introduction (3/5)

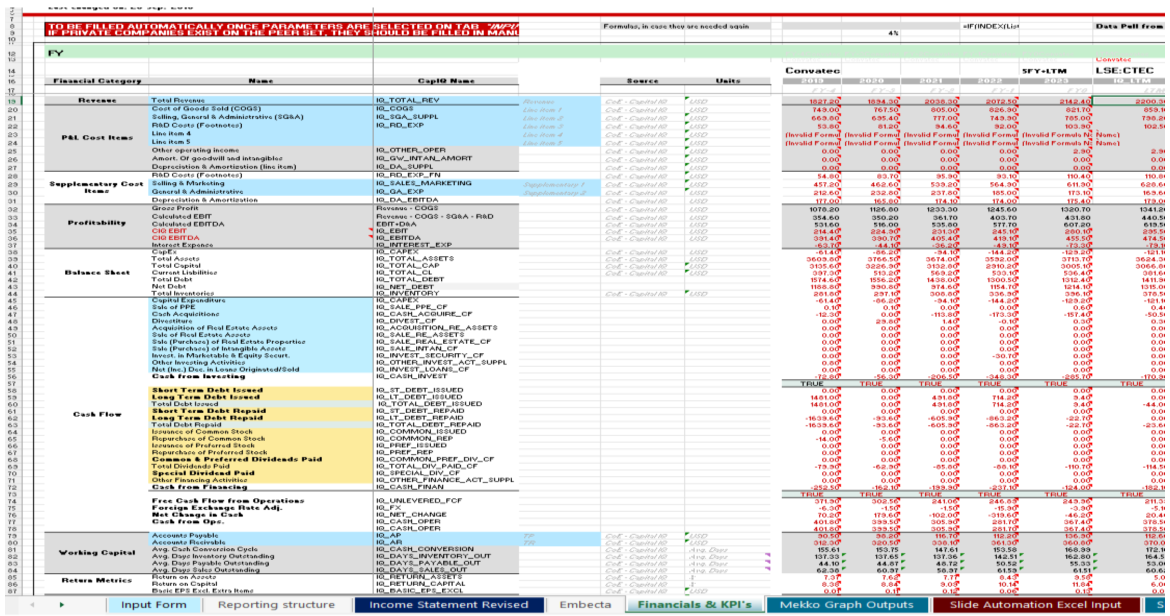
STAGE 2

Income Statement Revised Tab



- The **Income Statement Revised** tab is where all **adjustments** are made, with reported figures for each peer categorized under the appropriate headers
- At the bottom, a **reconciliation section** ensures accuracy by comparing the reported and calculated numbers
- Further, **Balance Sheet figures** for **Trade Receivables and Trade Payables** are also included

Financials & KPIs Tab

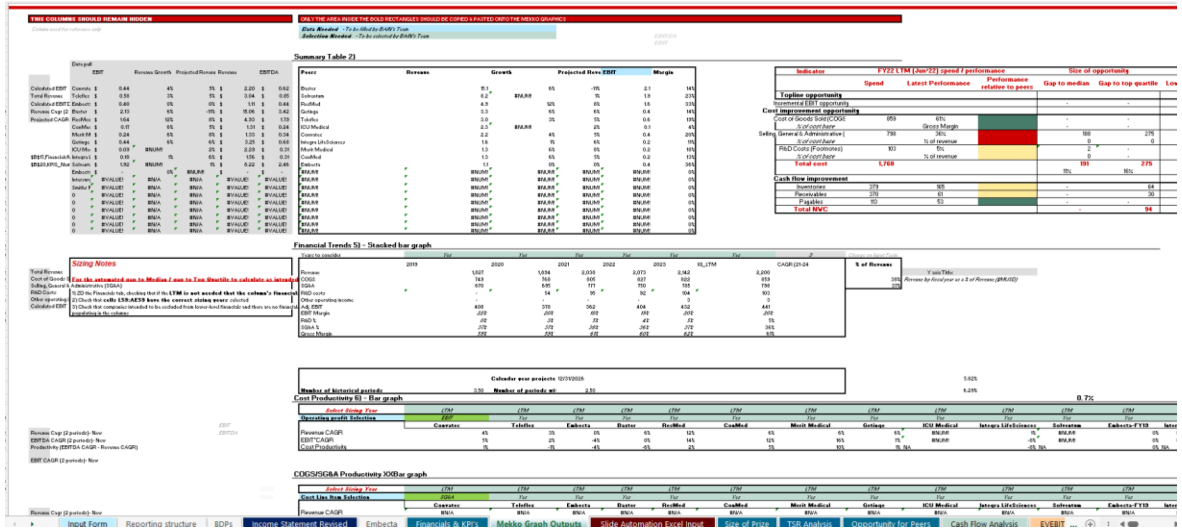


- The **Financials & KPIs** tab consolidates key financial data from the **Income Statement Revised** tab, including **Revenue, Cost Buckets, Profitability, and Balance Sheet figures**. Additionally, it incorporates **other financial metrics sourced directly from Capital IQ** to ensure comprehensive benchmarking
- Proper integration of financial data in the **Financials & KPIs** tab establishes a **strong foundation** for all subsequent analysis

② Stage 2 – Data Collection & Output Creation: Introduction (4/5)

STAGE 2

Mekko Graph Outputs Tab



- The **Mekko Graph Outputs** tab consolidates data from the Financials & KPIs tab, ensuring that key financial metrics are **accurately mapped to relevant tables** such as EBITDA Margin, Net Working Capital (NWC) metrics, and other performance indicators
- This tab **facilitates automated calculations**, reducing manual effort and potential errors

TSR Analysis Tab

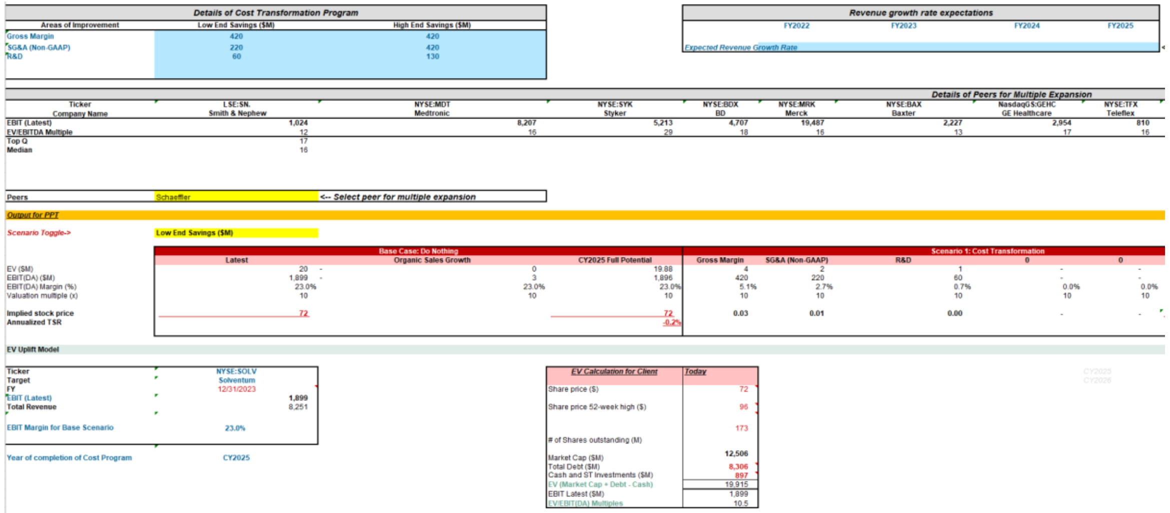
Q02	2019	2024	Q02	2021	2024
5 year TSR			3 Year TSR		
Calc. TSR	Rank	Group	Calc. TSR	Rank	Group
		A			A
(6%)	6	A	-1%	4	A
(1%)	4	A	-9%	5	A
13%	1	A	11%	2	A
(0%)	3	A	-1%	3	A
12%	2	A	20%	1	A
(13%)	8	A	-20%	7	A
		A			A
(6%)	5	A	-12%	6	A
(12%)	7	A	-24%	8	A
		A			A
		A			A
		A			A
		A			A
		A			A
		A			A
		A			A
		A			A
		A			A
		A			A

- The **TSR Analysis** tab includes granular data on indexed dividend-adjusted share price for all peers in the last 5 years; this information is used to calculation 5-year, 3-year, and 1-year TSR for each peer
- Data from this tab is used to generate the TSR Analysis and Share Price Analysis slides of the standard OI loop

② **Stage 2 – Data Collection & Output Creation:** Introduction (5/5)

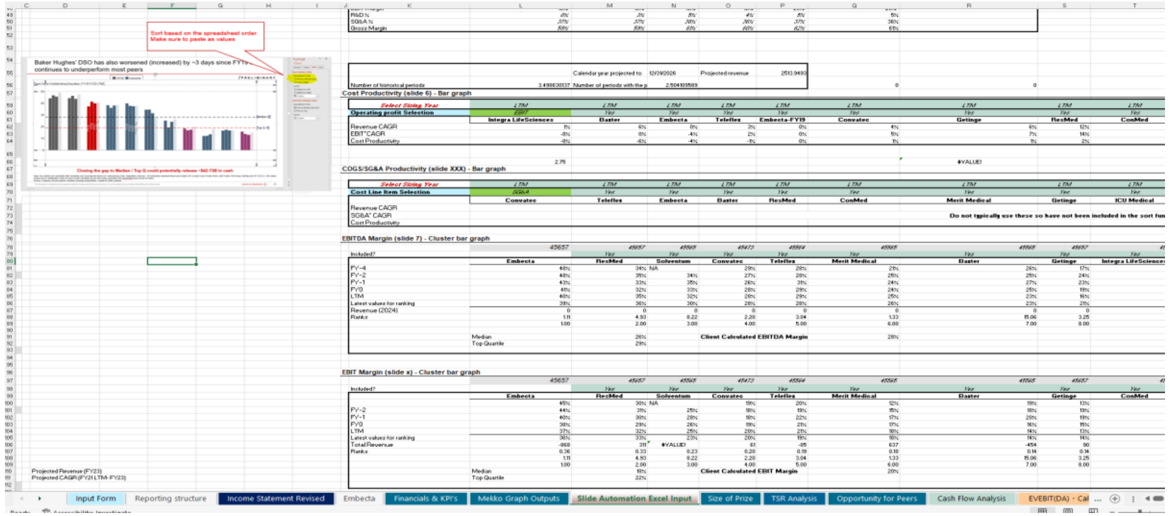
STAGE 2

EV/EBIT(DA) Calculation Tab



- The **EV/EBIT(DA) Calculation** tab is used to model the TSR and EV uplift provided to the target by the value-at-stake opportunity recommended in the OI analysis
- The ‘low end’ and ‘high end’ savings numbers and ‘scenario toggle’ fields need to be inputted to generate the output for the associated EV uplift waterfall slide in the standard OI
- If the target’s EV is significantly lower than peer median or top quartile, the OI team may consider recommending multiple expansion based on a close peer

Slide Automation Excel Input Tab



- The **Slide Automation Excel Input** tab is similar to the **Mekko Graph Outputs** tab, as both contain the same financial and performance data. However, this tab ensures data is **pre-sorted and structured** for direct use in generating automated slide outputs
- Data from this tab is copied and pasted into the **Slide Automation Excel** to facilitate **slide generation and automate the slide deck** using **Think-Cell**

2 Stage 2 – Data Collection & Output Creation: Process overview

STAGE 2

Stage 2: Data collection and output creation

Data Collection & Output Creation Process

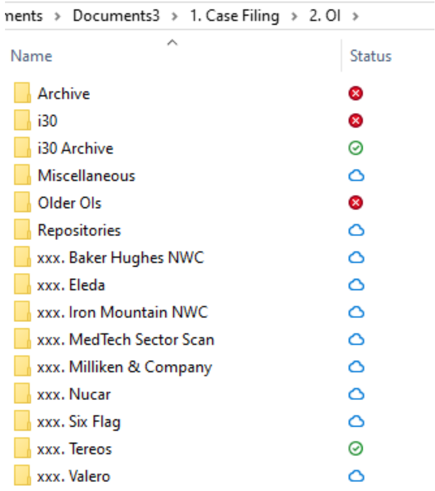
	Action	Description	Est. time allocation	Value addition
2a	Create an empty Excel Dashboard	Use the Excel Dashboard template to set up a new file for the OI analysis	10 minutes	
2b	Pull in peer financial data	Pull in the **Reported Financials** from CapIQ or peer annual reports for each year	14-16 hours	
2c	Make adjustments to peer financials	Create Non-GAAP / adjusted income statement for the peers to standardize reporting structure to that of the target company		
2d	Review adjustments and validate the dashboard	Review the adjustments and understand the “why” behind the numbers, making additional adjustments as needed		
2e	Create the initial slide output	Run the linked version of the slide deck template to populate slides with data; take a first pass at updating the deck formatting and tags (e.g., set quartiles on charts, add labels and color coding to bars, revise auto-generated slide tags)		

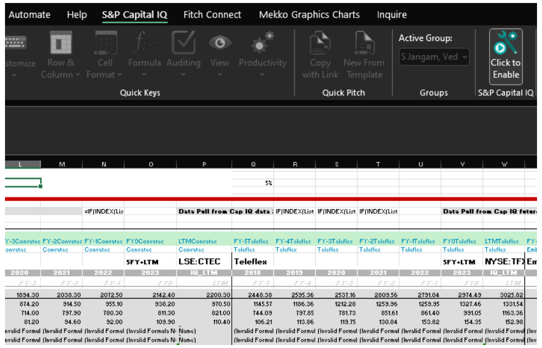
② **Stage 2 – Data Collection & Output Creation:** Process Breakdown (1/8)

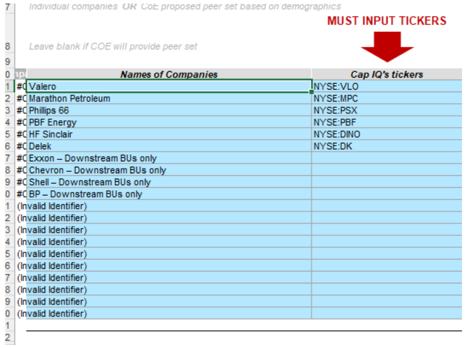
STAGE 2

Process & Output

Action	Description	Process to create an empty Excel Dashboard
STEP 1 2a Create an empty Excel Dashboard	• Once the peer list is confirmed, every OI begins by **checking Trello** for details on context provided by the account team (incl. peer list, additional slides that are of interest, etc.) • The next step is to create an empty Excel Dashboard: – Create a folder for the target company in Case M9DC > OI folder in **xxx.*Target Name*** format – Get an excel dashboard template from OI Templates>Standard OI>Template Internal. Copy it to the folder and rename it in ***yymmdd_Adjustment Summary+Dashboard_Target_v1*** format – Once Capital IQ Excel plugin is installed from its website, then enable the Plugin using **Click to Enable** – Update the peer list in the **Input Form** tab, starting with the target. **Add Tickers for each peer**	see screenshots below







2 **Stage 2 – Data Collection & Output Creation:** Process Breakdown (2/8)

STAGE 2

Process & Output

	Action	Description
STEP 2	2b Pull in peer financial data	• Once the Excel Dashboard is set up, the next step is to create the Income Statement Revised for all peers • Begin by pulling in reported financial information for the target, including any Non-GAAP adjustments (see screenshot) • After reviewing the **reporting structure of each peer**, each peer's section of the Income Statement Revised tab with **reported figures** for each line item (using data from the **10-K Report, Annual Report, or Press Release**) • Before moving on to the next step, Non-GAAP adjustments and non-recurring / exceptional line items must be carved out of reported financials (see 'Tips & Best Practices' section for a list of these one-time adjustments)

Process to pull in financial data

Company	Key Metrics	Secondary cost bucket	FY-4	FY-3	FY-2	FY-1	FY0	LTM	YTD FY0	YTD FY-1
Solventum	FY End Date		12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	6/30/2024	6/30/2024	7/1/2023
Reporting currency	Net Revenue (non-GAAP)			7,281.00	8,171.00	8,130.00	8,241.00	8,251.00	4,097.00	4,087.00
USD										
Units: Mn										
Currency conversion										
USD	COGS (non-GAAP)			2,956.37	3,044.61	3,228.48	3,403.33	3,416.33	1,763.00	1,750.00
Spot rate:		*Reported Cost of Product*		2,501.00	2,773.00	2,953.00	3,200.00	0.59	1,763.00	1,750.00
		Reported Cost of Software and Rentals		465.00	475.00	482.00	481.00			
1.00		*Less: Non-GAAP adjustments*		9.63	203.39	206.52	277.67			
	SG&A (Non-GAAP)			2,158.97	2,135.35	2,100.63	2,145.92	2,234.92	1,033.00	944.00
		Reported SG&A		2,166.00	2,278.00	2,235.00	2,321.00	0.27		
		Less: Non-GAAP adjustments		7.03	142.65	134.37	175.08			
		Adjusted SG&A							3,183.00	3,082.00
Status:	S&M									
	G&A									
	R&D			716.67	718.03	720.89	701.75	700.75	387.00	388.00
		Reported R&D		719.00	766.00	767.00	759.00		387.00	388.00
		Less: Non-GAAP adjustments		2.33	47.97	46.11	57.25	0.08		
	Line item 4									
	Line item 5							-		
	Adjusted EBIT			1,449.00	2,273.00	2,080.00	1,990.00	1,899.00	914.00	1,005.00
	D&A							0.23		
				0%	5%	5%	6%			
	Adjustments			19.00	394.00	387.00	510.00			
		Amortization of acquisition related intangible assets			381.00	373.00	365.00			
		Restructuring costs		31.00	13.00	6.00	51.00			
		Spin-off and separation-related costs			-	-	94.00			
		Russian exit costs			-	8.00	-	-		
		Gain on business divesture		- 12.00				-		
	Reported Adjusted EBIT			1,459.00	2,273.00	2,080.00	1,990.00	1,899.00	914.00	1,005.00
	Check			*TRUE*	*TRUE*	*TRUE*	*TRUE*	*TRUE*	*TRUE*	*TRUE*
		Other (net)		10.00						
	Trade receivables		-	-	1,282.00	1,264.00	1,195.00	1,111.00		
		Receivables, net			1,177.00	1,171.00	1,113.00	1,028.00		
		Add; Allowances			105.00	93.00	82.00	83.00		
	Trade Payables	Direct CIQ								

Reported financials for target company used as basis for adjustments made to peers in the next step

② Stage 2 – Data Collection & Output Creation: Process Breakdown (3/8)

STAGE 2

Process & Output

	Action	Description	Process to pull in financial data (Travis Perkins example)

STEP 2

2b

Pull in peer financial data

- The following presents an example of Step 2b for Travis Perkins:
  - **Non-GAAP (Adjusted) numbers have been recorded** for Travis Perkins; the cost buckets are COGS, and SG&A - with the split between S&M and G&A recorded separately
  - Following BDP, we have **removed non-recurring and exceptional items** (e.g., amortization of acquired intangibles) from the relevant cost buckets
  - Since Depreciation and Amortization are bucketed under each cost head (e.g., COGS, SG&A, R&D), we have **done the analysis at the EBIT level**
  - The items added below the **"Check"** row have been used as **reconciling items** to reconcile our calculated Adjusted EBIT (row 34) with the Reported Adjusted EBIT (row 47)
  - **Gross Trade Receivables have been manually pulled** from annual reports across all years. If a company reports Net Trade Receivables, we must add back provisions to calculate Gross Receivables
  - Trade Payables and Inventory have not been recorded, as they are generally pulled directly from CapIQ
  - Note that if a company does not separately report TR and TP, it is okay to use total AR and AP as proxies

B	C	D	E	F	G	H	I	J	K	L
Company	Key Metrics	Secondary cost bucket	FY-4	FY-3	FY-2	FY-1	FY0	LTM	YTD FY0	YTD FY-1
Travis Perkins	FY End Date		12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	6/30/2024	6/30/2024	7/1/2023
Reporting currency	Net Revenue (non-GAAP)		6,955.70	3,697.50	4,586.70	4,994.80	4,861.90	4,751.50	2,361.70	2,472.10
GBP			- 0.081							
Units: Mn								174.84		
Currency conversion									629.10	679.40
GBP	COGS (non-GAAP)		4,921.10	2,661.30	3,277.90	3,610.10	3,556.80	3,496.70	1,732.60	1,792.70
Spot rate:		Reported cost of sales	4,921.10	2,661.30	3,277.90	3,610.10	3,556.80			
1.00										
	SG&A (Non-GAAP)		1,599.50	910.40	1,022.30	1,119.40	1,132.10	1,113.00	551.80	570.90
Status:	S&M		1,455.36	696.96	735.36	805.46	835.66	819.10	391.96	407.86
		reported:selling and distribution (adj for impairment)	1,455.30	696.90	735.30	805.40	835.00		391.90	407.80
	G&A		144.26	213.56	287.66	314.66	297.16	293.90	153.96	163.16
		reported:administrative expenses	353.60	314.80	291.30	324.50	367.60		153.90	163.10
		less: adjusting items	200.40	92.70	- 6.80		60.00			
		less: amortisation of acquired intangible	9.00	8.60	11.10	10.50	10.50			
	R&D									
	R&D						0.74	0.74		
								0.26		
	Line item 4									
	Line item 5									
	Adjusted EBIT		435.10	125.80	286.50	265.30	173.00	141.80	77.30	108.50
	D&A									
	Adjustments									
	Reported Adjusted EBIT		441.50	128.30	352.80	295.30	180.40		75.10	112.10
	Check		TRUE	TRUE	TRUE	TRUE	TRUE		TRUE	TRUE
		profit on disposal of income	20.60	9.20	48.90	25.3	15.1		2.70	9.30
		other operating income	6.40	8.50	11.70	15.7	9.1		1.80	6.10
		impairment	- 20.60	- 15.20	5.70	-11	-16.8		- 6.70	- 11.80
	Trade receivables		743	664.40	558.80	581.40	547.10	591.92		
							689.60	746.10		
	Trade Payables						576.3	633.61		
							795.4	874.5		

② **Stage 2 – Data Collection & Output Creation:** Process Breakdown (4/8)

STAGE 2

Process & Output

STEP 3	Action	Description	Process to make adjustments to peer financials
	2c Make adjustments to peer financials	• Once financials for the target and its peers are recorded (less any Non-GAAP adjustments and non-recurring items), we are ready to begin adjusting peers' income statements to **align cost bucketing with that of the target** • The first step to do this is to visit the target's latest earnings report to **review the definitions of each cost bucket** (e.g., COGS) to determine what items have been included or excluded • Based on whether peers also include / exclude these items from the relevant cost buckets, we must **re-allocate expenses for peers** based on how the target has allocated them	(see table below)

Grafton	FY End Date		12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	6/30/2024	6/30/2024	7/1/2023	
Reporting currency	Net Revenue (non-GAAP)		2,672.28	1,679.20	2,109.91	2,301.48	2,319.94	2,267.78	1,137.16	1,189.32	
GBP											
Units: Mn											
Currency conversion											
GBP	COGS (non-GAAP)		1,857.22	1,119.39	1,358.97	1,521.22	1,565.57				
Spot rate:		Purchases and consumables	1,763.49	1,049.37	1,353.86	1,467.49	1,430.05				
		(Increase) in inventories	- 6.74	- 3.82	- 74.86	- 34.66	37.82				
1.00		Add: Staff costs	14.25	9.40	11.42	12.15	12.64				Using FTE split 80/20 split
		Add: D&A	86.22	64.44	68.54	76.25	85.05				
	SG&A (Non-GAAP)		617.84	388.96	479.35	520.02	549.92				
		Selling, distribution and administrative expenses	212.36	119.33	154.01	172.71	187.61				
		Add: Staff costs	381.31	251.59	305.63	325.05	338.28				
		Add: D&A	21.55	16.11	17.14	19.06	21.26				
		Auditor's remuneration – Group and subsidiaries	1.12	0.82	1.02	1.25	1.33				
		Auditor's remuneration – Audit services provided by other firm	0.11	0.14	0.19	0.10	0.13	LTM excluded from lower level benchmarking due to lack of cost breakdown			
		Lease rentals and other hire charges	1.38	0.97	1.37	1.85	1.31				
Status:	S&M										
	G&A										
	R&D										
	Line item 4	Staff costs	395.57	261.00	317.06	337.20	350.93				
		Total employees				8,826.00					
		Manufacturing				318.00					
		Retailing				1,415.00					
		Distribution				7,071.00					
		Holding Company				22.00					
	Line item 5										
	Adjusted EBIT		197.22	170.84	271.59	260.24	204.46	183.66	83.10	103.90	
	D&A		107.77	80.55	85.68	95.31	106.31				
		Reported	114.77	89.45	100.38	114.61	126.00				
		Less: Amortisation of acquired intangibles	7.00	8.90	14.70	19.30	19.69				
	Adjustments										
	Reported Adjusted EBI	Adjusted Operating Profit	204.80	170.60	288.00	285.90	205.50				
	Check		TRUE	TRUE	TRUE	TRUE	TRUE				
		Property profits	6.89	- 0.08	16.74	25.38	1.26				
		Gain/loss on disposal of pp&e	0.67	- 0.23	- 0.34	0.25	0.48				
		Rounding Diff	0.02	0.07	0.01	0.03	- 0.70				
	Trade receivables		271.45	250.66	163.15	190.90	183.51	165.96			
							262.76	290.54			LTM basis FY23 proportion
	Trade Payables							295.43			

② **Stage 2 – Data Collection & Output Creation:** Process Breakdown (5/8)

STAGE 2

Process & Output

Action	Description	Process to make adjustments to peer financials (Travis Perkins example)

STEP 3

2c Make adjustments to peer financials

- The following presents an example of Step 2c for Travis Perkins & its peers:
  - For one of the peers, Grafton, we can see various adjustments have been made to ensure **all one-off costs have been removed**
  - Likewise, we see **Staff Costs have been re-bucketed** from SG&A to COGS to align with how Travis Perkins has allocated this item
  - Travis Perkins included D&A in each cost bucket; however, Grafton reported its **D&A as a separate line item** in its Income Statement. As such, we have proportionally split D&A across the two cost buckets
  - Grafton's **LTM has been excluded** from the analysis due to lack of public data available for 2024. In cases such as these, we only include the peer from FY19 to the latest year available

Grafton	FY End Date		12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	6/30/2024	6/30/2024	7/1/2023	
Reporting currency	Net Revenue (non-GAAP)		2,672.28	1,679.20	2,109.91	2,301.48	2,319.94	2,267.78	1,137.16	1,189.32	
GBP											
Units: Mn											
Currency conversion											
GBP	COGS (non-GAAP)		1,857.22	1,119.39	1,358.97	1,521.22	1,565.57				
Spot rate:		Purchases and consumables	1,763.49	1,049.37	1,353.86	1,467.49	1,430.05				
		(Increase) in inventories	- 6.74	- 3.82	- 74.86	- 34.66	37.82				
1.00		Add: Staff costs	14.25	9.40	11.42	12.15	12.64				Using FTE split 80/20 split
		Add: D&A	86.22	64.44	68.54	76.25	85.05				
	SG&A (Non-GAAP)		617.84	388.96	479.35	520.02	549.92				
		Selling, distribution and administrative expenses	212.36	119.33	154.01	172.71	187.61				
		Add: Staff costs	381.31	251.59	305.63	325.05	338.28				
		Add: D&A	21.55	16.11	17.14	19.06	21.26				
		Auditor's remuneration – Group and subsidiaries	1.12	0.82	1.02	1.25	1.33				
		Auditor's remuneration – Audit services provided by other firm	0.11	0.14	0.19	0.10	0.13	LTM excluded from lower level benchmarking due to lack of cost breakdown			
		Lease rentals and other hire charges	1.38	0.97	1.37	1.85	1.31				
Status:	S&M										
	G&A										
	R&D										
	Line item 4	Staff costs	395.57	261.00	317.06	337.20	350.93				
		Total employees				8,826.00					
		Manufacturing				318.00					
		Retailing				1,415.00					
		Distribution				7,071.00					
		Holding Company				22.00					
	Line item 5										
	Adjusted EBIT		197.22	170.84	271.59	260.24	204.46	183.66	83.10	103.90	
	D&A		107.77	80.55	85.68	95.31	106.31				
		Reported	114.77	89.45	100.38	114.61	126.00				
		Less: Amortisation of acquired intangibles	7.00	8.90	14.70	19.30	19.69				
	Adjustments										
	Reported Adjusted EBIT	Adjusted Operating Profit	204.80	170.60	288.00	285.90	205.50				
	Check		TRUE	TRUE	TRUE	TRUE	TRUE				
		Property profits	6.89	- 0.08	16.74	25.38	1.26				
		Gain/loss on disposal of pp&e	0.67	- 0.23	- 0.34	0.25	0.48				
		Rounding Diff	0.02	0.07	0.01	0.03	- 0.70				
	Trade receivables		271.45	250.66	163.15	190.90	183.51 262.78	165.96 290.54			LTM basis FY23 proportion
	Trade Payables							295.43			

2 **Stage 2 – Data Collection & Output Creation:** Process Breakdown (6/8)

STAGE 2

Process & Output

STEP 4

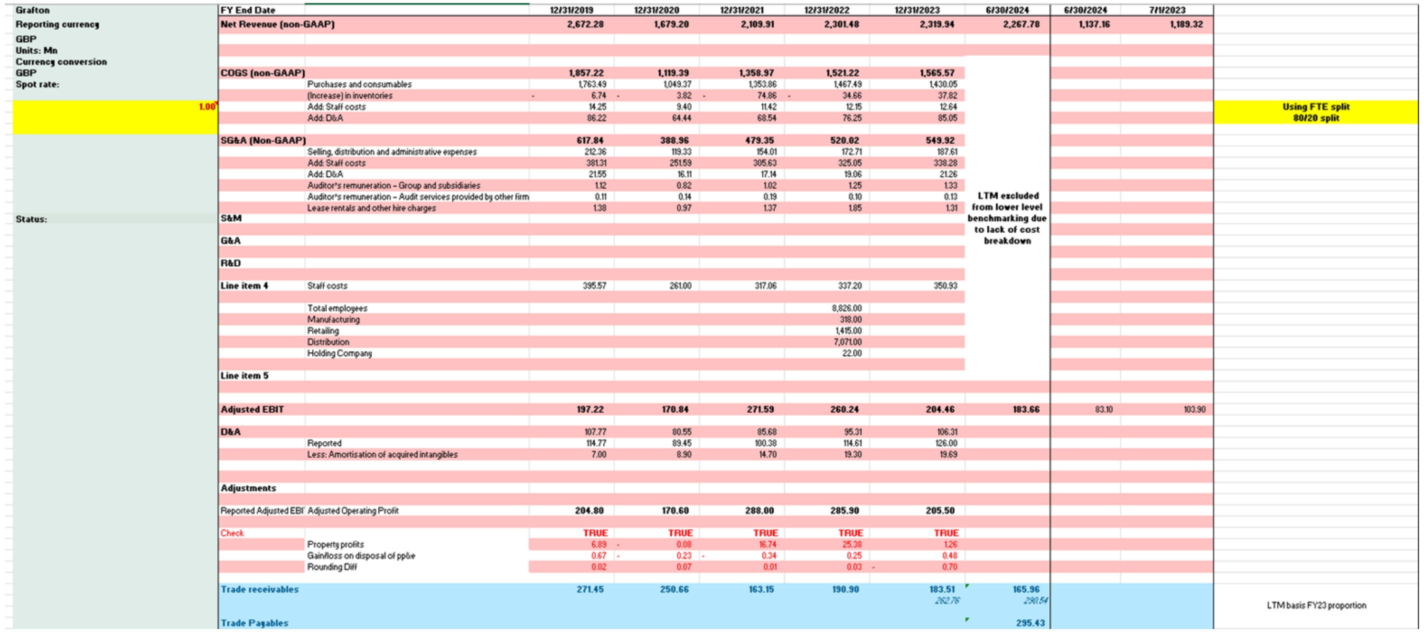
2d

Action: Review adjustments & validate the dashboard

Description:

- Review once more to ensure any **one-off or non-relevant expenses** have been removed from the reported figures. For instance, if **amortization of intangible assets** is included in a cost bucket, it should be adjusted accordingly. See 'Tips & Best Practices' page for a list of expenses that should be adjusted out
- Reverse calculate **Reported Adjusted EBIT/DA** by subtracting Reconciled items (as reported in the company's financials) from the calculated Adjusted EBIT/DA; use the CHECK formula to validate that these numbers match
- Lastly, add a backup tab in our Excel Dashboard for each peer (with screenshots and links of reports used to record numbers) for future reference

Process to review adjustments & validate the dashboard



Grafton
Reporting currency
GBP
Units: Mn
Currency conversion
GBP
Spot rate: 1.00
Status:

FY End Date		12/31/2019	12/31/2020	12/31/2021	12/31/2022	12/31/2023	6/30/2024	6/30/2024	7/1/2023	
Net Revenue (non-GAAP)		2,672.28	1,679.20	2,109.91	2,301.48	2,319.94	2,267.78	1,137.16	1,189.32	
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	Purchases and consumables	1,763.49	1,049.37	1,353.86	1,467.49	1,430.05				
	(Increase) in inventories	- 6.74	- 3.82	- 74.86	- 34.66	37.82				
	Add: Staff costs	14.25	9.40	11.42	12.15	12.64				Using FTE split 80/20 split
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	Auditor's remuneration – Audit services provided by other firm	0.11	0.14	0.19	0.10	0.13	LTM excluded from lower level benchmarking due to lack of cost breakdown			
	Lease rentals and other hire charges	1.38	0.97	1.37	1.85	1.31				
S&M										
G&A										
R&D										
Line item 4	Staff costs	395.57	261.00	317.06	337.20	350.93				
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	Retailing				1,415.00					
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	Holding Company				22.00					
Line item 5										
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D&A		107.77	80.55	85.68	95.31	106.31				
	Reported	114.77	89.45	100.38	114.61	126.00				
	Less: Amortisation of acquired intangibles	7.00	8.90	14.70	19.30	19.69				
Adjustments										
Reported Adjusted EBI	Adjusted Operating Profit	204.80	170.60	288.00	285.90	205.50				
Check		TRUE	TRUE	TRUE	TRUE	TRUE				
	Property profits	6.89	- 0.08	16.74	25.38	1.26				
	Gain/loss on disposal of pp&e	0.67	- 0.23	- 0.34	0.25	0.48				
	Rounding Diff	0.02	0.07	0.01	0.03	- 0.70				
Trade receivables		271.45	250.66	163.15	190.90	183.51 *262.78*	165.96 *290.54*			LTM basis FY23 proportion
Trade Payables							295.43			

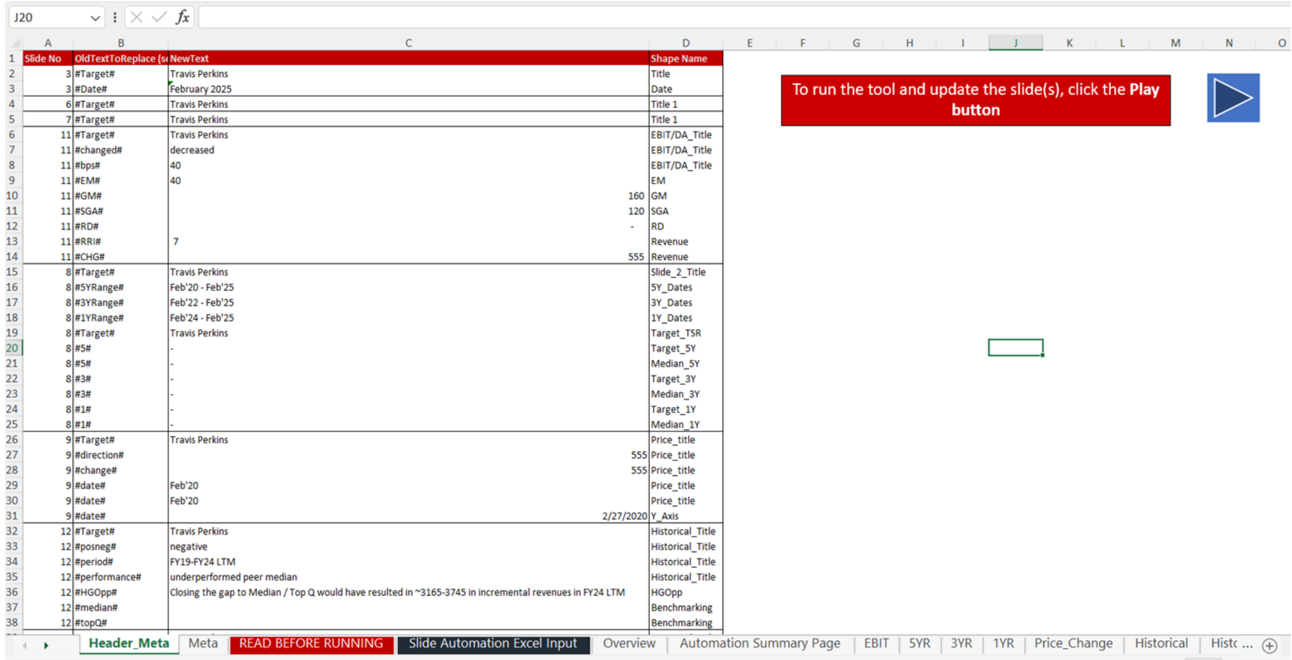
The CHECK formula validates that 'Reported Adjusted EBIT' plus the 3 items Grafton lists as Reconciled items equals our calculated 'Adjusted EBIT'

② Stage 2 – Data Collection & Output Creation: Process Breakdown (7/8)

STAGE 2

Process & Output

	Action	Description	Process to create the initial slide output
STEP 5	2e Create the initial slide output	• Create a copy of the Excel Dashboard; in this new file, open the CapIQ dashboard in the Excel ribbon and click 'Unlink' • Visit the "Input_v3.pptx" file using the following pathway: "8. Templates" -> "OI Templates" -> "1. Standard OI" -> "Automated OI" -> "Think-cell" – Copy a version of this file into the same OI folder where the Excel Dashboard sits – Follow the same process for the Slide Automation Excel (Thinkcell) file that sits in the "Think-cell" folder • Copy the values from the Slide Automation Excel Input tab of the unlinked file and paste them into the same tab of the Slide Automation Excel • In the "Header_Meta" tab of the Slide Automation Excel, update the text in Column C to personalize the content; address errors • Close all tabs except for the Slide Automation Excel and the Input PPT and click "Play"	see image below



	Slide No	OldTextToReplace (s	NewText	Shape Name
2	3	#Target#	Travis Perkins	Title
3	3	#Date#	February 2025	Date
4	6	#Target#	Travis Perkins	Title 1
5	7	#Target#	Travis Perkins	Title 1
6	11	#Target#	Travis Perkins	EBIT/DA_Title
7	11	#changed#	decreased	EBIT/DA_Title
8	11	#bps#	40	EBIT/DA_Title
9	11	#EM#	40	EM
10	11	#GM#	160	GM
11	11	#SGA#	120	SGA
12	11	#RD#	-	RD
13	11	#RRI#	7	Revenue
14	11	#CHG#	555	Revenue
15	8	#Target#	Travis Perkins	Slide_2_Title
16	8	#5YRange#	Feb'20 - Feb'25	5Y_Dates
17	8	#3YRange#	Feb'22 - Feb'25	3Y_Dates
18	8	#1YRange#	Feb'24 - Feb'25	1Y_Dates
19	8	#Target#	Travis Perkins	Target_TSR
20	8	#5#	-	Target_5Y
21	8	#5#	-	Median_5Y
22	8	#3#	-	Target_3Y
23	8	#3#	-	Median_3Y
24	8	#1#	-	Target_1Y
25	8	#1#	-	Median_1Y
26	9	#Target#	Travis Perkins	Price_title
27	9	#direction#	555	Price_title
28	9	#change#	555	Price_title
29	9	#date#	Feb'20	Price_title
30	9	#date#	Feb'20	Price_title
31	9	#date#	2/27/2020	Y_Axis
32	12	#Target#	Travis Perkins	Historical_Title
33	12	#posneg#	negative	Historical_Title
34	12	#period#	FY19-FY24 LTM	Historical_Title
35	12	#performance#	underperformed peer median	Historical_Title
36	12	#HGOpp#	Closing the gap to Median / Top Q would have resulted in ~3165-3745 in incremental revenues in FY24 LTM	HGOpp
37	12	#median#		Benchmarking
38	12	#topQ#		Benchmarking

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2 Stage 2 – Data Collection & Output Creation: Process Breakdown (8/8)

STAGE 2

Process & Output

Action	Description	Process to create the initial slide output

STEP 5

2e

Create the initial slide output

- Once the automated slide gen has been run, the next step is to update the deck
- It is necessary to flip through each page to make the following updates:
  - Add logos
  - Color-code bars as necessary (to visualize different peer groupings, segments, etc.)
  - Add y-axis labels to all charts
  - Update Median and Top Q lines using data from the Mekko Graph Outputs tab of the unlinked Excel
  - Add footnotes
  - Add ESG slide (see Appendix for more information)
- Note that the Performance Summary, Cost Savings Summary, Bain Experience, and EBIT/DA / EV waterfall slides will not be updated until Stages 3 and 4

Process overview: the Automated OI provides an initial insight regarding the target's relative positioning and potential size of prize

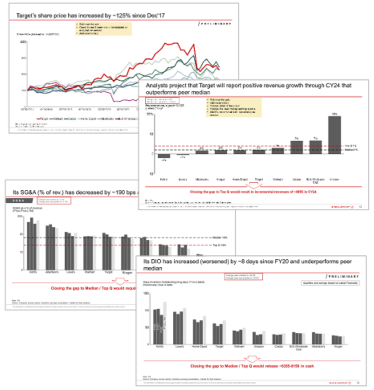
DRAFT

Set up

1. **Review the Adjustment Summary and Dashboard,** ensuring companies are excluded from benchmarking as needed and the correct years are referenced
2. **Copy and paste the values from the Output Sorted tab in the Automated OI Excel.** Each tab refers to a respective slide, so if there is a change to a particular slide, it can be done before the automated deck is populated. If there are null values or errors in the Excel, the deck will not run. **Validate that all the data is properly sourced and complete**
3. **Save a copy of the template and run the analysis**

Results

- **Directional size of prize and benchmarking:** The Automated OI leverages the gap to Median / Top Quartile to create insights and initial opportunity for TSR, revenue growth, lower-level benchmarking, and CCC



User input

- Although the automation can update the content, there are **several areas where user input is required:**
  - Y-axis labels
  - Currency and units
  - Median and Top Q lines
  - Bain experience
  - Waterfall
  - ESG
  - Summaries and commentary
  - Footnotes
  - Logos and segment colouring

Check all formatting

Update story and BE

Review sizing

This information is confidential and was prepared by Bain & Company solely for the use of our client; it is not to be relied on by any 3rd party without Bain's prior written consent

BAIN & COMPANY 2

2 **Stage 2 – Data Collection & Output Creation:** Tips & Best Practices (1/2)

STAGE 2

- **Making the adjustments:**
  - Always **double check the reported numbers** of the “target” against its Annual Report / 10-K, as these are the numbers the account team and the client are most likely to be familiar with. If there are major discrepancies, identify why and determine appropriate path forward (generally try to align with ARs / 10-Ks)
  - Wherever available**, use Non-GAAP financials (for US companies) and Adjusted/Underlined financials (for EU companies)**. If there are any major outliers in the peer set (SG&A, COGS, etc. looks way off from rest of peers), utilize the 10-K reports to try to figure out why this might be the case and ensure that we have apples-to-apples comparison
  - Ensure bucketing of COGS and SG&A is consistent across peers to **ensure apples-to-apples comparison**. One of the key components that usually create discrepancies across peers are Depreciation & Amortization, which could either be its own line item and/or could be included in COGS or SG&A. Ensure this is consistent across all peers (usually by adding to COGS when it is a separate line item)
  - **Write-offs / asset impairment / facility closure / obsolete inventory should be adjusted out from the reported numbers**

- **Before unlinking the dashboard:**
  - Verify that all values in the **Financials & KPIs** tab are **TRUE**. If any **FALSE** values appear, identify the issue and resolve it accordingly
  - Review the **CAGR values** and identify any **spikes or drops** in **Net Working Capital (NWC) numbers**

- **To run the slide Gen:**
  - Copy and paste the values from the **Slide Automation Excel Input** tab of the **unlinked file**
  - Check for any **# or error values** in the **Header Meta** tab of the **Slide Automation Excel**. If errors are found, locate the relevant cells and resolve the issue before running the **slide generation** process
  - Rename the **output generation deck** to **Input.ppt** before running **Slide Gen** (if it has a different name)

2 Stage 2 – Data Collection & Output Creation: Tips & Best Practices (2/2)

STAGE 2

Guidance for adjusting non-recurring line items

Item	Action
Write-offs / asset impairment / facility closure / obsolete inventory	Adjust out
Restructuring costs / severance	Adjust out
Litigation / settlements / legal accruals	Adjust out
Credit losses	Adjust out, unless related to operations (e.g., companies that extend credit cards / financing)
Stock-based compensation	Usually included, unless technology sector (or client excludes)
Acquisition-related costs / transaction fees / business combination	Adjust out
Net gain on asset disposal	Adjust out
Provision for bad debt / (losses)	Adjust out
Reduction in contingent liability	Adjust out
Casualty reserve	Adjust out
Amortization of acquired intangibles	Adjust out *ONLY IF ASSOCIATED WITH ACQUISITIONS*
Change in fair value of deferred earnout	Adjust out
COVID-19 costs	Adjust out
Derivatives / hedging (usually under Other OpEx)	Adjust out (watch out for utilities or oil/gas where it might be more common)
Russia / Ukraine costs	Adjust out
Foreign currency losses	Keep in
Gain on sale of PPE	Adjust out
D&A on cash flow sheet and income statement does not match	Difference in D&A should be adjusted out/in of relevant cost bucket if needed (usually COGS)
Purchase price allocation / pro forma adjustments	Adjust out
Pro forma financials	Okay to use pro forma financials for merger cases

3 Stage 3 – Savings Identification: Introduction

STAGE 3

Overview

- Savings identification is a **critical step** in uncovering **optimization opportunities** across the cost bar and net working capital
- To size the value-at-stake opportunity for the target company, we compare its **performance on each metric against benchmarks for comparable peers** (typically, but not always, median and top quartile)
- Based on these benchmarks, as well as Bain's internal experience in a given sector, we **triangulate a size of prize across 4 core areas**: shareholder returns, topline growth, cost, and net working capital
- This analysis serves as a key input for the **partner/account team** to drive efficiency and cost transformation initiatives for prospective clients

Benchmarking and Bain Experience suggest opportunity for ~£185M+ in EBIT uplift through incremental revenue cost improvement, and ~£20M+ in cash flow enhancement

Top quartile · Better than median · Worse than median

/PRELIMINARY

Indicator	FY24 LTM (Jun'24) Current spend / performance	Performance relative to peer set	Size of opportunity (Benchmarking)	Size of opportunity (Bain Experience)	Size of opportunity (Recommendation)
Topline growth opportunity					
Incremental EBIT due to proj. revenue growth*	**~1.9% revenue growth* (FY24 LTM-CY26)**	Worse than median	**~£15M** incr. EBIT**	**N/A**	**~£15M incr. EBIT**
Cost improvement opportunity					
Cost of Sales	~£3,495M / 26% Gross Margin	Worse than median	~£100[1]-265[2]M (~3-6% Margin Improvement)	~£100-175M (~2-4% Margin Improvement)	~£100-175M (~3-4% Margin Improvement)
SG&A	~£1,115M / 23% of revenue	Better than median	~£110[3]M (~10% of cost base)	~£70-185M (~6-17% of cost base)	~£70-110M (~6-10% of cost base)
Total Cost	**~£4,610M cost base**		**~£210-375M (~5-8% of cost base)**	**~£170-360M (~4-8% of cost base)**	**~£170-285M (~4-6% of cost base)**
Cash flow improvement opportunity					
Inventories	~£670M / 73 Days	Top quartile	-	-	-
Receivables	~£590M / 44 Days	Worse than median	~£20[1]-175[2]M	-	~£20-175M
Payables	~£635M / 63 Days	Better than median	~£5[2]M	-	~£5M
Total NWC			**~£20-180M**	**-**	**~£20-180M**

Note: *FY24 LTM-CY26 growth is based on analyst consensus as per CIQ; **Product of low-end Full Potential EBIT Margin (~6.5%) and Incremental revenues; 1. Closing the gap to FY21; 2. Closing the gap to Median; 3. Closing the gap to Top Quartile; Recommendation of the size of prize depends on the complexity of internal structure and the maturity level of any prior cost programs
Source: Company annual reports; Capital IQ; Bain analysis

Example Cost Savings Summary (for Travis Perkins), which showcases the target's current performance across core cost & net working capital metrics and recommends a size of prize based on peer benchmarks and Bain experience

3 Stage 3 – Savings Identification: Process Overview

STAGE 3

Stage 3: Savings identification Process

Savings Identification Process

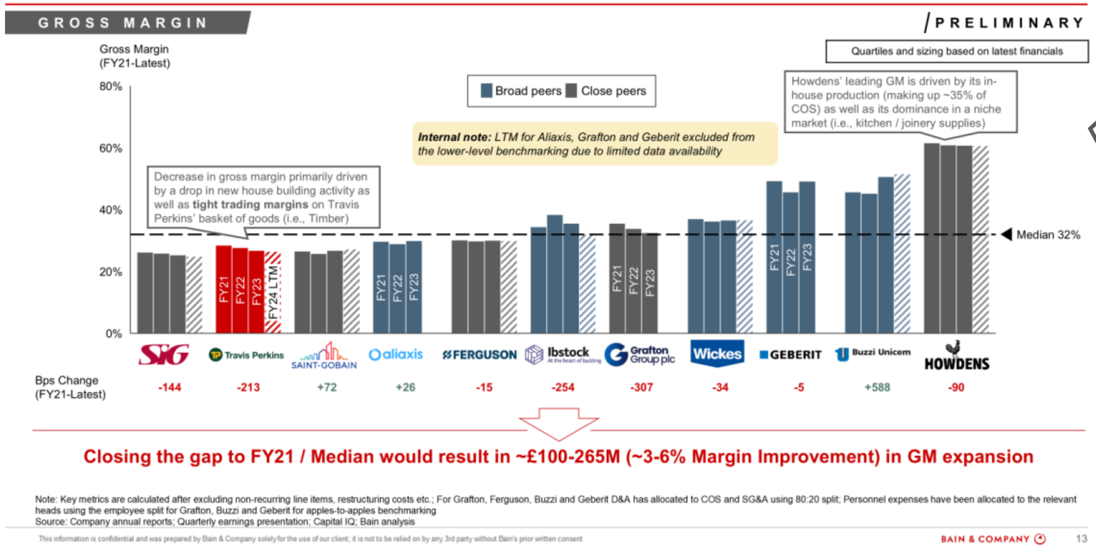
	Action	Description	Est. time allocation	Value addition
3a	Research peer performance and trends	Flip through each page to identify and research key trends in the data; add call-outs to note the rationale behind industry-wide trends, outliers, and the target's performance over time	1 hour	◕
3b	Assess value-at-stake across core metrics	Calculate value-at-stake opportunity based on peer benchmarks across top-line growth, cost, and net working capital metrics; conduct research to inform value-at-stake recommendation ('down arrow') on each slide	1-2 hours	●
3c	Calculate Bain Experience savings potential	Calculate savings potential based on Bain Experience (cross check and validate with practice area, previous OIs, and industry benchmarks on IRIS)	30 minutes	◕
3d	Deliver comprehensive value-at-stake recommendation	Construct Cost Savings Summary & overall value-at-stake recommendation based on peer benchmarking and Bain experience	30 minutes	●

③ **Stage 3 – Savings Identification:** Process Breakdown (1/5)

STAGE 3

Process & Output

Action	Description	Process to research peer performance and trends (Travis Perkins example)
STEP 1 — 3a Research peer performance & trends	• Before sizing the value-at-stake opportunity across core OI metrics, it is important to research the industry, key events / shifts, and trends that are visible in the slides • Leverage AI tools (see 'Set up and collaboration' section for more information), earnings reports / press releases, and online research to **understand trends and add call outs to slides** • It is not necessary to research every trend in every slide; focus on the trends that will be most answer-changing	Gross Margin lies far below peer Median, driven by tight trading margins & a drop in new house building activity in the UK



In the Travis Perkins example, call-outs are added to explain why GM has decreased over time for the target as well as why certain peers are performing exceptionally well; researching these trends helps us **understand whether the company's worsening performance is truly addressable** and highlights best practices from comparable peers

③ **Stage 3 – Savings Identification:** Process Breakdown (2/5)

STAGE 3

Process & Output

Action	Description	Process to assess value-at-stake across core metrics (Travis Perkins example)

STEP 2

3b

Assess value-at-stake across core metrics

- Once you understand the trends and similarities / differences across the peer set, the next step is to assess the value-at-stake across core OI metrics
- For Cost metrics (e.g., Gross Margin), the value-at-stake is typically calculated as follows:
  - Calculate the difference between the target's latest performance and peer median / Top Q
  - If relevant (i.e., client is above Top Q or other savings are unreasonable), calculate the gap to historical performance / close comparable peer
  - Multiply the **gap by the target's overall revenue;** the result is the value-at-stake opportunity
  - For COGS, divide the calculated gap with Revenue to find **margin improvement %**; for other cost buckets, divide the calculated gap with the cost for that bucket (e.g., SG&A expense) to find **% of cost base**
  - Add value-at-stake opportunity and % margin improvement / % of cost base to the down arrow
- A similar process is followed for NWC metrics; the difference is:
  - Instead of multiplying by Revenue to get the value-at-stake opportunity, we must multiply the gap by **cash released per day of improvement**, which is total [Inventories, Receivables, or Payables] divided by [latest DIO, DSO, or DPO value]

Gross Margin (slide 8) - Cluster bar graph

	Client	Seg			
Included?					
	Travis Perkins	Gra			
FY-4	29.3%				
FY-3	28.0%				
FY-2	28.5%				
FY-1	27.7%		26%	61%	26%
FY0	26.8%	32.5%	25.3%	60.8%	26.8%
LTM	26.4%	N/A	24.8%	60.7%	27.3%
Latest values for ranking	26%	33%	25%	61%	27%
Ranks	10.00	5.00	11.00	1.00	9.00
Median		32%	Revenue	4,752	
Top Quartile		43%	COGS	3,497	

For Travis Perkins:
- Gap to Median is 32% - 26.4% = 5.6%
- Value-at-stake is 5.6% * 4,752M = **266M**
- Represents a (266 / 4752) = 5.6 p.p. uplift

DSO - 3 Small bar graphs

	Travis Perkins	Grafton	SIG	Howden	Saint Gobain
		Yes	Yes	Yes	Yes
FY-4	39	37	39	37	44
FY-3	69	57	45	36	49
FY-2	49	36	41	29	43
FY-1	42	28	41	29	39
FY0	42	29	41	29	42
LTM	44		43	32	47
Latest values for ranking	44	29	43	32	47
Ranks	4	9	5	8	2
Median		42	Receivables		592
Top Quartile		31	Cash released		13.53010617

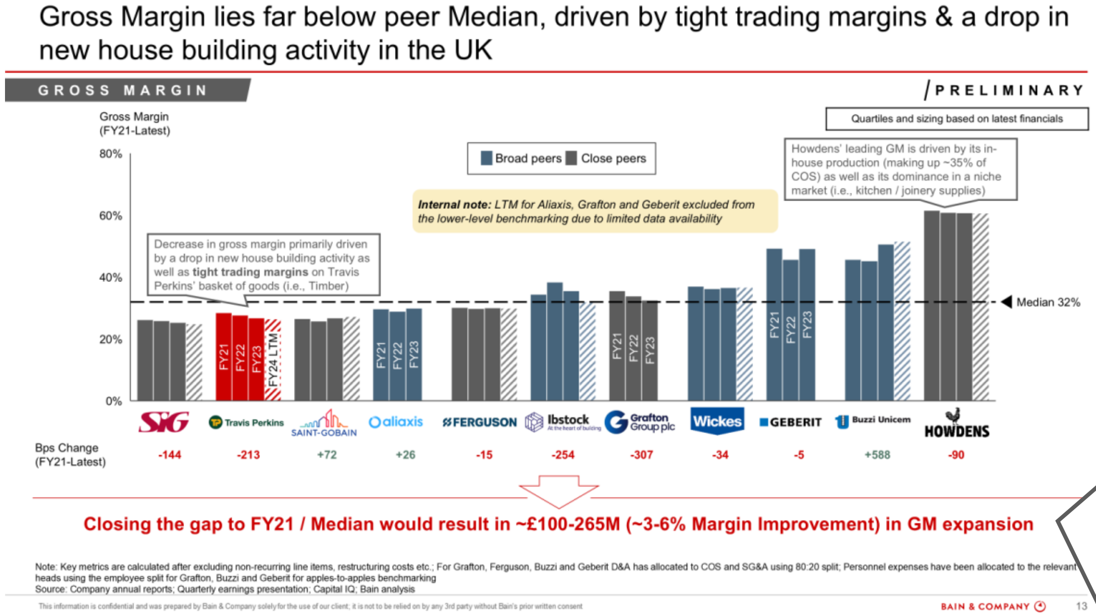
For Travis Perkins:
- Gap to Median is 44 – 42 = 2 days
- Cash released is 592M / 44 days = $13M / day
- Value-at-stake is 2 * $13M = **$26M**

③ **Stage 3 – Savings Identification:** Process Breakdown (3/5)

STAGE 3

Process & Output

Action	Description	Process to assess value-at-stake across core metrics (Travis Perkins example)
STEP 2 3b Assess value-at-stake across core metrics	• Once the value-at-stake opportunity has been calculated, it is important to validate whether the opportunity size is feasible • Identify which peers are driving Median / Top Q and research whether there are any **core business model differences that would make the gap less addressable** • Based on this research**, deliver a recommendation** and add it as a 'down arrow' to the slide – You may choose not to deliver a savings recommendation if the opportunity is not addressable or if the target outperforms all peers – You may also assess whether there is a more appropriate / feasible benchmark to aim for given industry / company context (e.g., previous year, closest peer)	see figure below



In the Travis Perkins example, **peer Top Q is driven by less comparable peers** (e.g., Geberit and Buzzi Unicern, which are more diversified; and Howdens, which drives higher margins due to its niche focus). As such, the recommended opportunity was based on a previous year (FY21) and peer median. The team believed it was feasible to achieve these targets because FY21 was not an outlier year and because several close peers performed near the median.

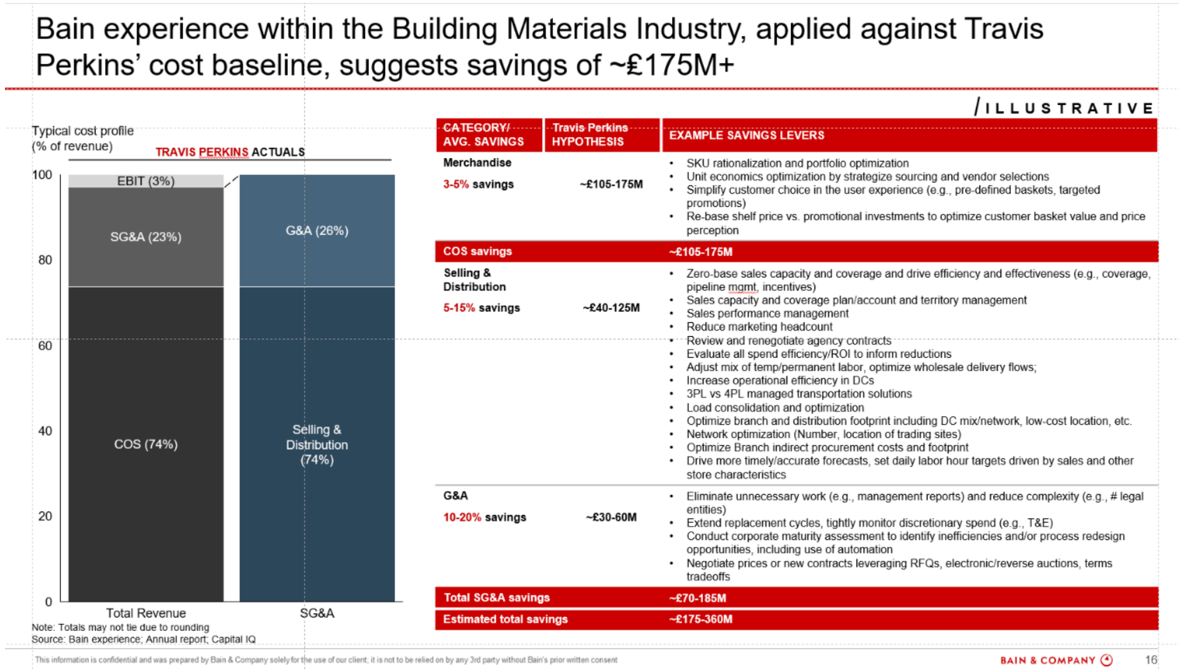
3 Stage 3 – Savings Identification: Process Breakdown (4/5)

STAGE 3

Process & Output

	Action	Description
STEP 3	3c Calculate Bain Experience savings potential	• Build the 'cost profile' section of the Bain Experience slide by **breaking out the target's cost bar into its various line items** – Include sub-cost bucket breakdowns (e.g., G&A and S&D) where sufficient granularity exists; where this granularity does not exist, it may be reasonable to use the split from a comparable peer – though we must note that we have done so – Ensure cost bucket names match the target's income statement (e.g., verify how 'COGS' is labeled and update across the deck) • Identify the 'Category Avg. Savings' by leveraging the savings percentages from a comparable OI in the industry; if such an OI does not exist, find benchmarks from IRIS or online research • If a comparable OI is used, take the example savings levers from the relevant Bain Experience page; confirm that **savings levers accurately reflect the target's actual operations**, especially if the cost profile is not derived from the company's financials • Compare **savings percentages** and **total dollar amounts with other OI studies** in the same industry to ensure consistency and feasibility • Calculate the value-at-stake opportunity by **multiplying the target's expenditure under the relevant bucket with the associated savings percentages**

Process to build out the Bain Experience slide (Travis Perkins example)



CATEGORY/ AVG. SAVINGS	Travis Perkins HYPOTHESIS	EXAMPLE SAVINGS LEVERS
Merchandise 3-5% savings	~£105-175M	• SKU rationalization and portfolio optimization • Unit economics optimization by strategize sourcing and vendor selections • Simplify customer choice in the user experience (e.g., pre-defined baskets, targeted promotions) • Re-base shelf price vs. promotional investments to optimize customer basket value and price perception
COS savings		~£105-175M
Selling & Distribution 5-15% savings	~£40-125M	• Zero-base sales capacity and coverage and drive efficiency and effectiveness (e.g., coverage, pipeline mgmt, incentives) • Sales capacity and coverage plan/account and territory management • Sales performance management • Reduce marketing headcount • Review and renegotiate agency contracts • Evaluate all spend efficiency/ROI to inform reductions • Adjust mix of temp/permanent labor, optimize wholesale delivery flows; • Increase operational efficiency in DCs • 3PL vs 4PL managed transportation solutions • Load consolidation and optimization • Optimize branch and distribution footprint including DC mix/network, low-cost location, etc. • Network optimization (Number, location of trading sites) • Optimize Branch indirect procurement costs and footprint • Drive more timely/accurate forecasts, set daily labor hour targets driven by sales and other store characteristics
G&A 10-20% savings	~£30-60M	• Eliminate unnecessary work (e.g., management reports) and reduce complexity (e.g., # legal entities) • Extend replacement cycles, tightly monitor discretionary spend (e.g., T&E) • Conduct corporate maturity assessment to identify inefficiencies and/or process redesign opportunities, including use of automation • Negotiate prices or new contracts leveraging RFQs, electronic/reverse auctions, terms tradeoffs
Total SG&A savings		~£70-185M
Estimated total savings		~£175-360M

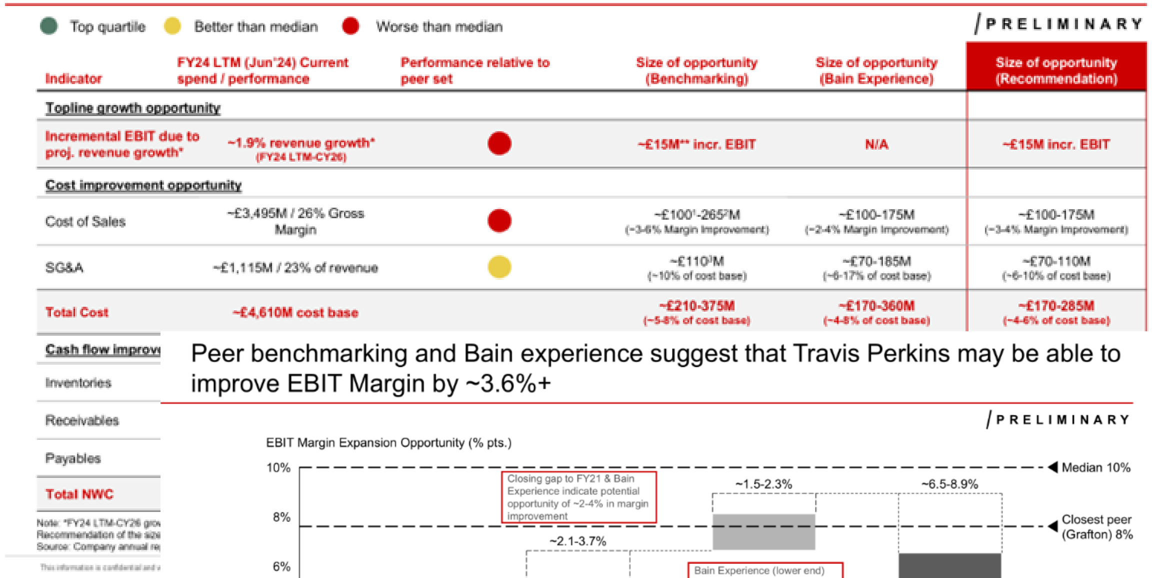
③ **Stage 3 – Savings Identification:** Process Breakdown (4/5)

STAGE 3

Process & Output

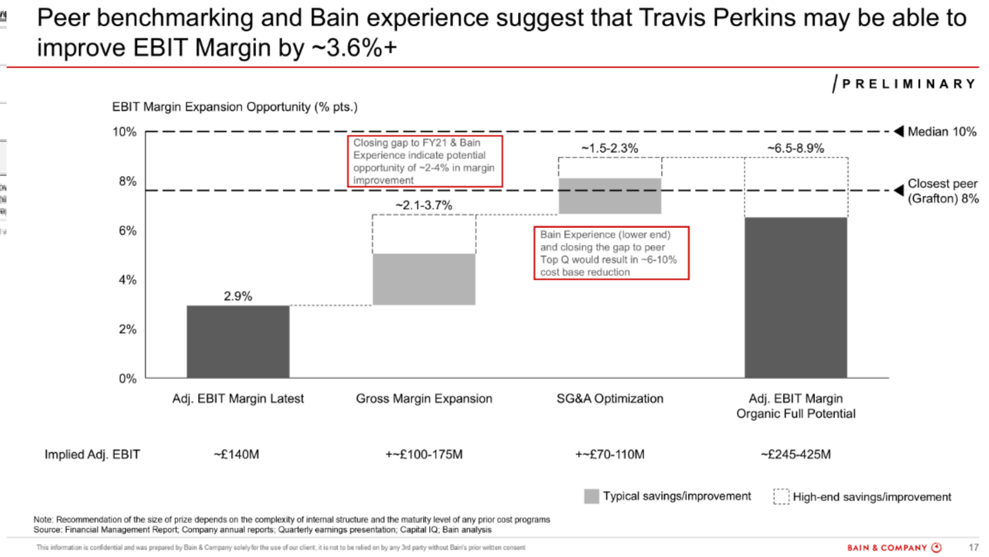
	Action	Description	Process to deliver a value-at-stake recommendation (Travis Perkins example)
STEP 4	3d Deliver comprehensive value-at-stake recommendation	see below	see below

- The overall value-at-stake recommendation is **typically delivered using the Cost Savings Summary slide**
  – The 'Current spend / performance' column of this slide can be filled out using data from the Excel Dashboard
  – The Harvey balls are inputted based on whether the target performs worse than median, better than median, or in the Top Q for a given metric
  – The 'Size of opportunity (Benchmarking)' column is filled in using the 'down arrow' value-at-stake opportunity from each slide
  – The 'Size of opportunity (Bain Experience)' column comes from the Bain Experience slide
- The size of opportunity recommendation is created based on the **synthesis of peer benchmarking & Bain Experience**
  – The team should decide which values to use based on what feels most **feasible / addressable** for the target
  – If an opportunity within a given metric does not feel addressable, it is **reasonable to avoid making a savings recommendation**
  – If possible, we should **never recommend an opportunity using both the low-end and high-end from Bain Experience**; it is important to leverage our peer benchmarking for at least one end of the range
- Once the Cost Savings Summary page is created, it is important to **update the EBIT/DA Margin waterfall** (see Appendix for more information)


Benchmarking and Bain Experience suggest opportunity for ~£185M+ in EBIT uplift through incremental revenue cost improvement, and ~£20M+ in cash flow enhancement

Top quartile · Better than median · Worse than median — PRELIMINARY

Indicator	FY24 LTM (Jun'24) Current spend / performance	Performance relative to peer set	Size of opportunity (Benchmarking)	Size of opportunity (Bain Experience)	Size of opportunity (Recommendation)
Topline growth opportunity					
Incremental EBIT due to proj. revenue growth*	~1.9% revenue growth* (FY24 LTM-CY26)	Worse than median	~£15M** incr. EBIT	N/A	~£15M incr. EBIT
Cost improvement opportunity					
Cost of Sales	~£3,495M / 26% Gross Margin	Worse than median	~£100[1]-265[2]M (~3-6% Margin Improvement)	~£100-175M (~2-4% Margin Improvement)	~£100-175M (~3-4% Margin Improvement)
SG&A	~£1,115M / 23% of revenue	Better than median	~£110[3]M (~10% of cost base)	~£70-185M (~6-17% of cost base)	~£70-110M (~6-10% of cost base)
Total Cost	~£4,610M cost base		~£210-375M (~5-8% of cost base)	~£170-360M (~4-8% of cost base)	~£170-285M (~4-6% of cost base)
Cash flow improv…					
Inventories					
Receivables					
Payables					
Total NWC					



3 Stage 3 – Savings Identification: Tips & Best Practices (1/2)

STAGE 3

- When going through an OI, it is important to conduct 3 sense checks before finalizing our savings recommendation:
- **#1 - Do the benchmarks make sense?**
  - Run through the core cost slides & check whether the recommended savings ranges are reasonable given the context of the industry / trends we observe in the analysis; if the ranges are unreasonable, look for another benchmark we can use (i.e., prior year, etc.)
  - Check the Bain experience savings slide
    - Check to make sure the naming of each cost bucket aligns with the target's income statement (e.g., COGS v. CoS); update throughout the deck
    - If the cost profile does not come from the target's actuals, confirm that the savings levers accurately represent the target's operations / activities
    - Find a previous OI in the industry and compare the savings %s and overall savings $$ against it; make sure the %s align and that we're in the same ballpark; the quickest way to do this is to check if we have already done an OI for one of the target's peers and to sense check this OI for the savings %s
- **#2 - Does the story make sense?**
  - Go through each slide to observe the main trends. Does the target's performance make sense given what we know about the industry and about each metric?
    - [For answer-changing trends] Add call-outs to explain why the target is overperforming / underperforming relative to peers
    - Generally, we want to call out whenever the target looks like an outlier in the data or whenever a key metric has declined up to this year (e.g., revenue has declined recently, SG&A cost has gone up, etc.)
    - Update tags to tell the story; check good examples (i.e., Travis Perkins, Autodesk) to make sure the sentence structure for a given slide matches
- **#3 - What is our overall savings recommendation?**
  - Update the savings #s based on any updates we make to benchmarks throughout the review process
  - When the Cost Savings Summary is updated, make sure to revise any slides that depend on it for inputs (i.e., Performance Summary, waterfall slides)

3 Stage 3 – Savings Identification: Tips & Best Practices (2/2)

STAGE 3

- **Median and Top Q ranges:**
  - Sometimes, companies in the peer set are less comparable to the target in their operations and cost profile; in cases where peers are so structurally different that they skew the quartile ranges, we may exclude them from our quartiles and value-at-stake sizing. In these cases, we must note that we have done so using a footnote or call-out
- **How to interpret R&D:**
  - When R&D is benchmarked in an OI, we pay special attention to our verbiage and recommendations; E.g.,
    - We do not always assume that an R&D spend reduction is a positive outcome for the target; if R&D spend is strongly correlated with revenue & gross margin improvement (see 'R&D Correlation' slide in the Appendix), higher R&D investment may be beneficial for the target
    - If R&D spend is not correlated with revenue & gross margin improvement, and the target's R&D (% of revenue) is still higher than peer median, we may recommend a cost reduction opportunity
    - For these reasons, we generally do not write that the target should 'close the gap to peer median'; instead, we might write that 'bringing R&D spend to peer median would require a ~$50M spend reduction (~0.2x current spend)'
    - In our cost metric bubble chart slide (see Appendix), we color the R&D chart gray to highlight that performing above peer median is neither good nor bad
- **Additional guidance on building the Bain Experience slide:**
  - Search the OI folder and tracker for past OIs of the target company's peers to identify the most comparable Bain Experience savings benchmarks
  - Ensure cost levers align with client-reported categories (e.g., COGS, OpEx, SG&A, R&D). If cost structures differ across peers, reference multiple OIs or similar industry benchmarks to validate comparability
  - Adjust for cost breakdown differences if peers lack detailed splits (e.g., merchandising costs in COGS). Use multiple past OIs, industry benchmarks, or adjacent sector insights to make these adjustments - with proper validation and sense checks
  - Enter the finalized savings levers into the "Size of Prize" tab in the dashboard under the Bain Experience table, ensuring accurate data input for calculations
  - Derive the Bain Experience savings $$s by multiplying the savings %s with the target's financials and rounding to the nearest 5

4 Stage 4 – Output Completion: Process Overview

STAGE 4

Stage 4: Output Completion Process

Output Completion Process

	Action	Description	Est. time allocation	Value addition
4a	Present initial findings to the LT team	Discuss the emerging answer, story, and critical questions with the LT team; identify any net-new slides or additional research that must be completed	0.5-1 hour	●
4b	Update remaining slides	Update the EBIT/DA waterfall slide (if the value-at-stake recommendations shifted), the EV waterfall slide, and the Performance Summary slide	30 minutes	●
4c	Review the full deck & refine the storyline	Flip through each page to perform a full ZD, ensuring that numbers and labels tie throughout the deck; adjust taglines as needed to ensure that the story flows and that is answer-oriented *Note: Once this step is performed, send the deck to LT for final review; action feedback before proceeding to the final step*	1 hour	◕
4d	Share findings with the account team	After incorporating LT feedback and performing a final ZD, draft an email to the account team and share the OI	30 minutes	◕

Once the OI is shared with the account team, be cognizant of potential follow-ups or questions that might come up

4 Stage 4 – Output Completion: Process Breakdown (1/2)

STAGE 4

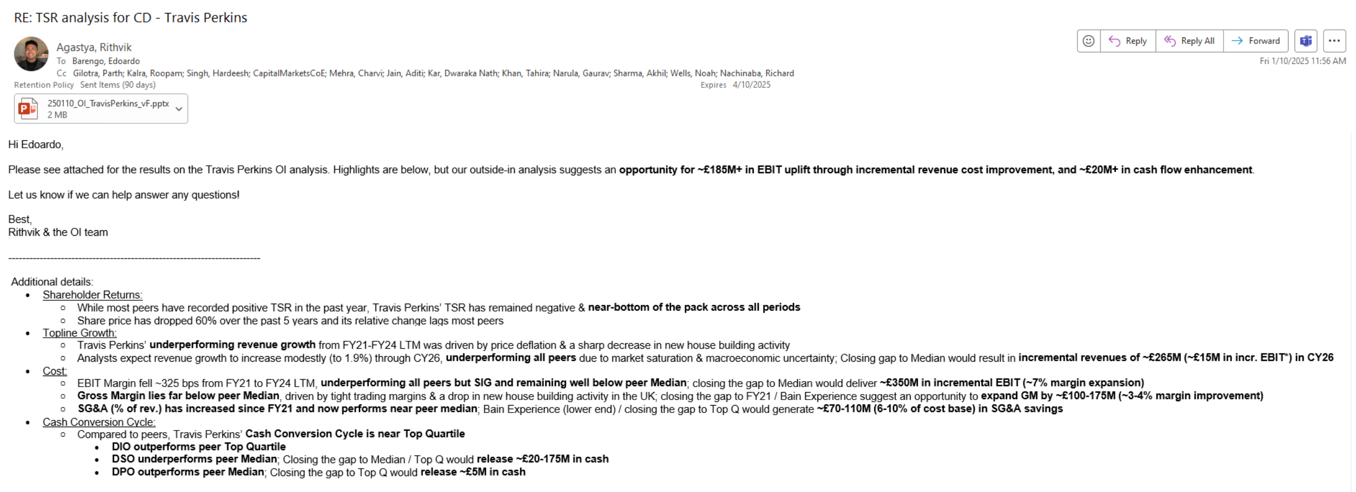
Process & Output

	Action	Description
STEP 1	4a Present initial findings to the LT team	• Review the emerging answer with the LT team during our daily content sync, making sure to **draw attention to the most important areas for input (i.e., savings recommendations, open questions)**
Step 2	4b Update remaining slides in the deck	• Revise the benchmarking pages and the Cost Savings Summary based on LT feedback • **Update the EBIT/DA Margin waterfall once** the Cost Savings Summary has been finalized (see details in Appendix) – Once the full-potential EBIT/DA Margin is calculated, multiply this value (either low- or high-end) by the incremental revenue figure in the down arrow of the projected revenue slide to arrive at the incremental EBIT/DA opportunity from revenue growth; this value will be **included in the Cost Savings & Performance summaries** • Leverage the 'EV/EBIT(DA) Calculation' tab of the Excel Dashboard to model the EV uplift provided by the recommended cost savings; update the EV uplift waterfall slide (see details in Appendix); the TSR uplift calculated here will be **added to the Performance Summary** • **Construct the Performance Summary** slide based on key insights across the deck (see details in Appendix)
Step 3	4c Review the full deck & refine the storyline	• Flip through each page to perform a full ZD, **ensuring that numbers and labels tie** throughout the deck; E.g., – The 'Size of Opportunity' column of the Performance Summary slide should tie to the recommendations in the Cost Savings Summary & waterfall slides – Ensure all numbers reflect the same currency and unit (e.g., $M) – Confirm that footnotes and sources are updated for each slide – Validate that Bps changes and color coding are accurate • **Update taglines to ensure that the story flows** from slide-to-slide and that each tagline is additive to the answer; reference best-practice examples like Travis Perkins and Autodesk. Please visit this document for more information on how to frame the answer. • Share the full deck for LT feedback and action any changes as needed

4 **Stage 4 – Output Completion:** Process Breakdown (2/2)

STAGE 4

Process & Output

	Action	Description	Process to share findings with the account team (Travis Perkins example)
STEP 4	4d Share findings with the account team	• Draft an email to the account team with the standard format (see screenshot) • Bullet points for the 'Additional details' section can be pulled from the Performance Summary • Do a final ZD check by opening the attached file to confirm that all the latest changes are reflected and that there are no stickies present in the deck • When sending the email, make sure to respond in the correct thread; CC the BCN working team (check Trello to see who worked on the OI) and the OI LT (incl. BCN LT)	

RE: TSR analysis for CD - Travis Perkins

Agastya, Rithvik
To Barengo, Edoardo
Cc Gilotra, Parth; Kalra, Roopam; Singh, Hardeesh; CapitalMarketsCoE; Mehra, Charvi; Jain, Aditi; Kar, Dwaraka Nath; Khan, Tahira; Narula, Gaurav; Sharma, Akhil; Wells, Noah; Nachinaba, Richard
Retention Policy Sent Items (90 days) Expires 4/10/2025
Reply Reply All Forward
Fri 1/10/2025 11:56 AM
250110_OI_TravisPerkins_vF.pptx
2 MB

Hi Edoardo,

Please see attached for the results on the Travis Perkins OI analysis. Highlights are below, but our outside-in analysis suggests an **opportunity for ~£185M+ in EBIT uplift through incremental revenue cost improvement, and ~£20M+ in cash flow enhancement**.

Let us know if we can help answer any questions!

Best,
Rithvik & the OI team

Additional details:

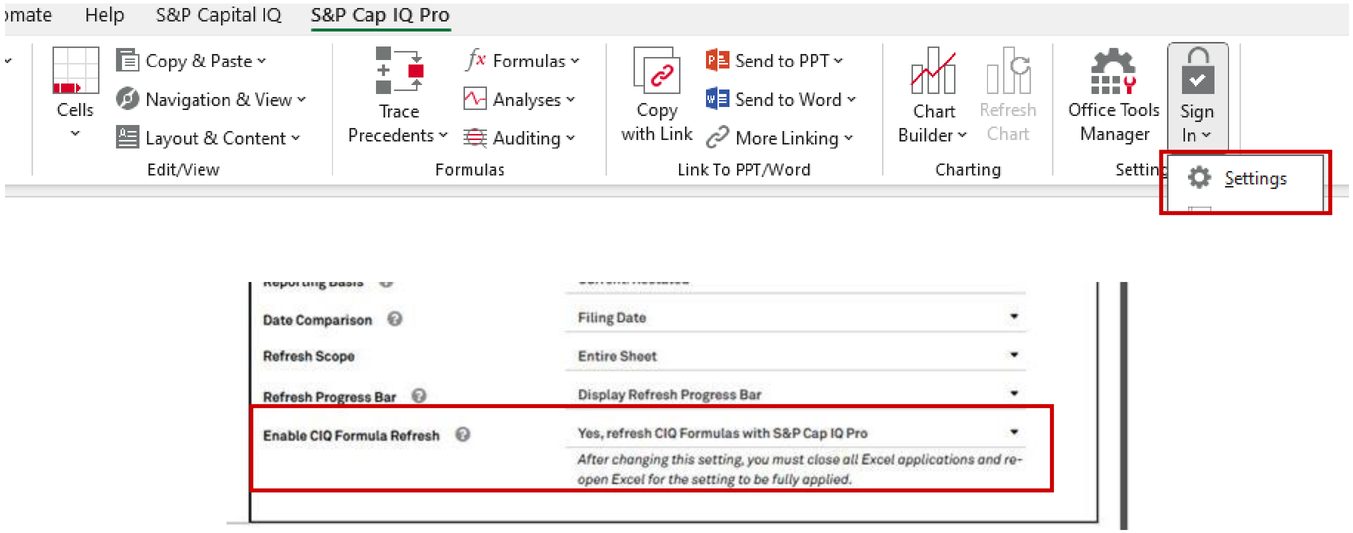
- Shareholder Returns:
  - While most peers have recorded positive TSR in the past year, Travis Perkins' TSR has remained negative & **near-bottom of the pack across all periods**
  - Share price has dropped 60% over the past 5 years and its relative change lags most peers
- Topline Growth:
  - Travis Perkins' **underperforming revenue growth** from FY21-FY24 LTM was driven by price deflation & a sharp decrease in new house building activity
  - Analysts expect revenue growth to increase modestly (to 1.9%) through CY26, **underperforming all peers** due to market saturation & macroeconomic uncertainty; Closing gap to Median would result in **incremental revenues of ~£265M (~£15M in incr. EBIT*) in CY26**
- Cost:
  - EBIT Margin fell ~325 bps from FY21 to FY24 LTM, **underperforming all peers but SIG and remaining well below peer Median**; closing the gap to Median would deliver **~£350M in incremental EBIT (~7% margin expansion)**
  - **Gross Margin lies far below peer Median**, driven by tight trading margins & a drop in new house building activity in the UK; closing the gap to FY21 / Bain Experience suggest an opportunity to **expand GM by ~£100-175M (~3-4% margin improvement)**
  - **SG&A (% of rev.) has increased since FY21 and now performs near peer median**; Bain Experience (lower end) / closing the gap to Top Q would generate **~£70-110M (6-10% of cost base) in SG&A savings**
- Cash Conversion Cycle:
  - Compared to peers, Travis Perkins' **Cash Conversion Cycle is near Top Quartile**
    - **DIO outperforms peer Top Quartile**
    - **DSO underperforms peer Median**; Closing the gap to Median / Top Q would **release ~£20-175M in cash**
    - **DPO outperforms peer Median**; Closing the gap to Top Q would **release ~£5M in cash**

AGENDA

Set up: Overview of tools available to the OI team

	Tool	Description	Links
Required tools	Capital IQ	Data & analytics platform (incl. Excel plug-in) providing detailed company information and financials	*Capital IQ*
	Trello	Project management tool to organize the OI workflow process for the US and BCN teams	*Trello*
Supplemental tools	OI tracker	Detailed tracker with key information and statistics on prior OIs	*OI tracker*
	A1OI	Interactive Tableau dashboard providing a rapid “A1” on benchmarking and savings opportunities	*A1OI*
	OI GenAI tools repository	Collection of AI tools that can help when generating OIs	*OI GenAI tools repository*
	PEG Get Smart	Research platform generating instant reports on a company / industry	*PEG Get Smart*

Set up: Capital IQ

	Action	Description	Illustrative steps
STEP 1	Obtain access to “CapIQ Classic”	• Default platform for Bain is CapIQ Pro, which is accessible on Compass • Our team prefers CapIQ Classic given its more intuitive user interface – **for access, please ask team manager to reach out to RDS contact**	
STEP 2	Configure the CapIQ Excel plug-in	• The BCN team uses the Classic plug-in, but you may use either that or Pro • If you use Pro, click on “Settings” in the toolbar and enable CIQ Formula Refresh, allowing you to refresh adjustment summaries completed by BCN • For rapid setup, **please visit your local TSG team**	

Set up: Using ChatGPT well

- ChatGPT is a **useful tool throughout the OI process** – from initial "get smart" to deeper investigations into recent trends
- When starting an OI, it is often helpful to **prompt ChatGPT for a "primer" on the company and its sector**, asking for input on:
  - Company history
  - Stock price performance
  - Profitability trends
  - Key competitors
  - Recent acquisitions
- ChatGPT can also **provide relevant context to explain key trends** (e.g., why did SG&A rise suddenly in FY22) as you investigate performance, though it is best practice to **validate its output against company reporting** via annual (10-K) or quarterly (10-Q) filings, earnings reports, and call transcripts
- ChatGPT can also help provide **quick analysis on annual reports / financial statements** with questions like "What page shows segment level EBIT margins" or "Does the annual report mention why COGS has increased in the past year?"
- **Importantly, always be cautious with output generated by ChatGPT** given possible "hallucinations" or incorrect responses and instead view it as a supporting tool for your analysis. Always verify through additional research in company website / financials before adding callouts to the deck

Collaboration: Working on the OI team involves ongoing collaboration between the US and India teams

- We complete OIs with the help of a **dedicated BCN India team**, who has deep expertise and is a critical partner as we strive to deliver outputs efficiently
- The BCN team is ~6–8 people and has capacity for supporting **up to three workstreams each night**
- Before ~7:00 PM PST, send an **EOD note** to the BCN team outlining progress made that day and next steps on any outstanding tasks. Be sure to **include all open OIs**—even if no action is needed from BCN—so they have full visibility
- Supplement the EOD note with more detailed instructions on the **Trello board**. While the overview in the EOD note is helpful, Trello should include clear, step-by-step guidance to ensure accurate execution
- Given large gaps in time zones, **clear communication is very important**. We have limited hours (either late at night or early in the morning) where we overlap and meeting to ask clarifying questions can be very difficult
- When planning work with the BCN team, it's helpful to **leverage their strengths**:
  - The team is highly skilled at creating **adjustment summaries** and often completes them more quickly than the US team. We typically recommend having them lead the charge in creating these, while the US team leads the charge on the OI presentations
  - It is often helpful to have the BCN team **focus on formatting changes** (e.g., logos, bar colors, footnotes), as the US team typically leads on sizing and recommendations after discussions with LT

AGENDA

Introduction to OI

Process to build an OI

Set up and collaboration

Additional guidelines

Additional guidelines: Typical OI Output – Performance Summary

ADDITIONAL GUIDELINES | TYPICAL OUTPUT

/ILLUSTRATIVE

Input

- There is no Excel input for this slide; it needs to be constructed by synthesizing the main insights from the OI
- <u>Shareholder returns:</u> Usually comes from the two pages on TSR and share price performance over time
  - Size of opportunity is taken from the EV uplift slide (see P62)
- <u>Topline growth:</u> Based on insights on historical revenue growth and projected revenue growth
  - Incremental revenue opportunity is taken from the projected revenue growth page
  - Incremental EBIT/DA opportunity is usually the product of the incremental revenue opportunity and full-potential EBIT/DA margin (see P61)
- <u>Cost:</u> Based on the core cost slides in the OI (e.g., EBIT/DA Margin, Gross Margin, SG&A, R&D)
  - Top-down EBIT/DA opportunity comes from the EBIT/DA margin page (see P56)
  - Bottom-up opportunity is the recommended cost opportunity in the cost savings summary (see P51)
- <u>Cash Conversion Cycle:</u> Based on the CCC slides; size of opportunity comes from the recommended value-at-stake in the cost savings summary (see P51)
- <u>ESG:</u> Comes from the ESG benchmarking page (see P65)

Output

Performance Summary output is commonly shown as one page, though certain OIs also highlight additional "Operating Metrics"

Performance summary: Tidewater has an oppor
by reducing cost and optimizing its NWC [1/2]

🟢 Top quartile 🟡 Better than median 🔴 Worse than median

/PRELIMINARY

Indicator	Baseline	Performance relative to peers	Size of opportunity	Commentary
Shareholder returns	-66% 1Y TSR	🔴	~2.5 p.p.	• Tidewater's TSR outperformed the peer group over the 5Y and 3Y period, though it declined significantly in the last year and **lags the peer group** • Following a period of steady increase till Sept'24, Tidewater's share price has **declined by 60%+ in the last year**
Topline growth	~4.8% projected revenue growth*	🟡	-	• Tidewater reported **significant revenue growth (~23%)** from FY19-24 via M&A and day rate increases, **outperforming all peers** • Analysts forecast a **slowdown in Tidewater's annual revenue growth** through CY26, though still leads other peers when anticipating organic revenue growth
Cost	~600M / ~42% Adj. EBITDA Margin	🟢	<u>**Bottom-up:**</u> *(Cost Buckets)* $25-45M	• EBITDA margin worsened to its lowest in FY21 (~12%), but has **since improved dramatically to achieve top quartile performance (~42%)** • Gross Margin has improved by ~1,490 bps since FY19 and **lies above the peer median**; closing the gap to Top Q / high end of Bain Experience would result in **~$25-35M (~2-3% margin improvement)** in GM expansion – **Relative Crew Cost** has decreased consistently since FY21, now performing at peer median – **Other Vessel Operating Costs** have followed a similar pattern • SG&A (% of rev.) has decreased by ~955 bps and now **performs at peer median**; closing the gap to Top Q would result in **~$10M (~10% of cost base) in SG&A savings**
Cash and Capital	~70 days	🔴	~$35-70M	• Tidewater's Cash Conversion Cycle has improved by ~22 days since FY19 yet **continues to underperform all peers** • **DIO** has improved by ~7 days since FY19 yet underperforms all peers; closing the gap to **halfway to Median / Median would release ~$10-20M (~5-10 days improvement) in cash** • **DSO** has improved by ~15 days since FY19 and **performs at top quartile** • **DPO** has been consistent since FY19-24 and underperforms peer median; closing the gap to **Median / Seacor would release ~$25-50M (~11-22 days improvement) in cash** • Tidewater **leads peers on ROA (~65%) and ROCE (~32%)** • Capex (% of revenue) has **remained below median across all years** indicating a leaner investment model relative to peers

Note: *FY24-CY26 growth is based on analyst consensus as per CIQ; Recommendation of the size of prize depends on the complexity of internal structure and the maturity level of any prior cost programs
Source: Company annual reports; Quarterly earnings presentation; Capital IQ; Bain analysis

Performance summary: Tidewater has an opportunity to improve its negative TSR by reducing cost and optimizing its NWC [2/2]

🟢 Top quartile 🟡 Better than median 🔴 Worse than median

/PRELIMINARY

Indicator	Baseline	Performance relative to peers	Size of opportunity	Commentary
Operating metrics	-	-	-	• Tidewater has the **largest fleet size** with 211 vessels, though its **fleet is above the median age** at 12.6 years • **Fleet utilization** is 79%, **below the peer median** of 83.5%
ESG	BBB	🔴	-	• Tidewater is considered **"Average" for ESG**, lagging most peers

Additional guidelines: Typical OI Output – Peer Set Overview

ADDITIONAL GUIDELINES | TYPICAL OUTPUT

/ILLUSTRATIVE

Input

- Summary data on the peer set is in the below Summary Table found on the *Mekko Graph Outputs* tab
- Pull in revenue, historical growth, projected growth, EBIT (or EBITDA), EBIT (or EBITDA) Margin, and any other OI-specific metrics (e.g., ROCE, fleet size)
  - Note: Figures should be rounded to the nearest 0.1 (e.g., $1.3B, 22.6%)
- Footnote must include the timeframe for historical and projected growth, highlight adjustments for non-recurring line items, explain fiscal year timing across peers, and identify any significant adjustments to the financials
  - Note: We often leverage BCN to help draft the footnote given their detailed knowledge of the adjustments made

Summary Table 2)

Peers	Revenue	Growth	Projected Revenu	EBIT	Margin
DOF Group	1.4	#NUM!	0.2	0.5	33%
Tidewater	1.3	23%	0.0	0.6	42%
Sea1 Offshore	0.3	3%	-0.1	0.2	49%
Seacor Marine Holdings	0.3	9%	0.0	0.0	11%
MMA Offshore Limited	0.2	9%	-1.0	0.1	29%

Output

We used the best available comparable companies to benchmark Tidewater

/PRELIMINARY

		Revenue			Profitability				Operating metrics		
		Revenue (Latest, $B)	Historical Growth* (FY19-Latest)	Projected Growth** (Latest-CY26)	Adj. EBITDA (Latest, $B)	Adj. EBITDA Margin	ROA (Latest)	ROCE	Fleet Size (# of Vessels)	Avg. Fleet Age (Years)	Fleet Utilization (%)
Client	TIDEWATER	**1.3**	**22.6%**	**4.8%**	**0.6**	**41.5%**	**64.9%**	**32.1%**	**211**	**12.6**	**79.0**
Peers	DOF	1.4	NA	18.2%	0.5	32.6%	36.6%	13.7%	77	NA	88.0
	SEA1	0.3	3.1%	-8.5%	0.2	48.6%	41.7%	23.1%	17	NA	90.6
	SEACOR MARINE	0.3	9.2%	1.9%	0.0	11.4%	37.3%	4.8%	54	10.0	67.0
	MMA OFFSHORE	0.2	9.0%	NA	0.1	28.5%	NA	NA	19	10.9	NA

Note:*Growth represent FY19-24 for all peers except MMA Offshore Limited (FY19-23 LTM) given July 2024 acquisition, and DOF Group (FY21-24) given changes to reporting structure; **Growth represents FY24-CY26; Key metrics are calculated after excluding non-recurring line items incl. restructuring costs, etc.; All companies represent fiscal year ended 12/31 except MMA Offshore Limited (06/30); LTM values ending Dec'24 for all peers, except MMA Offshore Limited (Dec'23)
Source: Company annual reports; Quarterly earnings presentation; Capital IQ; Bain analysis

Additional guidelines: Typical OI Output – TSR Analysis

ADDITIONAL GUIDELINES | TYPICAL OUTPUT | /ILLUSTRATIVE

Input

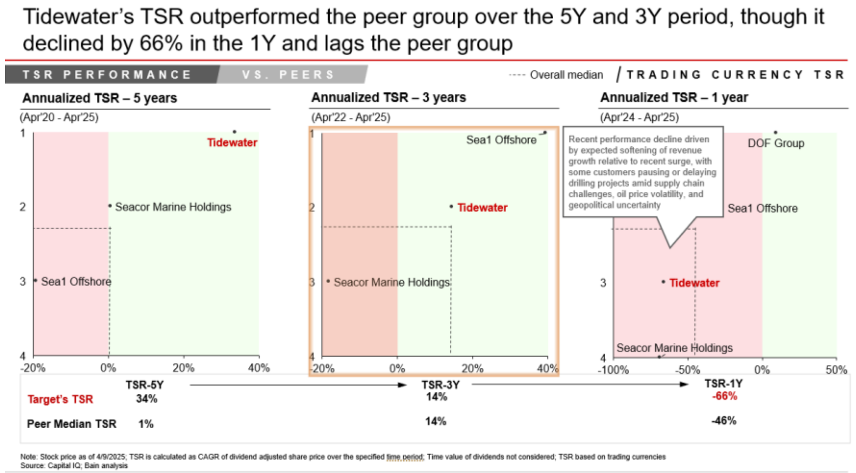
- TSR data is found on the *TSR Analysis* tab, which contains calculated TSR and rank for each peer over the 5Y, 3Y, and 1Y periods
- To build out the **TSR performance slide**, pull the calculated TSR for each peer into the think-cell chart and manually update the data row below with the target company's TSR and the peer median TSR
- On the chart itself, update the dotted lines to reflect the median

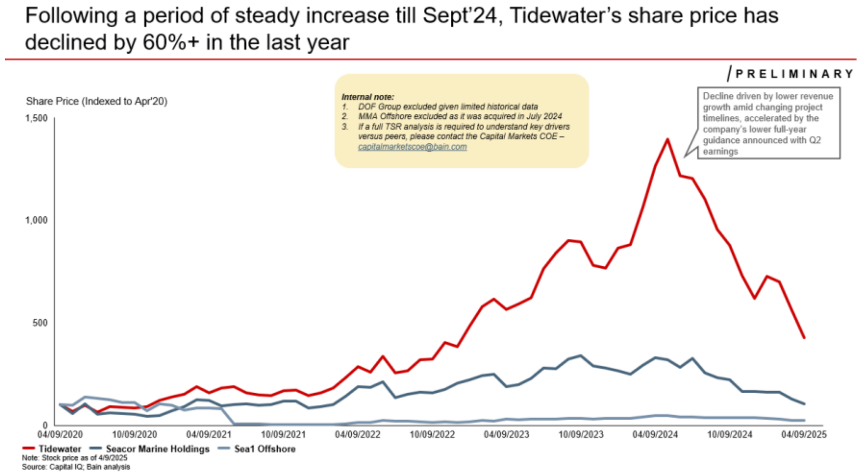
			Q02	2019
				5 year TSR
Peer	**Group**	**Ticker**	**Calc. TSR**	**Rank**
Tidewater	A	NYSE:TDW	34%	1
Seacor Marine Holdings	A	NYSE:SMHI	1%	2
Sea1 Offshore	A	OB:SEA1	(19%)	3
DOF Group	A	OB:DOFG		

- For the **indexed share price slide**, pull in the relevant data from the *Indexed Share Price Movement* section and add any relevant callouts

Indexed Share Price Movement					
			4/28/2020	***5/28/2020***	***6/28/2020***
Peer	**Group**	**Ticker**			
Tidewater	A	NYSE:TDW	100	67.19	97.40
Seacor Marine Holdings	A	NYSE:SMHI	100	57.52	104.77
Sea1 Offshore	A	OB:SEA1	100	96.00	138.67
DOF Group	A	OB:DOFG	100	#DIV/0!	#DIV/0!

Output





Additional guidelines: Typical OI Output – Cost Savings Summary

ADDITIONAL GUIDELINES | TYPICAL OUTPUT

ILLUSTRATIVE

Input

- This slide summarizes the **company's current performance and resulting size of opportunity**
- First step is to **align on the rows you'll include**, which are commonly the simple cost items shown in the Tidewater example, though we sometimes show others depending on the context (e.g., advertising, top-down EBIT)
- Next, pull in the **current spend / performance column**:
  - Values can be found on either the Income Statement Revised (e.g., COGS, SG&A) and Financials & KPIs (e.g., Inventory $ amount)
- For **performance vs. peers**, visit the benchmarking slide for each line item (e.g., Gross Margin for COGS) and note whether the target is Top Q, better than Median, or worse than Median
- For **Benchmarking & Bain Experience**, pull in the savings amounts from the down arrows and recommendations on each slide
- Lastly, use your judgment to **issue a recommendation** based on these benchmarks and carefully update the footnotes to specify how each benchmarking analysis was done (e.g., Closing the gap to Median)

Output

Benchmarking and Bain Experience suggest opportunity for ~$25M+ in EBITDA uplift through cost improvement, along with up to ~$70M in NWC

Top quartile | Better than median | Worse than median

PRELIMINARY

Area of Opportunity		Current spend / performance FY24 as of Dec'24	Performance vs. Peers	Size of Opportunity: Benchmarking	Bain Experience	Recommendation
Total Revenue Opportunity		**~4.8% revenue growth*** (FY24-CY26)		-	-	-
Cost	COGS	~$690M / ~49% Gross Margin		~$25[1]M (~2% Gross Margin improvement)	~$20-35M (~1-3% Gross Margin improvement)	~$25-35M (~2-3% Gross Margin improvement)
	SG&A	~95M / 7% of Revenue		~$10[1]M (~10% of cost base)	~$10-20M (~10-20% of cost base)	~$10M (~10% of cost base)
Total Cost Opportunity		**~$785M cost base**		**~$25-35M (~3-4% of cost base)**	**~$30-55M (~4-7% of cost base)**	**~25-45M (~3-6% of cost base)**
NWC	Inventories	~$35M / 18 Days		~$10[2]-20[3]M	-	~$10-20M
	Receivables	~$330M / 83 Days		-	-	-
	Payables	~$70M / 31 Days		~$25[3]-50[4]M	-	~$25-50M
Total NWC Opportunity				**~$35-70M**	**-**	**~$35-70M**

Note: *FY24-CY26 growth is based on analyst consensus as per CIQ; 1. Closing the gap to Top Quartile; 4. Closing the gap to Seacor; Recommendation of the size of prize depends on the complexity of internal structure and the maturity level of any prior cost programs
Source: Company annual reports; Capital IQ; Bain analysis

Additional guidelines: Typical OI Output – Revenue Build

ADDITIONAL GUIDELINES | TYPICAL OUTPUT

ILLUSTRATIVE

Input

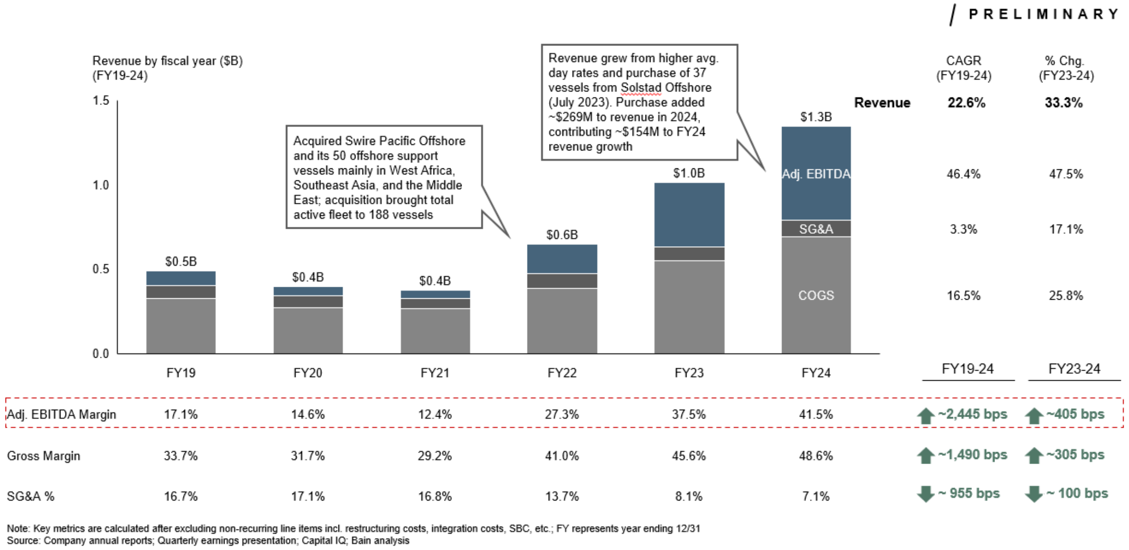
- Data for this slide can be found in the *Financial Trends* section on the *Mekko Graph Output* tab
- Once the think-cell cart is updated, manually calculate the FY19-24 and FY23-24 bps change in Excel and add it to the relevant text boxes
- Review the slide in detail, **looking for key trends or outliers** (e.g., revenue jumps, profitability declines) and add brief callouts explaining the change
  - Potential sources include company annual (10-K) and quarterly (10-Q) filings, earnings reports, call transcripts, ChatGPT*
  - **Be aware of acquisitions** as a potential source of YoY revenue swings

Financial Trends 5) - Stacked bar graph

Years to consider	Yes	Yes	Yes	Yes	Yes	Yes	Yes
	2018	2019	2020	2021	2022	2023	IQ_LTM
Revenue	-	487	397	371	648	1,010	1,346
COGS	-	322	271	263	382	549	691
SG&A	-	81	68	62	89	82	96
R&D costs	-	-	-	-	-	-	-
Other operating income							
Adj. EBIT	-	83	58	46	177	379	559
EBIT Margin		*17%*	*15%*	*12%*	*27%*	*38%*	*42%*
R&D %		*0%*	*0%*	*0%*	*0%*	*0%*	*0%*
SG&A %		*17%*	*17%*	*17%*	*14%*	*8%*	*7%*
Gross Margin		*34%*	*32%*	*29%*	*41%*	*46%*	*49%*

Output

Tidewater's EBITDA margin has improved significantly since FY19 driven by its ~23% revenue growth and improved Gross Margin



Note: *See slide on *Using ChatGPT well* and follow those best practices, particularly on vetting its output against company reporting

Additional guidelines: Typical OI Output – Historical Revenue Growth

ADDITIONAL GUIDELINES | TYPICAL OUTPUT

/ILLUSTRATIVE

Input

- Historical revenue growth is found in the *Growth* column of the Summary Table on the *Mekko Graph Outputs* tab
- Update the think-cell chart with the historical growth for each company, as well as the Median and Top Q which you should calculate in Excel
- Determine whether benchmarking is feasible
- **If benchmarking is feasible**, follow the below steps:
  – Start with the beginning period revenue (FY19 in this example) and grow it by the actual historical growth rate (22.4%), which should tie exactly to FY24 revenue
  – Then determine the benchmarked growth rate (e.g., median, top Q) and grow beginning period revenue by that growth rate to calculate implied FY24 revenue
  – Difference between implied FY24 revenue from the benchmarked growth rate and actual FY24 revenue provides the savings opportunity to be included in the down arrow

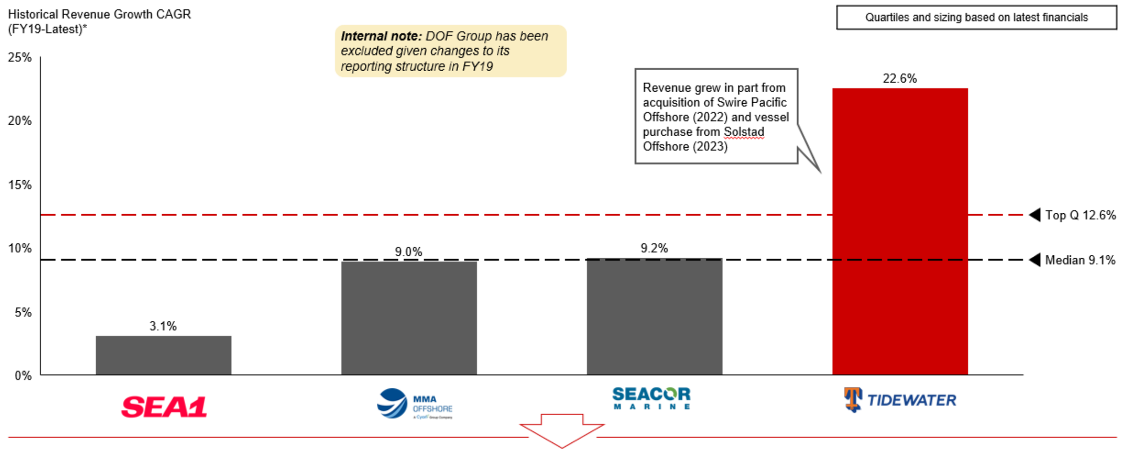
Summary Table 2)

Peers	Revenue	Growth	Projected Reven	EBIT	Margin
DOF Group	1.4	#NUM!	0.2	0.5	32.6%
Tidewater	1.3	22.6%	0.0	0.6	41.5%
Sea1 Offshore	0.3	3.1%	-0.1	0.2	48.6%
Seacor Marine Holdings	0.3	9.2%	0.0	0.0	11.4%
MMA Offshore Limited	0.2	9.0%	-1.0	0.1	28.5%

Output

Tidewater reported significant revenue growth from FY19-24 via M&A and day rate increases, outperforming all peers

/PRELIMINARY



Limited opportunity basis peer benchmarking

Note: *Growth represents FY19-24 for all peers except MMA Offshore Limited (FY19-23 LTM) given July 2024 acquisition, and DOF Group (FY21-24) given changes to reporting structure; Key metrics are calculated after excluding non-recurring line items incl. restructuring costs, etc.; All companies represent fiscal year ended 12/31 except MMA Offshore Limited (06/30); LTM values ending Dec'24 for all peers, except MMA Offshore Limited (Dec'23)
Source: Capital IQ; Bain analysis

Additional guidelines: Typical OI Output – Cost Productivity

ADDITIONAL GUIDELINES | TYPICAL OUTPUT

/ILLUSTRATIVE

Input

- See the *Cost Productivity* section on the *Mekko Graph Outputs* tab
- For the tagline, be sure to **lead with the insight** rather than describing the definition of cost productivity
  - Cost productivity is calculated as Adj. EBIT/DA CAGR – Revenue CAGR, which contextualizes a change in EBIT margin by indicating how effectively the company optimized its profitability
- **Note:** In certain cases where the EBIT/DA $ value starts or ends negatively, they must be excluded from this chart

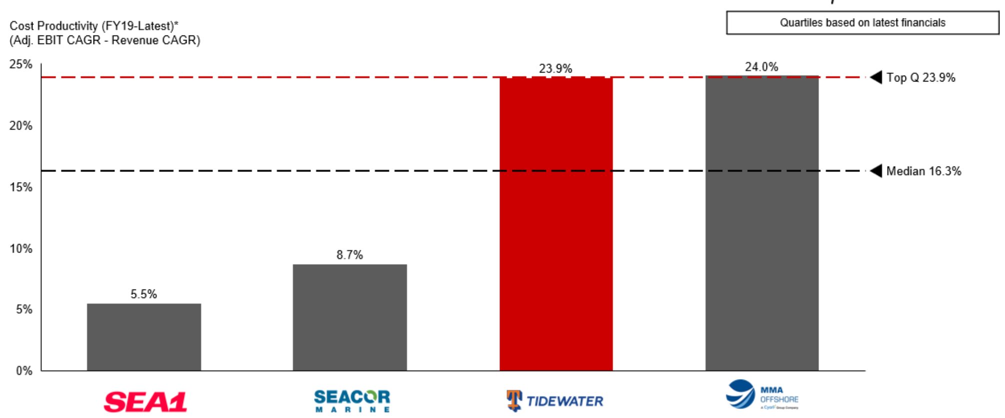
Cost Productivity 6) - Bar graph

Select Sizing Year	LTM	LTM	LTM	LTM	LTM
Operating profit Selection	EBIT	Yes	Yes	Yes	Yes
	Tidewater	or Marine Hol	Sea1 Offshore	DOF Group	ffshore I
Revenue CAGR	23%	9%	3%	#NUM!	9%
EBIT*CAGR	46%	18%	9%	#NUM!	33%
Cost Productivity	24%	9%	5% NA		24% I

Output

Tidewater achieved the highest EBITDA and revenue growth since FY19 leading to a top quartile cost productivity

/PRELIMINARY



	SEA1	SEACOR MARINE	TIDEWATER	MMA OFFSHORE
Adj. EBITDA CAGR	8.6%	17.9%	46.4%	33.0%
Revenue CAGR	3.1%	9.2%	22.6%	9.0%

Note: *Growth represents FY19-24 for all peers except MMA Offshore Limited (FY19-23 LTM) given July 2024 acquisition, and DOF Group (FY21-24) given changes to reporting structure; Key metrics are calculated after excluding non-recurring line items incl. restructuring costs, etc.; All companies represent fiscal year ended 12/31 except MMA Offshore Limited (06/30); LTM values ending Dec'24 for all peers, except MMA Offshore Limited (Dec'23)
Source: Capital IQ; Bain analysis

Additional guidelines: Typical OI Output – Projected Revenue Growth

ADDITIONAL GUIDELINES | TYPICAL OUTPUT | ILLUSTRATIVE

Input

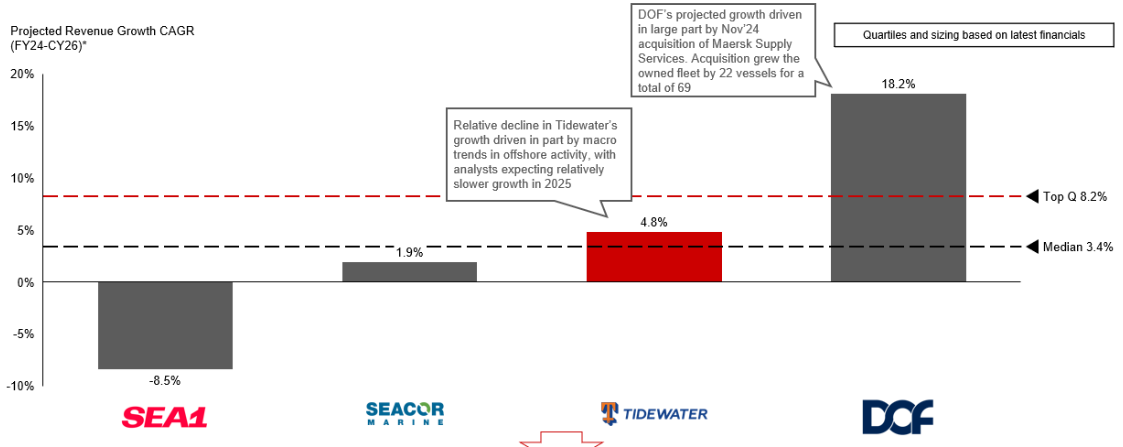
- Historical revenue growth is found in the *Projected Revenue* column of the Summary Table on the *Mekko Graph Outputs* tab
- Update the think-cell chart with the projected growth for each company, as well as the Median and Top Q which you should calculate in Excel
- Determine whether benchmarking is feasible – *not feasible here as DOF's growth was due to an acquisition*
- **Incremental revenue** calculation proceeds as follows:
  - Take current period (FY24 in this case) revenue
  - Grow that revenue by the projected CAGR (4.9%) through CY26*
  - Calculate the implied CY26 value using the benchmarked growth rate
  - Difference between implied and projected CY26 values gives incremental revenue
- For **incremental EBIT**, multiply the incremental revenue by the full-potential EBIT calculated on the full potential waterfall (slide 61)

Summary Table 2)

Peers	Revenue	Growth	Projected Reven	EBIT	Margin
DOF Group	1.4	#NUM!	0.2	0.5	32.6%
Tidewater	1.3	22.6%	0.0	0.6	41.5%
Sea1 Offshore	0.3	3.1%	-0.1	0.2	48.6%
Seacor Marine Holdings	0.3	9.2%	0.0	0.0	11.4%
MMA Offshore Limited	0.2	9.0%	-1.0	0.1	28.5%

Output

Analysts forecast a slowdown in Tidewater's annual revenue growth through CY26



Limited opportunity basis peer benchmarking

Note: *Growth represents FY19-24 for all peers except MMA Offshore Limited (FY19-23 LTM) given July 2024 acquisition, and DOF Group (FY21-24) given changes to reporting structure; Key metrics are calculated after excluding non-recurring line items incl. restructuring costs, etc.; All companies represent fiscal year ended 12/31 except MMA Offshore Limited (06/30); LTM values ending Dec'24 for all peers, except MMA Offshore Limited (Dec'23)
Source: Capital IQ; Bain analysis

Note: *Be sure to calculate the exact time period gap from FY24 to CY26 – in certain cases of a Dec FY end, you could use a gap of two periods; however, some other fiscal years might end at different points

Additional guidelines: Typical OI Output – EBIT/DA Margin

ADDITIONAL GUIDELINES | TYPICAL OUTPUT

/ILLUSTRATIVE

Input

- See the *EBIT Margin* section on the *Mekko Graph Outputs* tab
  - Note that even when the analysis is done at the EBITDA level, the EBIT Margin section is where the output is shown – always be sure to verify this against BCN's work on the *Income Statement Revised* tab
- Update the think-cell chart (incl. Median and Top Q), considering the below:
  - **Timing:** See the *Input Form* which shows the end of FY for each company and label LTM accordingly (e.g., MMA Offshore)
  - **Order:** To show values from "worse to better" sort from low to high based on the latest (FY24 or LTM) values
- For the savings calculation, consider the feasibility of your recommendation, which could range from Median, Top Q, past performance, etc.
- Additionally, be sure to sense check any significant trends or outliers and add callouts as needed

Adjusted EBIT Margin

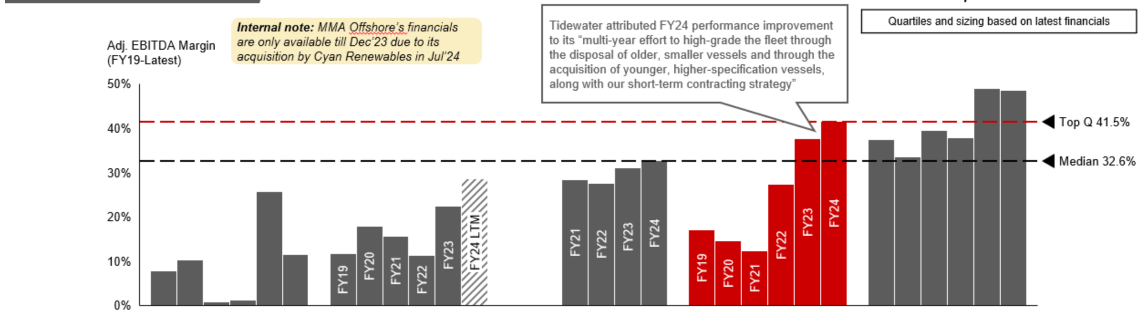
	Client	Segment 1	Segment 1	Segment 1	Segment Nc	
Included?		Yes	Yes	Yes	Yes	
	Tidewater	or Marine Hol	Sea1 Offshore	DOF Group	)ffshore L	
FY-5	NA	NA	NA	NA	NA	
FY-4	17%	8%	38%	NA	12%	
FY-3	15%	10%	34%	NA	18%	
FY-2	12%	1%	40%	28%	16%	
FY-1	27%	1%	38%	28%	11%	
FY0	38%	26%	49%	31%	22%	
LTM	42%	11%	49%	33%	29%	N/
Latest values for ranking	42%	11%	49%	33%	29%	

Output

EBITDA margin worsened to its lowest in FY21, but has since improved dramatically to achieve top quartile performance

EBITDA MARGIN

/PRELIMINARY



	SEACOR MARINE	MMA OFFSHORE	DOF	TIDEWATER	SEA1
Bps Change (FY19-Latest)	+364	+1,689	+422*	+2,447	+1,110
Revenue (Latest)	$271M	$212M	$1,385M	$1,346M	$341M

Limited opportunity basis peer benchmarking

Note: *Bps change from FY21-24; Key metrics are calculated after excluding non-recurring line items incl. restructuring costs, etc.; All companies represent fiscal year ended 12/31 except MMA Offshore Limited (06/30); LTM values ending Dec'24 for all peers, except MMA Offshore Limited (Dec'23)
Source: Company annual reports; Quarterly earnings presentation; Capital IQ; Bain analysis

Additional guidelines: Typical OI Output – Gross Margin

ADDITIONAL GUIDELINES | TYPICAL OUTPUT

ILLUSTRATIVE

Input

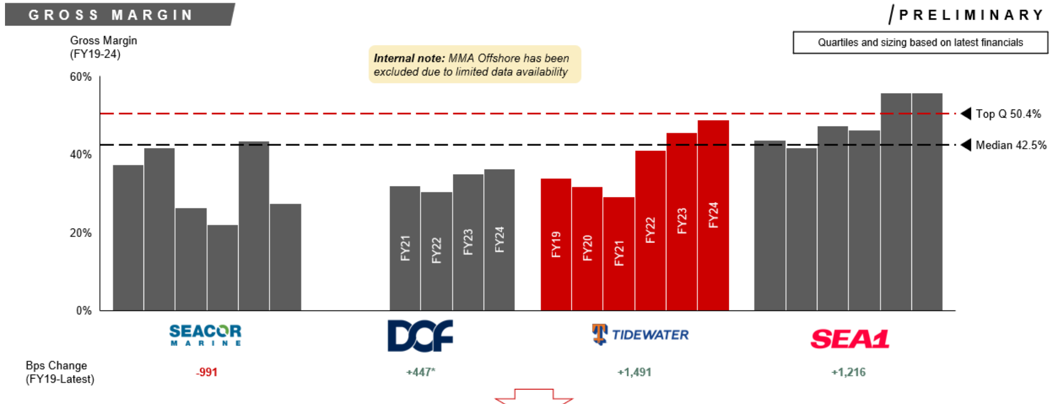
- See the *Gross Margin* section on the *Mekko Graph Outputs* tab
- Update the think-cell chart (incl. Median and Top Q), considering timing and order
- For the savings calculation, consider the feasibility of your recommendation, which could range from Median, Top Q, past performance, etc.
  - We chose Top Q given comparability with Sea1 and prior upward trajectory, which implied savings of ~2% margin improvement
- We **often dig one level deeper** (e.g., here COGS is split into crew costs and other vessel operating costs) and calculate savings for each – *these costs can be found on the Income Statement Revised tab as part of the COGS breakdown pulled in by the BCN team*

Gross Margin

	Client	Segment 1	Segment 1	Segment 1	Segment No
Included?		Yes	Yes	Yes	Yes
	Tidewater	**Seacor Marin**	**Sea1 Offshore**	**DOF Group**	**MMA Offs**
FY-5	NA	NA	NA	NA	NA
FY-4	33.7%	37%	44%	NA	NA
FY-3	31.7%	42%	42%	NA	NA
FY-2	29.2%	26%	47%	32%	NA
FY-1	41.0%	22%	46%	30%	NA
FY0	45.6%	43.3%	55.6%	34.9%	NA
LTM	48.6%	27.3%	55.7%	36.3%	NA
Latest values for ranking	49%	27%	56%	36%	NA

Output

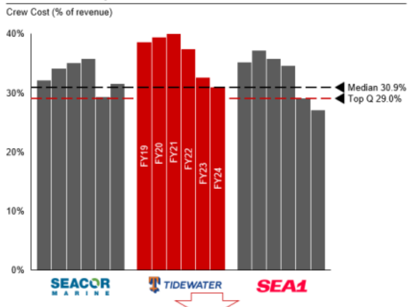
Tidewater's Gross Margin has improved by ~1,490 bps since FY19 and lies above the peer median



Closing the gap to Top Q would result in ~$25M (~2% margin improvement) in GM expansion

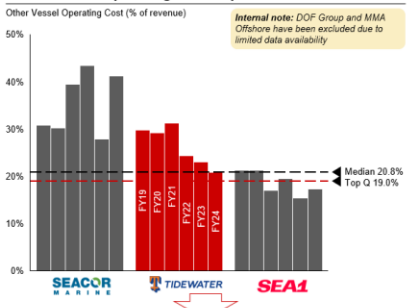
COGS Breakdown | Relative Crew Cost and Other Vessel Operating Cost have both followed a similar trend and decreased consistently since FY21, now performing at peer median

Crew Cost at peer median



Closing the gap to Top Q would provide ~$25M (~6% of cost base) in Crew Cost savings

Other Vessel Operating Cost at peer median



Closing the gap to Top Q would provide ~$25M (~9% of cost base) in Other Vessel Operating Cost savings

Note: *Bps change from FY21-24; Key metrics are calculated after excluding non-recurring line items incl. restructuring costs, etc.; All companies represent fiscal year ended 12/31 except MMA Offshore Limited (06/30); LTM values ending Dec'24 for all peers, except MMA Offshore Limited (Dec'23)
Source: Company annual reports; Quarterly earnings presentation; Capital IQ; Bain analysis

Additional guidelines: Typical OI Output – SG&A (% of revenue)

ADDITIONAL GUIDELINES | TYPICAL OUTPUT

/ILLUSTRATIVE

Input

- See the *SG&A, Selling & Marketing, and G&A* sections on the *Mekko Graph Outputs* Tab
- We often start with top-down SG&A and **might add a detailed split** (e.g., advertising vs. other SG&A) where relevant
- In this case, the more detailed cost split was at the COGS level, so we instead did a top-down benchmarking to Top Q, which would imply ~10% of cost base savings

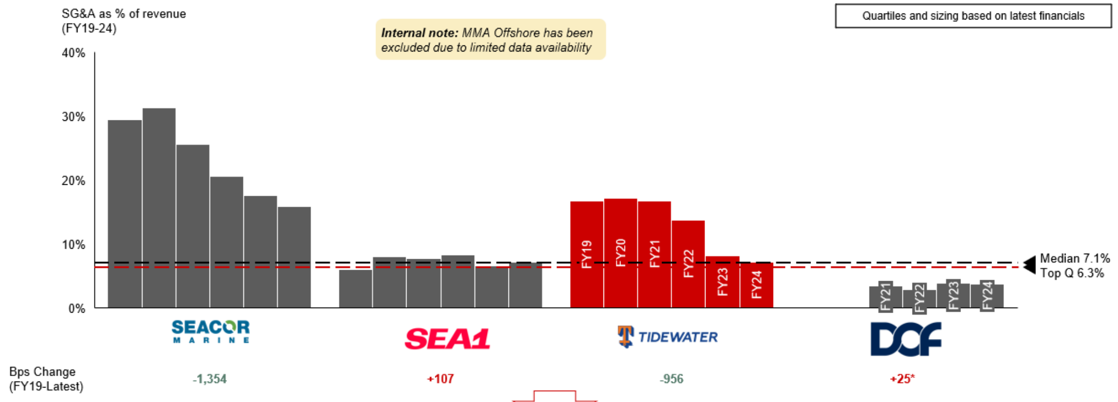
SG&A

	Client	*Segment 1*	*Segment 1*	*Segment 1*	*Segment*
Included?	Yes	Yes	Yes	Yes	Yes
	Tidewater	**Seacor Marin**	**Sea1 Offshore**	**DOF Group**	**MMA Offs**
FY-5	NA	NA	NA	NA	NA
FY-4	17%	29%	6%	NA	NA
FY-3	17%	31%	8%	NA	NA
FY-2	17%	26%	8%	3%	NA
FY-1	14%	21%	8%	3%	NA
FY0	8%	18%	7%	4%	NA
LTM	7%	16%	7%	4%	NA
Latest values for ranking	7.1%	16%	7%	4%	NA

Output

SG&A (% of rev.) has decreased by ~955 bps and now performs at peer median

SG&A | /PRELIMINARY



Closing the gap to Top Q would result in ~$10M (~10% of cost base) in SG&A savings

Note: *Bps change from FY21-24; Key metrics are calculated after excluding non-recurring line items incl. restructuring costs, etc.; All companies represent fiscal year ended 12/31 except MMA Offshore Limited (06/30); LTM values ending Dec'24 for all peers, except MMA Offshore Limited (Dec'23)
Source: Company annual reports; Quarterly earnings presentation; Capital IQ; Bain analysis

Additional guidelines: Typical OI Output – SG&A Breakdown

/ILLUSTRATIVE

Input

- See the *Selling & Marketing* and *G&A* sections on the *Mekko Graph Outputs* Tab
- We'll often show a **detailed breakdown of SG&A** oriented around these two primary cost buckets, as shown in this example for Electronic Arts:
  - Selling & marketing (S&M)
  - General & administrative (G&A)
- As a **ZD check**, it's helpful to ensure that the broken-down SG&A spend you show sums to the overall SG&A value

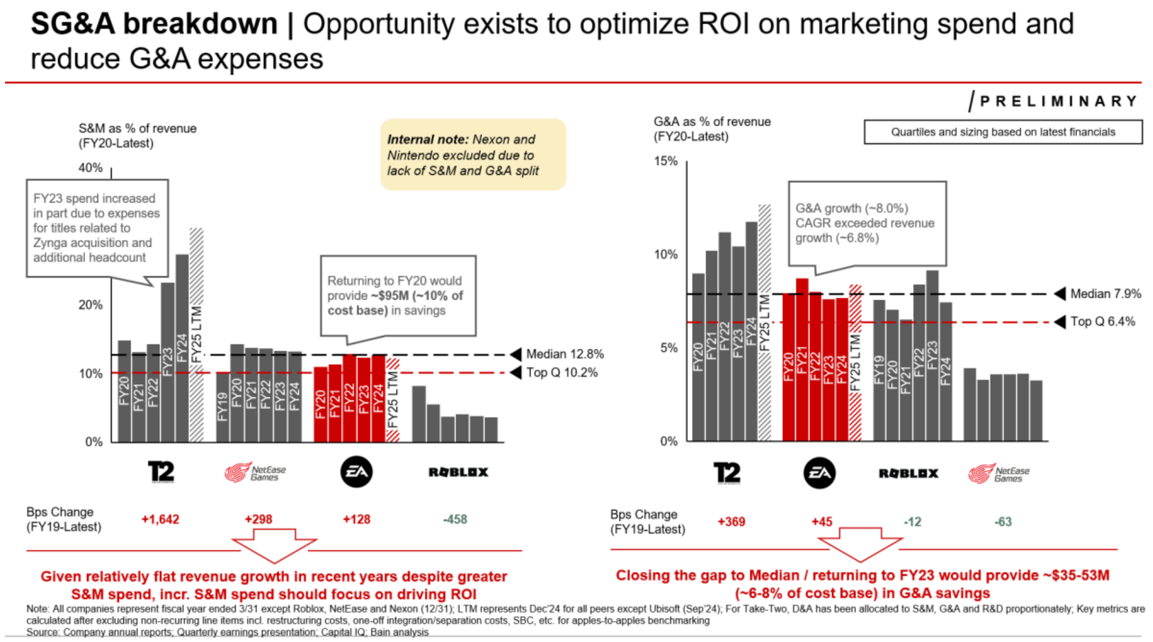
Selling & Marketing #VALUE! #VALUE!

	Client	Segment 1	Segment 1	Segment 1
Included?		Yes	Yes	Yes
	Electronic Arts	**Take-Two Interactive Softv**	**Roblox**	**Nintendo**
FY-5	NA	NA	NA	NA
FY-4				
FY-3				
FY-2				
FY-1				
FY0				
LTM				
Latest valu				
Ranks				

G&A

	Client	Segment 1	Segment 1	Segment 1	Seg
Included?		Yes	Yes	Yes	
	Electronic Arts	**Take-Two Interactive Softv**	**Roblox**	**Nintendo**	**Son**
FY-5	NA	NA	NA	NA	NA
FY-4	8.0%	9%	8%	NA	NA
FY-3	8.8%	10%	7%	NA	NA
FY-2	8.0%	11%	7%	NA	NA
FY-1	7.6%	10%	8%	NA	NA
FY0	7.7%	12%	9%	NA	NA
LTM	8.4%	13%	7%	NA	NA
Latest values for ranking	8.4%	13%	7%	NA	NA
Ranks	2.00	1.00	3.00	#VALUE!	

Output



Note: This SG&A breakdown varies by company and sector – see the adjustment summary for a detailed breakdown of the key line items.

Additional guidelines: Typical OI Output – R&D

ADDITIONAL GUIDELINES | TYPICAL OUTPUT

/ILLUSTRATIVE

Input

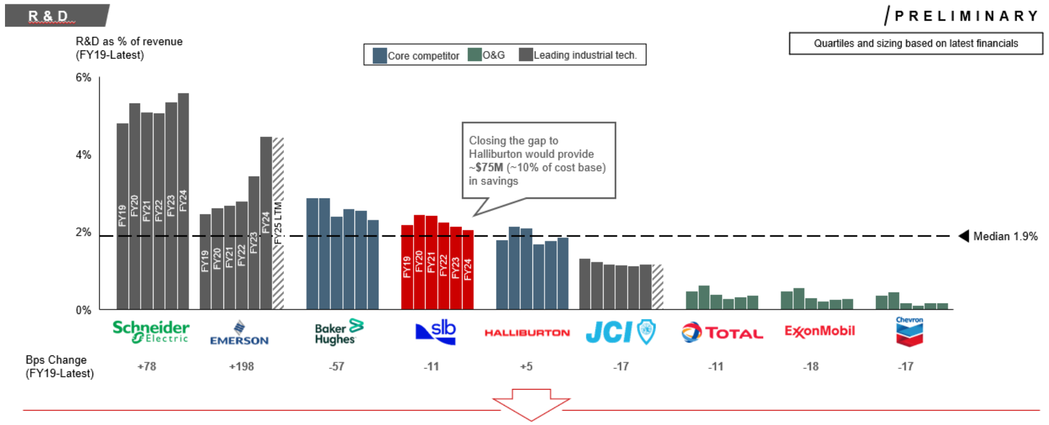
- See the *R&D* section on the *Mekko Graph Outputs* tab
- Savings is more nuanced for R&D than many other cost items as lower cost is **not necessarily** an indicator of better performance, therefore the **BPS change data row is color gray** regardless of whether it is positive or negative
- If you decide to include R&D benchmarking, it is **best practice to include the R&D correlation with Gross Margin slide** to demonstrate how effectively the R&D spend translates into profitability (see S69)
- For the right-hand side SLB example, we did not recommend savings and instead included the theoretical savings to median as a callout given low correlation with gross margin
- As with other cost items, be sure to sense check and add any relevant callouts

R&D

	Client	Segment 1	Segment 1	Segment 1	Segment 1
Included?		Yes	Yes	Yes	Yes
	SLB	**Exxon**	**Chevron**	**Total**	**Schneide**
FY-5	NA	NA	NA	NA	NA
FY-4	2%	0%	0%	0%	
FY-3	2%	1%	0%	1%	
FY-2	2%	0%	0%	0%	
FY-1	2%	0%	0%	0%	
FY0	2%	0%	0%	0%	
LTM	2%	0%	0%	0%	
Values for Ranking	2%	0%	0%	0%	
Ranks	4.00	8.00	9.00	7.00	
	Median	2%	**Revenue**	**36,289**	
			R&D	**749**	

Output

R&D (% of rev.) has decreased by ~10 bps and lies above peer median



Limited opportunity basis peer benchmarking

Note: Key metrics are calculated after excluding non-recurring line items incl. restructuring costs, one-off integration/separation costs etc. for apples-to-apples benchmarking; All companies represent fiscal year ended 12/31 except Emerson and JCI (09/30); LTM values ending 12/31 for all peers; D&A has been re-allocated for Exxon, Chevron, Total Energies basis Schneider's split
Source: Company annual reports; Quarterly earnings presentation; Capital IQ; Bain analysis

Additional guidelines: Typical OI Output – Bubble Chart

ADDITIONAL GUIDELINES | TYPICAL OUTPUT

ILLUSTRATIVE

Input

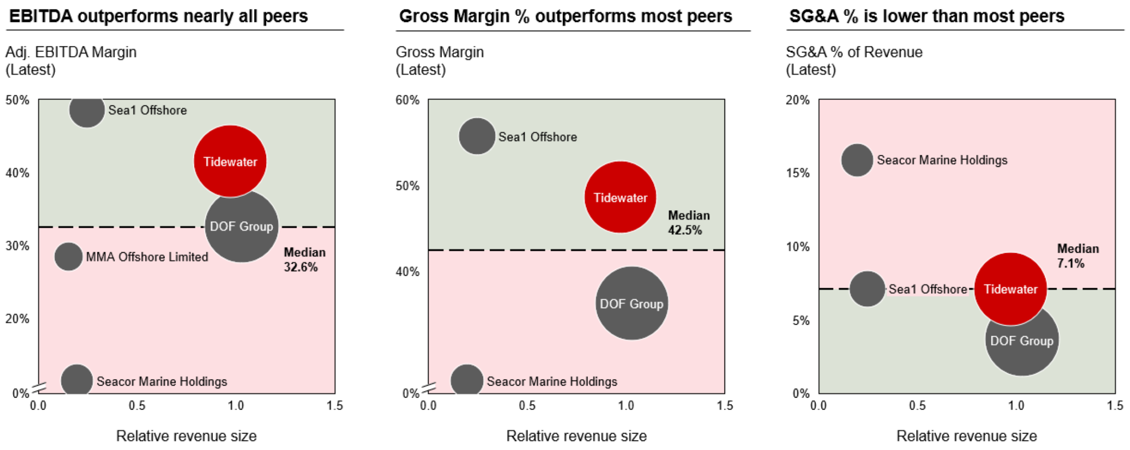
- See the *EBIT/DA, Gross Margin and SG&A with respect to size- 3 bubble charts* section of the *Mekko Graph Outputs* tab
- Update each of the think-cell charts and headers, ensuring that:
  - Target company's circle is colored *Bain Red*
  - All key metrics called out on prior slides are shown (e.g., had we called out R&D for Tidewater, we would have shown it as a segment here)

						0.45			
							18.4%		
		Chart 1: Y-axis	Chart 1: Y-axis		Chart 2: Y-axis	Chart 3: Y-axis	Bubble size	X-axis	Group
Company Name	**Calculated EBIT Margin**	**Calculated EBITDA Margin**	**Gross Margin**	**Selling, General**	**R&D**	**Capital Turnover**	**ROCE (EBIT/ Ca**	**Total revenue**	**RMS (x-axis)**
Tidewater	42%	53%	49%	7%	NA	0.77	32.1%	$1,346	0.97
Seacor Marine Holdings	11%	30%	27%	16%	NA	0.42	4.8%	$271	0.20
Sea1 Offshore	49%	65%	56%	7%	NA	0.47	23.1%	$341	0.25
DOF Group	33%	44%	36%	4%	NA	0.42	13.7%	$1,385	1.03
MMA Offshore Limited	29%	NA	NA	NA	NA	NA	NA	$212	0.15

Output

Tidewater's profitability outperformance is primarily driven by its gross margin

PRELIMINARY



Note: Key metrics are calculated after excluding non-recurring line items incl. restructuring costs, etc.; All companies represent fiscal year ended 12/31 except MMA Offshore Limited (06/30); LTM values ending Dec'24 for all peers, except MMA Offshore Limited (Dec'23)
Source: Company annual reports; Quarterly earnings presentation; Capital IQ; Bain analysis

Additional guidelines: Typical OI Output – Full Potential EBIT/DA Margin Waterfall

ADDITIONAL GUIDELINES | TYPICAL OUTPUT | ILLUSTRATIVE

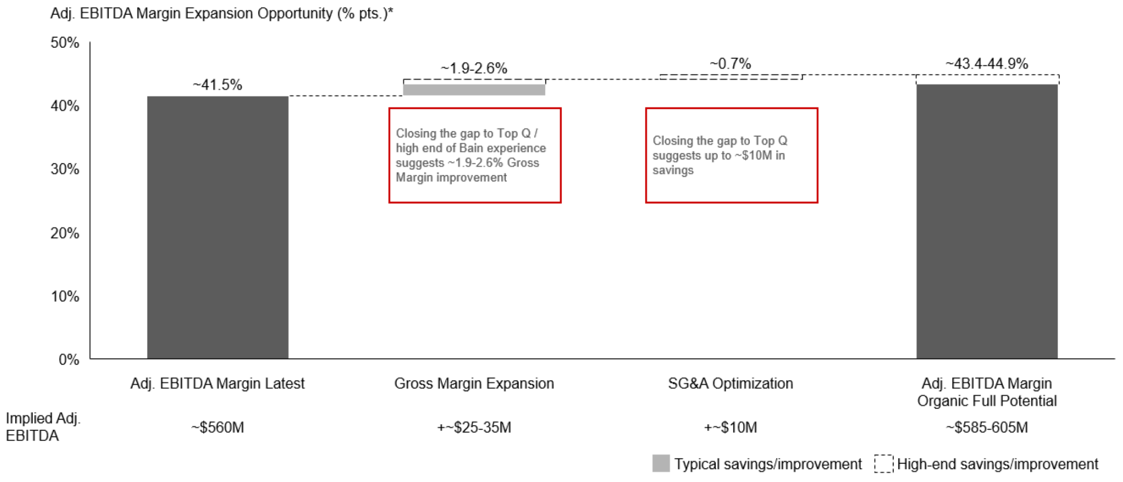
Input

- This slide demonstrates how your recommended cost savings would be **reflected in a "full-potential" EBITDA**
- **Refer to the upfront cost savings slide (S51)** and ensure that you are pulling in all of the buckets of cost savings, which are Gross Margin Expansion and SG&A Optimization in this example
- Tactically, you should open the think-cell chart and pull in the below information:
  - **Adj. EBITDA Margin** – sourced from EBITDA margin slide
  - **Gross Margin Expansion** – sourced from upfront cost savings slide (S51) based on your chosen range there
  - **SG&A Optimization** – sourced from upfront cost savings slide (S51) based on your chosen range there
- Additionally, based on what you've inputted, add relevant callouts for each area of savings identifying what you are benchmarking to and the size of the opportunity
- It's best practice to run **several ZD checks on this slide** as it brings together several key components in the analysis

Output

Peer benchmarking and Bain experience suggest that Tidewater may be able to improve EBITDA Margin performance by increasing its margin by up to ~3.5 pts

PRELIMINARY



Note: Recommendation of the size of prize depends on the complexity of internal structure and the maturity level of any prior cost programs
Source: Company annual reports; Quarterly earnings presentation; Capital IQ; Bain analysis

Additional guidelines: Typical OI Output – EV Uplift Waterfall

ADDITIONAL GUIDELINES | TYPICAL OUTPUT

/ILLUSTRATIVE

Input

- This slide demonstrates the **EV uplift resulting from your recommended revenue and cost improvements**
- First step is to navigate to the *EVEBIT(DA) Calculation* tab and **input the low-end and high-end savings** for each of your recommended buckets – refer to the upfront cost savings slide (S51)
- Next, **see the *Output for PPT* section** and select either low-end or high-end savings in the scenario toggle
  - Note: we often use low end savings as the default, though use your judgement and get alignment with LT during content session
  - Assuming you did use high-end, we often add in incremental sales and assume that margin expands to high-end full potential from the waterfall slide (S61)
- Lastly, be sure to **add the below**:
  - A text box with median / Top Q multiples (see rows 25-26 in Excel)
  - Consider adding "Scenario 2" if there is significant opportunity for multiple expansion
  - Callouts explaining the assumptions for base case and scenarios
  - Update footnote to explain recommendations and assumptions

EV Uplift Model

Input

Ticker	*NYSE:TDW*
Target	*Tidewater*
EBIT (Latest)	*559.10*
Total Revenue	*1,345.84*
Year of completion of Cost Program	CY2026

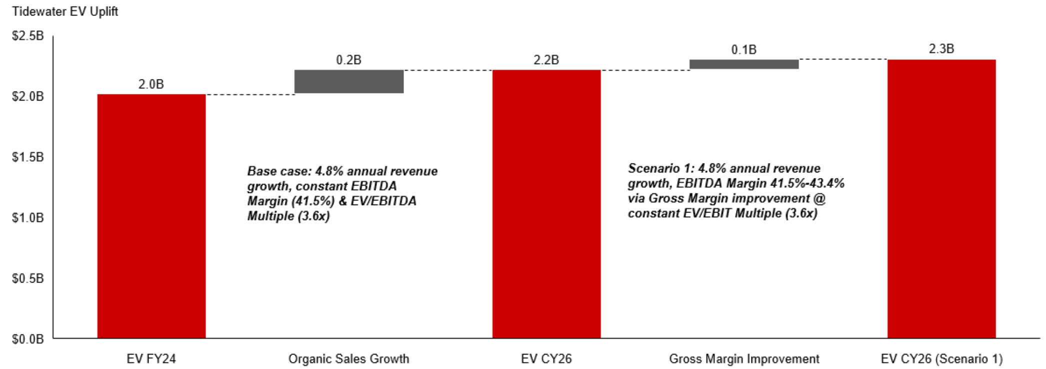
Details of Cost Transformation Program

Areas of Improvement	Low End Savings ($M)	High End Savings ($M)
Gross Margin	25	35
SG&A (Non-GAAP)	0	10
R&D		

Output

Realizing cost improvements could deliver a ~2.5 p.p.+ incremental increase in TSR by CY26

/PRELIMINARY



	EV FY24		Organic Sales Growth		EV CY26		Gross Margin Improvement		EV CY26 (Scenario 1)
EBITDA ($M)	559		56		615		25		640
Implied stock price ($)	33	+		=	37	+		=	38
Annualized TSR					5.7%		+2.5pp		8.2%

Notes: Recommendation of the size of prize depends on the complexity of internal structure and the maturity level of any prior cost programs; Stock price as of 4/9/2025; Base Case assumes constant EBITDA Margin ~41.5%, and constant EV/EBIT Multiple 3.6x; Scenario 1 assumes EBITDA margin is expanded to ~43.4% based on savings identified in the OI analysis and constant EV/EBIT Multiple 3.6; Time value of money not considered
Source: CapIQ; Company reports, Analyst reports, Bain analysis

Additional guidelines: Typical OI Output – Cash Conversion Cycle

ADDITIONAL GUIDELINES | TYPICAL OUTPUT

/ILLUSTRATIVE

Input

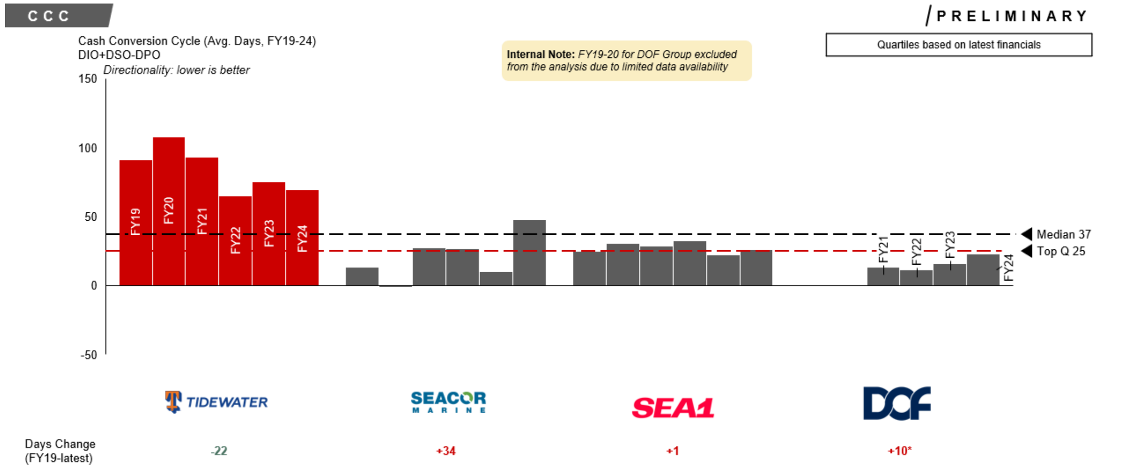
- See the *Cash Conversion Cycle* section of the *Mekko Graph Outputs* tab

Cash Conversion Cycle

	Client	*Segment 1*	*Segment 1*	*Segment 1*	*Segment*
Included?		Yes	Yes	Yes	Yes
	Tidewater	**Seacor Marir**	**Sea1 Offshore**	**DOF Group**	**MMA Off**
FY-5	0	0	0	0	0
FY-4	91	13	25	0	0
FY-3	108	-1	31	0	0
FY-2	93	27	29	13	0
FY-1	65	27	32	11	0
FY0	75	10	22	16	0
LTM	70	48	26	23	0
Latest values for ranking	70	48	26	23	0
Ranks	1	2	3	4	5
	Median	25.80			
	Top Quartile	22.88			

Output

Tidewater's Cash Conversion Cycle has improved by ~22 days since FY19 yet continues to underperform all peers



Additional guidelines: Typical OI Output – NWC Pages

ADDITIONAL GUIDELINES | TYPICAL OUTPUT

/ILLUSTRATIVE

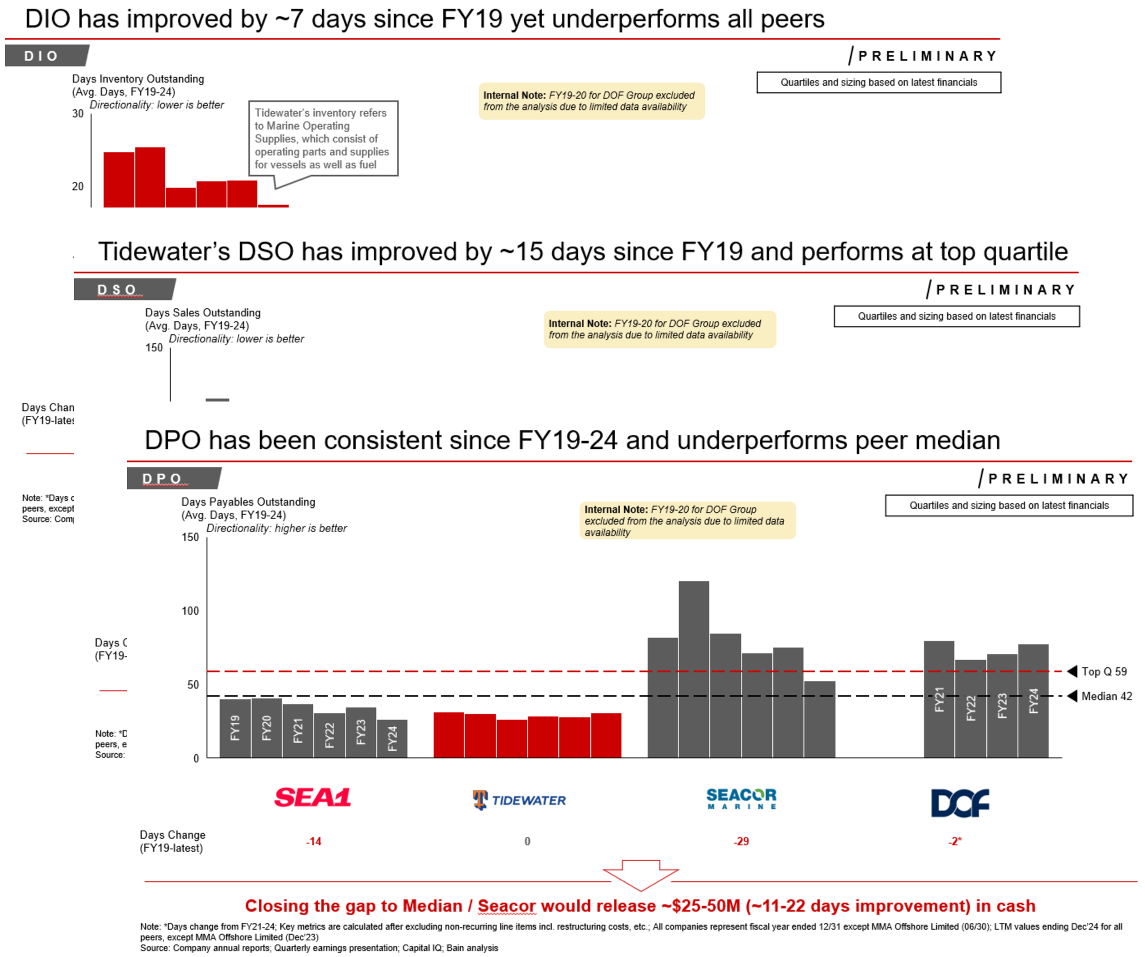
Input

- See the relevant sections on the *Mekko Graph Outputs* tab
- For each of DIO, DSO, and DPO, you will **determine the relevant benchmark** (median, top Q, past performance, etc.)
- **DPO example:**
  - Here we recommended closing the gap to Median / Seacor, and taking the median as an example:
    - > <u>**Days:**</u> Tidewater FY24: 31 days; Median: 42 days; *Difference: 11 days*
    - > <u>**Cash released:**</u> $71M payables / 31 DPO = *$2.32M*
    - > <u>**Savings:**</u> Days difference x cash released = *~$25M*
- As with other metrics, ensure that you sense check and add callouts on any notable trends or outliers (e.g., here we added further detail on what Tidewater considered inventory)
- **Note:** we sometimes calculate DPO differently (O&G; when we have Other Opex – we use COGS + Other OpEx) – be sure to align with BCN on whether they have made any relevant adjustments that would result in this

DIO

Included?		Yes	Yes	Yes	Yes
	Tidewater	**Seacor Marir**	**Sea1 Offshore**	**DOF Group**	**MMA Off**
FY-5	0	0	0	0	0
FY-4	25	4	12	0	0
FY-3	25	4	13	0	0
FY-2	20	2	13	8	0
FY-1	21	3	12	6	0
FY0	21	4	13	7	0
# LTM	17	4	6	9	0
Latest values for ranking	17	4	6	9	0
Ranks	1	4	3	2	5
	Median	6.40		Inventories	34 G
	Top Quartile	4.04		Cash released	1.96162 G

Output



Additional guidelines: Typical OI Output – ESG

ADDITIONAL GUIDELINES | TYPICAL OUTPUT

ILLUSTRATIVE

Input

- Pull the ESG scores and trajectories from the latest *ESG Global Output* Excel file, which is **updated around every quarter**
- If certain peers or metrics are unavailable, please mark as “N/A” and note accordingly, as shown for this example
- Lastly, it is best practice to **paste the table as a screenshot** such that it cannot be edited in PowerPoint

Output

Tidewater is considered “Average” for ESG, lagging most peers

PRELIMINARY

MSCI overall ESG rating*

Rank**	Company	MSCI rating	Trending
1	DOF	A	N/A
2	MMA OFFSHORE	A	N/A
3	TIDEWATER	BBB	↗

Legend

Leader: AAA, AA	↗ Improved vs. last rating
Average: A, BBB, BB	— Little or no change
Laggard: B, CCC	↘ Declined vs. last rating

Internal Note:
1) *Seacor and Sea1 Offshore excluded due to lack of data availability*
2) *If additional ESG analysis is required:*
- *For a double-click into select key ESG metrics, coordinate with the OI team*
- *For a diligence or early diagnostic, use the RAVE tool (contact: Charlotte Mabe)*
- *For additional MSCI metrics, contact Sune Kok to use the one-click calculator tool*
- *For carbon deep dive, deploy the Carbon Value Creation X-Ray*
- *For deeper ESG benchmarking in Retail and CP contact Samyak Ponangi*

Note: *Data as of 03/19/25; **Peer Rank is based on actual ESG scores and is used to determine above/below median performance; Ratings not available for Sea1 Offshore and Seacore Marine Holdings
Source: MSCI; Bain Analysis

Additional guidelines: Extra Output – Segment Breakdown

ADDITIONAL GUIDELINES | EXTRA OUTPUT

/ILLUSTRATIVE

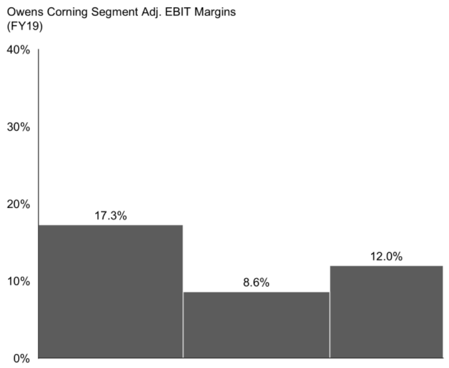
Input

- This slide demonstrates a **breakdown of a company's key segments** and is often shown when:
  - The company operates multiple, distinct segments
  - Profitability levels and/or trends vary widely across segments
  - Account team is curious about opportunities in a particular segment of the business
- As a BDP, we **often have the BCN team pull in the relevant segment-level metrics** once we decide to do this analysis; however, if time-sensitive, these metrics can often be found in the company's latest annual (10-K) or quarterly (10-Q) filings

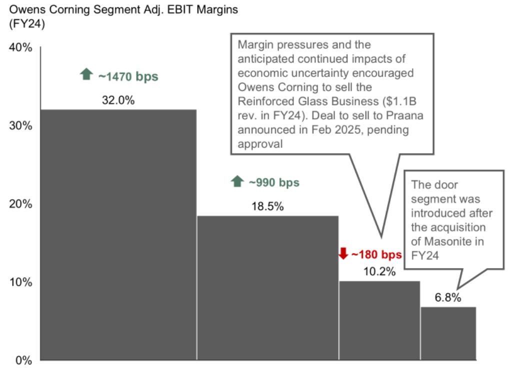
Output

Revenue has increased across all segments; however, profitability has declined in the composite segment, which includes the glass reinforcement business

/PRELIMINARY



	Roofing	Insulation	Composites
Revenue	$2,634M	$2,668M	$2,059M
Adj. EBIT	$455M	$230M	$247M
Revenue Split	36%	36%	28%



	Roofing		Insulation		Composites		Doors
Revenue	$4,052M	~54%	$3,692M	~38%	$2,118M	~6%	$1,448M
Adj. EBIT	$1298M	~185%	$682M	~197%	$215M	~13%	$99M
Revenue Split	35.8%		32.6%		18.7%		12.8%

Source: Company annual reports; Quarterly earnings presentation; Capital IQ; Bain analysis

Additional guidelines: Extra Output – Personnel Analysis

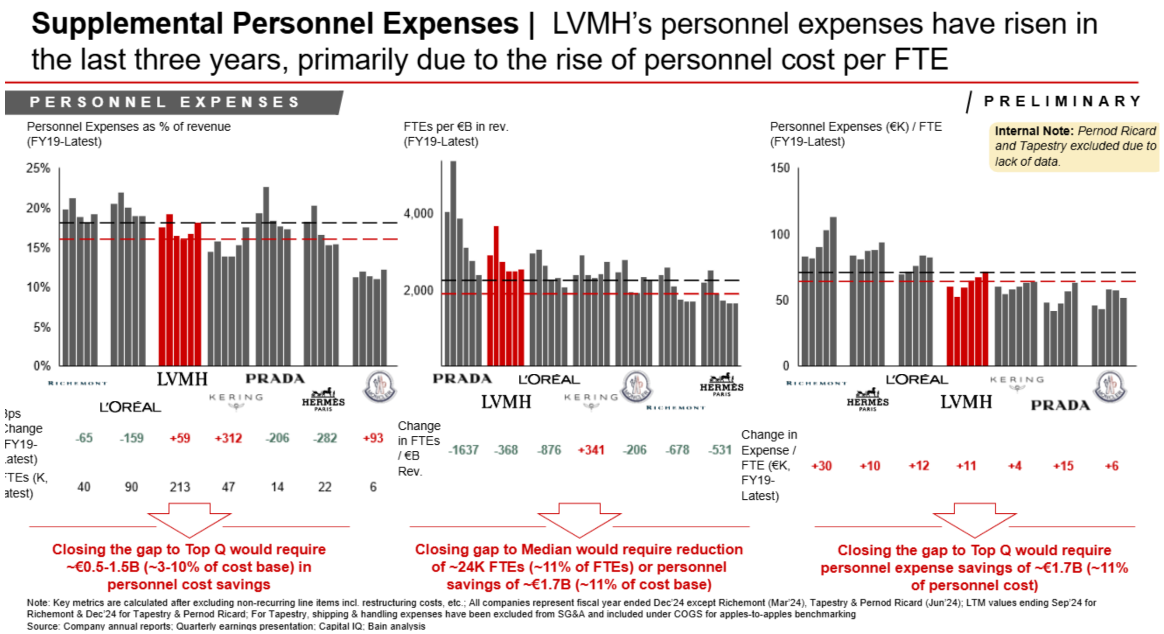
ADDITIONAL GUIDELINES | EXTRA OUTPUT

ILLUSTRATIVE

Input

- Personnel expenses are often a key cost item and a source of potential savings in an OI analysis
- Where relevant, you might want to consider the below analysis to diagnose potential personnel expense savings
- **Personnel Expenses as a % of revenue**
  - When reported, BCN will often pull Personnel Expenses as a line item either on the Income Statement Revised or Financials & KPIs tab
- **FTEs per $B in revenue**
  - This calculation requires that you or BCN pull in FTE count for the target and peers over time
  - # of FTEs is often included in the Financials & KPIs tab via CapIQ; however, when unavailable there, it can be found in the company's financial filings and reporting
- **Personnel Expenses per FTE**
- As with other cost items, ensure that you ZD these metrics thoroughly and leave callouts where relevant (e.g., if a particular company needs to be excluded for not isolating personnel expenses)

Output



Additional guidelines: Extra Output – R&D Correlation

ADDITIONAL GUIDELINES | EXTRA OUTPUT

/ILLUSTRATIVE

Input

- As a reminder from S69, if you decide to include R&D benchmarking, it is **best practice to include the R&D correlation with Gross Margin slide** to demonstrate how effectively the R&D spend translates into profitability
- Following that SLB example, we built this slide, but observed that the correlations were under our **usual significance threshold (0.30)**, such that we could not recommend R&D savings
- To calculate the significance value, you can use the **CORREL** function in Excel

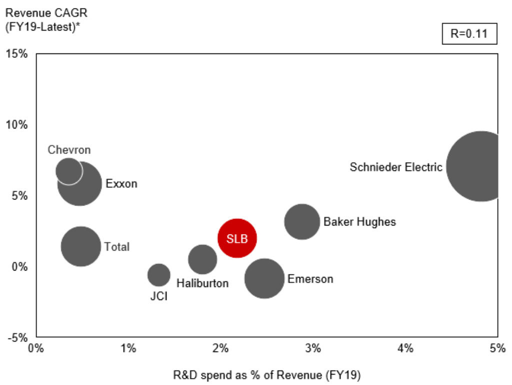
R&D correlation with Revenue and GM

	FY0 Chart 1: X-axis	Chart 1: Y-axis	Chart 1: Bubble Si
Company Name	**R&D Costs as % of Revenues**	**Revenue Cagr (2 periods**	**R&D Costs (Foo**
SLB	2%	2%	749.00
Exxon	0%	6%	987.00
Chevron	0%	7%	353.00
Total	0%	1%	805.00
Schnieder Electric	5%	7%	2430.80
Emerson	2%	(1%)	781.00
JCI	1%	(1%)	270.07
Baker Hughes	3%	3%	643.00
Haliburton	2%	0%	426.00

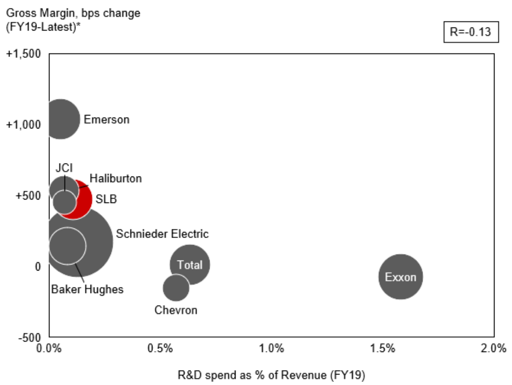
Output

R&D investment was positively correlated with revenue growth but negatively with Gross Margin performance and opportunity remains to drive higher revenue growth

Revenue growth and relative R&D spend



Gross Margin performance and relative R&D spend



Additional guidelines: Extra Output – SG&A vs. Relative Revenue Size

ILLUSTRATIVE

Input

- This slide highlights SG&A spend relative to a company's scale
- First step is to **plot the relative revenue size and SG&A % of revenue**
- Next, use the **CORREL** function in Excel to calculate R-squared (note that you'll need to use the function *twice* to get R-*squared*); add that R-squared value on the upper right of the slide
- We need to **manually calculate** the line of best fit, as well as the implied savings; for both of which, **we tend to leverage BCN's support**
- We'll often **calculate an implied savings** by closing the gap to the line of best fit, but this is **not always included** in our recommendations

R&D correlation with Revenue and GM 0.12

FY0 | Bps Change

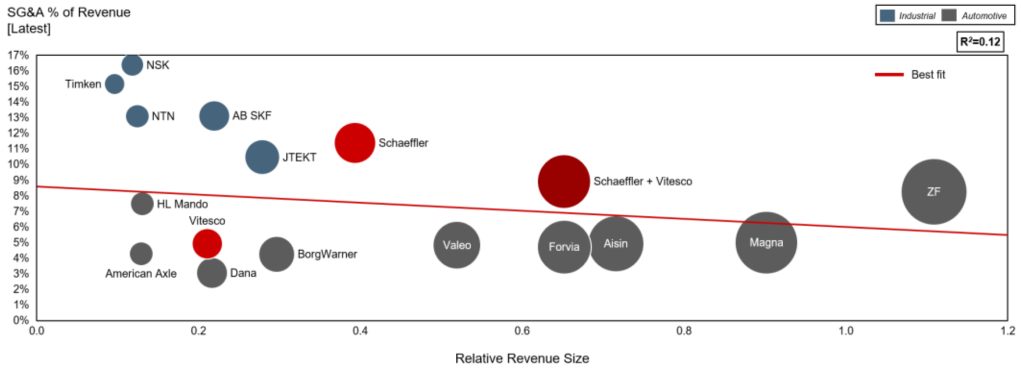
	Company Name	Selling, General & Administrative (SG&A) as % of Revenues (Chart 1: X-axis)	Revenue Cagr (2 period (Chart 1: Y-axis)	Total Revenue (Chart 1: Bubble Siz)	Gross Profit Bps C (Chart 2: Y-axis)	Peer group (Group)
0.39	Schaeffler	11%	3%	16276.00	- 371.25	1
0.21	Vitesco	5%	(1%)	8717.70	82.67	1
0.65	Schaeffler + Vitesco	9%		26736.30	-	1
0.72	Aisin	5%	5%	29606.70	- 5.36	1
0.13	American Axle	4%	(1%)	5335.40	- 152.84	1
0.30	BorgWarner	4%	7%	12270.31	- 143.78	1
0.22	Dana	3%	4%	8958.39	- 446.91	1
0.65	Forvia	5%	9%	26974.20	- 61.11	1
0.13	HL Mando	7%	8%	5397.39	35.34	
0.90	Magna	5%	2%	37314.44	- 9.16	
0.52	Valeo	5%	2%	21492.00	192.94	
1.11	ZF	8%	3%	41377.00	131.02	
0.28	JTEKT	10%	6%	11542.76	- 92.16	
0.12	NSK	16%	(1%)	4883.09	143.93	
0.12	NTN	13%	5%	5145.49	163.02	
0.22	AB SKF	13%	3%	9069.59	224.03	
0.10	Timken	15%	4%	3983.54	19.16	
		NA	#N/A	(Invalid Identifier)	-	
		NA	#N/A	(Invalid Identifier)	#VALUE!	
		NA	#N/A	(Invalid Identifier)	#VALUE!	

FinancialsNames

Company Name	RMS (x-axis)	Gro
Schaeffler	0.39	
Vitesco	0.21	
Schaeffler + Vitesco	0.65	
Aisin	0.72	
American Axle	0.13	
BorgWarner	0.30	
Dana	0.22	
Forvia	0.65	
HL Mando	0.13	
Magna	0.90	
Valeo	0.52	
ZF	1.11	
JTEKT	0.28	
NSK	0.12	
NTN	0.12	
AB SKF	0.22	
Timken	0.10	
	NA	
	NA	
	NA	

Output

Schaeffler + Vitesco's SG&A spend falls above the line of best fit (unlike most automotive peers), indicating opportunity to be more in-line with similarly sized peers



Closing the gap to the line of best fit would require ~€280M (~12% of cost base) in SG&A savings

Note: FY ends 12/31 for all peers except Aisin, JTKT, NSK and NTN and LTM on 12/31 for all companies except Schaeffler (09/30) and Vitesco (06/30); Key metrics are calculated after excluding non-recurring line items like restructuring costs etc; R&D is excluded from relevant heads for Aisin, Dana, Magna, Timken using HL Mando's split; D&A has been allocated to the relevant heads for American Axle, Magna, Timken using average of Valeo and ZF's split for apples-to-apples benchmarking
Source: Company annual reports; Capital IQ; Bain analysis

Additional guidelines: Extra Output – SG&A Required Change

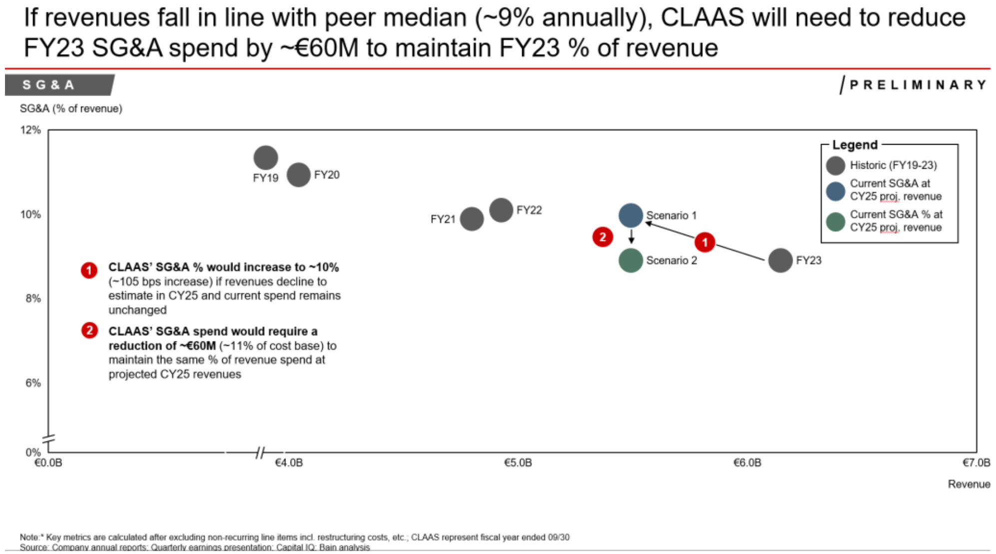
ADDITIONAL GUIDELINES | EXTRA OUTPUT

/ILLUSTRATIVE

Input

- This slide explains how **SG&A would need to change for its % of revenue to remain consistent** over time
- We'll often leverage this slide in cases where a company's **revenue is expected to fall significantly**
- For this slide, you'll need to **manually calculate** the SG&A spend reduction needed to maintain a particular % of revenue
- The output should clearly illustrate **historical SG&A % of revenue**, as well as the **default and reduced scenarios**

Output



Additional guidelines: More Guidance and OI Best Practices

ILLUSTRATIVE

- In an attempt to continually improve our process to build an OI, we created a 'Best Practice Sharing' document – which should be updated regularly with guidance on proposed changes to the Slide Gen template, feedback on answer framing, and **additional output that may be created for specific industries**
- Please visit and update this document here